



City of
CADILLACMICHIGAN

People, Place, Partnerships: The Cadillac Standard

**CITY OF CADILLAC
WEXFORD COUNTY, MICHIGAN
COMPREHENSIVE ANNUAL FINANCIAL REPORT
YEAR ENDED JUNE 30, 2019**

CITY OF CADILLAC, MICHIGAN

ELECTED OFFICIALS

Carla Filkins, Mayor
At Large

Shari Spoelman, Mayor Pro-Tem
First Ward

Antoinette Schippers, Councilmember
Second Ward

Robert Engels, Councilmember
Third Ward

Stephen King, Councilmember
Fourth Ward

CITY ADMINISTRATION

City Manager	Marcus A. Peccia
Community Development Director	John Wallace
Director of Public Safety	Adam Ottjepka
Director of Utilities	Jeff Dietlin
Director of Finance/Public Works	Owen Roberts
City Clerk	Sandra Wasson
City Treasurer	Keri Smith
City Attorney	Foster Swift Collins & Smith PC

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CITY OF CADILLAC, MICHIGAN

COMPREHENSIVE ANNUAL FINANCIAL REPORT

FOR THE YEAR ENDED JUNE 30, 2019

Prepared by: Financial Services Department

Director of Finance

Owen Roberts

Accounting Manager

Carol Pacella



200 North Lake Street • Cadillac, Michigan 49601
231.775.0181 • fax 231.775.8755
www.cadillac-mi.net

December 16, 2019

To the Honorable Mayor, Members of the City Council, and citizens of the City of Cadillac:

The comprehensive annual financial report of the City of Cadillac for the fiscal year ended June 30, 2019 is hereby submitted.

Management assumes full responsibility for the completeness and reliability of the information contained in this report, based upon a comprehensive framework of internal control that it has established for this purpose. Because the cost of internal control should not exceed anticipated benefits, the objective is to provide reasonable, rather than absolute, assurance that the financial statements are free from any material misstatements.

Gabridge & Company, PLC, have issued an unmodified (“clean”) opinion on the City of Cadillac’s financial statements for the year ended June 30, 2019. The independent auditor’s report is located at the front of the financial section of this report.

Management’s discussion and analysis (MD&A) immediately follows the auditor’s report and provides a narrative introduction, overview, and analysis of the basic financial statements. MD&A complements this letter of transmittal and should be read in conjunction with it.

PROFILE OF THE GOVERNMENT

The City of Cadillac was incorporated in 1877 and serves as the county seat of Wexford County. It is located in beautiful Northern Michigan and offers four very separate and distinct seasons which provide a variety of recreational opportunities for visitors. The community has been recognized as the largest manufacturing base north of Grand Rapids, and therefore provides employment opportunities which create an excellent quality of life for the year-round residents. Cadillac occupies nine square miles, which includes a lake that is entirely within the city limits.

The City government operates under a council/manager form of government and was one of the first municipalities in the state of Michigan to adopt this form of local governance. The City Council consists of four council members and a mayor elected at large. The council members are elected on a nonpartisan basis to staggered four-year terms based on four districts within the city. The mayor serves a two year term. The chief function of the City Council is to hire a City Manager and take legislative action as appropriate.

The City provides a full range of services. These services include police and fire protection; the construction and maintenance of highways, streets, and infrastructure; recreational

activities and cultural events. In addition to general government activities, the City is financially accountable for the Cadillac Building Authority, the Downtown Development Authority, the Local Development Finance Authority, the Economic Development Corporation, the Brownfield Redevelopment Authority and the Policemen and Firemen Retirement System; therefore, these activities are included in the reporting entity. However, the Wexford County Airport Authority, the Cadillac Area Public School District, the Cadillac-Wexford Transit Authority, and the Cadillac Housing Commission have not met the established criteria for inclusion in the reporting entity, and accordingly are excluded from this report.

The City Council is required to adopt an annual budget by the second council meeting in May of each year. The annual budget serves as the foundation of the City of Cadillac's financial planning and control. The budget is prepared by fund and department. The budget is adopted by total fund for all funds except the General Fund. The General Fund is adopted by department (i.e. Police Department, Fire Department). The level of budgetary control for all transfers for the budget amounts within the General Fund and any revisions that alter the total expenditures of any fund must be approved by the City Council. General Fund expenditures may not legally exceed appropriations at the major function level. Expenditures in all other funds may not exceed appropriations at the total fund level. The budget is approved by the city council annually by ordinance and amended by resolution quarterly as needed. Cadillac is an extremely stable local unit of government, serving a well-rounded community. This stability has allowed for a long-term philosophy to be incorporated into the budgeting process for the City of Cadillac.

LOCAL ECONOMY AND FUTURE OUTLOOK

The local economy is comprised of a healthy mixture of manufacturing, tourism, recreation, retail, and professional services including major health care providers and ancillary services. The manufacturing sector continues to provide significant employment opportunities and is a critical component of our overall local economic condition. Additionally, local recreation opportunities are vast, and include hunting, fishing, snowmobiling, biking, camping, golf, water sports and others. These activities bring in visitors from around the country to spend their tourism and recreational dollars in the community.

Economic conditions in the community continue to be strong, and Cadillac proudly remains a destination location for major festivals, events and business. The City is actively involved in several public community development initiatives. Creating new and improved public gathering spaces is essential in keeping Cadillac a destination location, but also keeps Cadillac a place where industry and business of all types want to locate and invest. The City is continuing the largest, most significant public community development projects since the construction of the original Rotary Performing Arts Pavilion and Keith McKellop Walkway through the further development of Cadillac Commons. These public places and community spaces will further enhance the quality of life for our community.

Cadillac Commons, the public development that has transformed our open areas adjacent to the Lake in our core downtown is a significant magnet for festivals, events and activities. The

fourth placemaking location, The Trail Head at Cadillac Commons, is expected to be bid out this winter with construction starting later in 2020.

Construction of the first building in the Cadillac Lofts development is anticipated to be completed this summer. Construction of building two does not yet have a start date, but once matters regarding access to the State's Community Development Block Grant funds are resolved, it is expected that construction of the second building will start as soon afterwards as possible.

Redevelopment of the former Northwood Hotel property into a new mixed-use residential/commercial project is also still in the pipeline, as is the redevelopment of the former Cadillac Sands, and the development of vacant land downtown for Cadillac Castle (senior living). These projects will further enhance our economic base by creating much needed attainable housing units for a wide spectrum of people.

Cadillac remains one of the largest manufacturing bases north of Grand Rapids, with a significant concentration of automotive suppliers, specialty product manufacturers that produce unique components and products for the Department of Defense, packaging and containers, vacuum cleaners, castings, metal fabrication and boats. The City's industrial base is comprised of over fifty companies that employ over four thousand people and produce approximately \$1 billion worth of products annually. These industries are an incredibly valuable and important factor in the fiscal sustainability of our City.

This sector continues to improve with recent examples including significant investment in a new Community Solar Garden project in tandem with the clean-up of the Mitchell-Bentley site. Development of nearly 30-acres of property within the Potvin Industrial Park by a current tenant, along with expansion of another site within the same park by another tenant are still in the planning phases, but are strong indicators of the continued investment in our community from our manufacturing base.

Prospective marihuana industry companies and entrepreneurs are creating excitement since the City opted into medical marihuana legislation, and legislatively agreed to regulate adult-use or recreational marihuana through the granting of licenses. 2020 will be an interesting year as the licensing program gets implemented, and properties throughout the community see new investment and possible redevelopment through the installation of these new marihuana industry uses.

LONG TERM FINANCIAL PLANNING AND MAJOR INITIATIVES

The City of Cadillac has available fund balance (the total of the assigned and unassigned components of fund balance) in the General Fund of \$3,431,328. In accordance with City policy, 15% of annual expenditures will be assigned as a working capital reserve. The City has also had a long-standing practice of assigning an amount to fully fund accrued but unpaid sick and vacation leave. As of June 30, 2019, this amount was \$309,546. These two amounts help stabilize the financial position of the City.

The City also adopts a five-year capital improvement plan (CIP) each year. This plan identifies all capital projects in excess of \$7,500 and with an expected life of more than one year. Identifying these projects in the CIP aids in prioritizing appropriations and in identifying relevant sources of funding for future capital projects. The most significant project identified in the CIP is the final phase of relocating the City's well field. Phase I of this project, which included about half of the required system capacity, has been online for several years, while engineering and design is nearly complete for Phase II which is anticipated to begin construction in 2020. This project is estimated to cost \$9.5 million. The CIP also identified over \$4.6 million in street and infrastructure maintenance projects, \$2.9 million in major equipment purchases, and \$355,000 in technology upgrades.

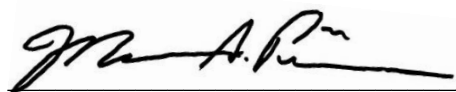
AWARDS AND ACKNOWLEDGEMENTS

The Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to the City of Cadillac for its comprehensive annual financial report for the fiscal year ended June 30, 2018. This was the thirty-fourth consecutive year that the City has achieved this prestigious award. In order to be awarded a Certificate of Achievement, the City of Cadillac published an easily readable and efficiently organized comprehensive annual financial report. This report satisfied both generally accepted accounting principles and applicable legal requirements. A Certificate of Achievement is valid for a period of one year only. We believe that our current comprehensive annual financial report continues to meet the Certificate of Achievement Program's requirements and we are submitting it to the GFOA to determine its eligibility for another certificate.

In addition, the City also received the GFOA's Distinguished Budget Presentation Award for its annual budget document for the fiscal year beginning July 1, 2018. In order to qualify for the Distinguished Budget Presentation Award, the City's budget document was judged to be proficient in several categories including as a policy document, a financial plan, an operations guide, and a communications device. This award has been received for thirty-three consecutive years.

The preparation of the comprehensive annual financial report on a timely basis was made possible by the dedicated service of the entire staff of the Financial Services Department. Each member of the department has our sincere appreciation for the contributions made in the preparation of this report. In closing, without the leadership and support of the governing body of the City, preparation of this report would not have been possible.

Sincerely,



Marcus A. Peccia, City Manager



Owen E. Roberts, Director of Finance



Government Finance Officers Association

**Certificate of
Achievement
for Excellence
in Financial
Reporting**

Presented to

**City of Cadillac
Michigan**

For its Comprehensive Annual
Financial Report
for the Fiscal Year Ended

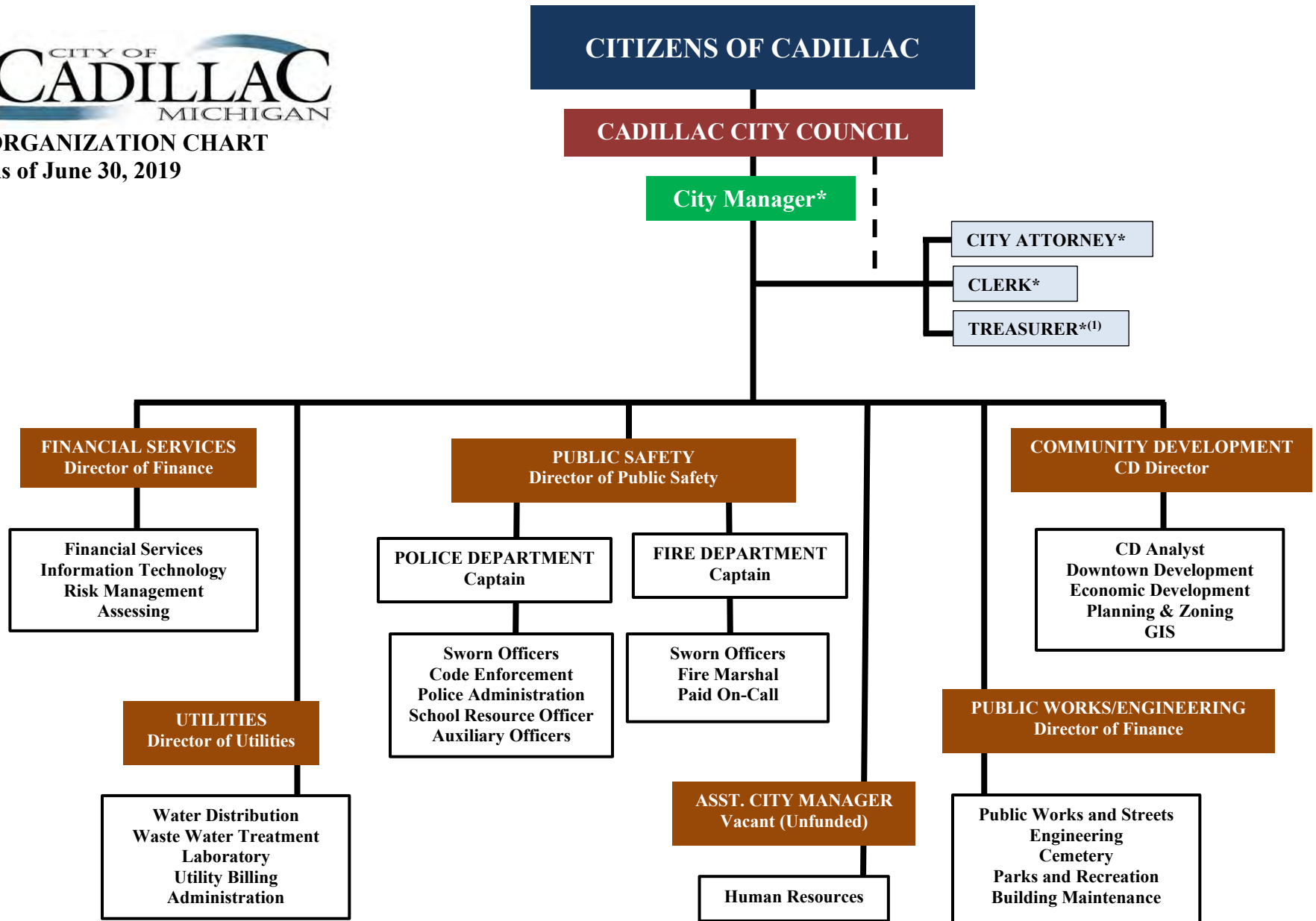
June 30, 2018

Christopher P. Morill

Executive Director/CEO

**CITY OF
CADILLAC
MICHIGAN**

ORGANIZATION CHART
As of June 30, 2019



* Positions appointed by the Cadillac City Council.
(1) Reports to Director of Finance

FINANCIAL SECTION

INDEPENDENT AUDITOR'S REPORT

To the Honorable Mayor and Members of the City Council
City of Cadillac, Michigan

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, the aggregate discretely presented component units, each major fund, and the aggregate remaining fund information of the City of Cadillac, Michigan, as of and for the year ended June 30, 2019, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, the aggregate discretely presented component units, each major fund, and the aggregate remaining fund information of the City of Cadillac, Michigan, as of June 30, 2019, and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, and the pension and other post-employment schedules, as listed in the table of contents, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City of Cadillac, Michigan's basic financial statements. The introductory section, combining and individual fund financial statements and schedules, debt and tax roll schedules, and the statistical section are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The combining and individual fund financial statements and schedules, along with the debt and tax roll schedules, are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the combining and individual fund financial statements and schedules, along with the debt and tax roll schedules, are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The introductory and statistical sections have not been subjected to the auditing procedures applied in the audit of the basic financial statements and, accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 16, 2019, on our consideration of the City of Cadillac, Michigan's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering City of Cadillac, Michigan's internal control over financial reporting and compliance.

A handwritten signature in dark ink that reads "Gabridge & Company". The script is cursive and fluid, with the ampersand being particularly stylized.

Gabridge & Company, PLC
Grand Rapids, Michigan
December 16, 2019

Management's Discussion and Analysis

City of Cadillac
Management's Discussion and Analysis
June 30, 2019

Management's Discussion and Analysis

The management of the City of Cadillac, Michigan ("the City") offers this narrative overview and analysis of the financial activities of the City for the fiscal year ended June 30, 2019, for the benefit of the readers of these financial statements. This management's discussion and analysis is intended to assist the reader in focusing on significant financial issues and to provide an overview of the City's financial activity. We encourage readers to consider the information presented here in conjunction with additional information that we have furnished in our letter of transmittal and with the financial statements as a whole, which can be found in this report.

Financial Highlights

- o The assets and deferred outflows of the City exceeded its liabilities at the close of this fiscal year by \$31,813,089 (shown as *Net Position*), representing an increase of \$828,486 over the previous fiscal year. Governmental Activities increased \$498,573, while the Net Position of the Business-Type activities increased by \$329,913.
- o As of June 30, 2019, the governmental funds of the City of Cadillac reported combined ending fund balances of \$7,115,846. This is a decrease of \$609,477. Fund balance in the General Fund increased by \$510,872 but decreased by \$1,120,349 in all other Governmental Funds. This decrease is primarily due to the spending of revenue received in a prior year to finish construction of The Market at Cadillac Commons. This activity was accounted for in The Market Capital Projects Fund. The fund balance in this fund decreased by \$610,090 during the year. The Major Street Fund utilized funds on hand to help fund a portion of street reconstruction. Fund Balance in this fund decreased by \$59,775 in FY2019. The Fund Balance in the Industrial Park Fund decreased by \$91,652 as funds were used to help offset the cost of a snow plow truck that was sized appropriately to clear snow in the industrial park street system.
- o In accordance with the City's policy, an amount equal to 15% of total General Fund expenditures and transfers has been assigned as a working capital reserve.
- o In the General Fund, total Assigned and Unassigned Fund Balance increased to \$3,380,485 as of June 30, 2019. Of this amount, \$1,332,597 represents fund balance that is unassigned and therefore available for future appropriation. The Fund Balance increased as the result of a combination of increased and unexpected revenue as well as expenditures ending the year below appropriations. This is further discussed on page 19 of this report.
- o The City of Cadillac's total outstanding debt **decreased** by \$700,000 during the fiscal year. This decrease is the result of no new debt being issued, and all debt service payments on the city's outstanding bond issues being made in a timely manner.

City of Cadillac
Management's Discussion and Analysis
June 30, 2019

Overview of the Financial Statements

This discussion and analysis is intended to serve as an introduction to the City of Cadillac's basic financial statements. The City of Cadillac's basic financial statements consist of three components: 1) government-wide financial statements, 2) fund financial statements, and 3) notes to the financial statements. The report also contains other supplementary information in addition to the basic financial statements themselves.

Government-Wide Financial Statements - The *Government-Wide Financial Statements* are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

The *Statement of Net Position* presents information on all of the City's assets, liabilities and deferred inflows/outflows of resources, with the difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City is improving or deteriorating.

The *Statement of Activities* presents information showing how the City's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, *regardless of the timing of related cash flows*. Thus, revenues and expenses are reported for some items that will only result in cash flows in future periods.

Both government-wide financial statements distinguish functions of the City that are principally supported by property taxes and intergovernmental revenues (governmental activities) from other functions that are intended to recover all or most of their costs through user fees and charges (business-type activities). Governmental activities of the City include general government, public safety, public works, recreation and culture, economic development and assistance, and interest on long-term debt. Business-type activities of the City include water and sewer utility services, building authority, and auto parking.

The government-wide financial statements include not only the City of Cadillac itself (known as the *primary government*), but also a legally separate component units for which the City is financially accountable. Financial information for these component units are reported separately from the financial information presented for the primary government itself.

The government-wide financial statements can be found on pages 24-25 of this report.

Fund Financial Statements

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. Each fund is operated similar to a completely separate entity, with its own set of balancing accounts. The City of Cadillac uses fund accounting to ensure compliance with finance-related legal requirements. All of the funds of the City of

City of Cadillac
Management's Discussion and Analysis
June 30, 2019

Cadillac can be divided into three categories: governmental funds, proprietary funds, and fiduciary funds.

Governmental Funds Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, governmental fund financial statements focus on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources available at the end of the fiscal year. Such information may be useful in assessing a government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the government's near-term financing decisions. Both the governmental fund balance sheet and the governmental fund statement of revenues, expenditures, and changes in fund balances provide a reconciliation to facilitate this comparison between governmental funds and governmental activities.

Governmental funds for the City include the General Fund as well as the special revenue, capital project, debt service and permanent funds. The information is presented individually in the basic financial statements for the General Fund and the Major Street Fund, which are considered to be major funds. Data is combined into a single aggregated presentation for the other governmental funds (non-major governmental funds). Individual data for each of the remaining nonmajor governmental funds is provided in the form of combining statements and schedules.

The basic governmental fund financial statements can be found on pages 26-29 of this report.

Proprietary Funds The City maintains two different types of proprietary funds. Enterprise funds are used to report the same functions presented as business-type activities in the government-wide financial statements. The City uses enterprise funds to account for its Water and Sewer activities, the Automobile Parking System, and the Building Authority Fund. Internal service funds are an accounting device used to accumulate and allocate costs internally among the City's various functions. The City uses internal service funds to account for the management of its insurance benefit plans, information technology and safety activities, and for its fleet of vehicles. Because these services predominantly benefit governmental rather than business-type functions, they have been included within governmental activities in the government-wide financial statements.

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The proprietary fund financial statements provide separate information for the Water and Sewer Fund, which is considered to be a major fund of the City. Conversely, the internal service funds are combined into a single, aggregated presentation in the proprietary fund financial statements. Individual fund data for the internal service funds are provided in the form of combining statements in the combining and individual fund statements and schedules section of this report.

City of Cadillac
Management's Discussion and Analysis
June 30, 2019

The basic proprietary fund financial statements can be found on pages 30-32 of this report.

Fiduciary Funds Fiduciary funds are used to account for resources held for the benefit of parties outside the government. These funds are not reflected in the government-wide financial statements because the resources of the funds are not available for supporting the City's programs. These funds are accounted for using the full accrual method of accounting, much like the Proprietary funds.

The City maintains two fiduciary funds, the Police and Fire Retirement Fund, a pension trust fund to report resources held in trust for retirees and beneficiaries of the City's Act 345 Police and Fire Retirement System, and an agency fund used to report resources held by the City for other governments.

The fiduciary fund financial statements can be found on pages 33-34 of this report.

Component Units The City's Comprehensive Annual Financial Report includes reporting on separate legal entities for which the City has some level of financial responsibility. These funds are shown in a separate column. The City's component units include the Downtown Development Authority, the Downtown Development Authority Capital Projects, the Local Development Finance Authority Operating, Capital Projects and Utilities Funds, the Brownfield Redevelopment Authority Fund, and the Economic Development Corporation.

Notes to the Financial Statements

The Notes to the Basic Financial Statements provide additional information that is essential to a complete understanding of the information provided in both the government-wide and the fund financial statements. The notes can be found beginning on Page 38 of this report.

Other Information

In addition to the basic financial statements and accompanying notes, this report further presents Required Supplementary Information (RSI) that explains and supports the information presented in the financial statements. This information can be found beginning on Page 89 of this report.

Government-Wide Financial Analysis

As noted earlier, net position may serve over time as a useful indicator of a government's financial position. The assets and deferred outflows of resources of the City exceeded liabilities by \$31,813,089 at June 30, 2019. A comparison with the previous fiscal year is presented in order to show the change in Net Position over the previous fiscal year.

City of Cadillac
Management's Discussion and Analysis
June 30, 2019

City of Cadillac Net Position
(amounts expressed in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2019	2018	2019	2018	2019	2018
Current and Other Assets	\$8,287	\$8,898	\$4,113	\$3,976	\$12,400	\$12,874
Capital Assets	13,309	11,929	22,766	22,875	36,075	34,804
Total Assets	\$21,596	\$20,827	\$26,879	\$26,851	\$48,475	\$47,678
Deferred Outflows of Resources	\$1,042	\$597	\$417	\$155	\$1,459	\$752
Current and Other Liabilities	\$929	\$791	\$1,136	\$1,023	\$2,065	\$1,814
Long-Term Liabilities	7,618	7,149	7,731	7,770	15,349	14,919
Total Liabilities	\$8,547	\$7,940	\$8,867	\$8,793	\$17,414	\$16,733
Deferred Inflows of Resources	\$622	\$515	\$84	\$199	\$706	\$714
Net Position						
Net Investment in Capital Assets	\$11,797	\$10,652	\$16,332	\$15,861	\$28,129	\$26,513
Restricted	2,537	3,554	654	644	3,191	4,198
Unrestricted	(865)	(1,236)	1,358	1,509	493	273
Total Net Position	\$13,469	\$12,970	\$18,344	\$18,014	\$31,813	\$30,984

The most significant portion of the City's Net Position (88%) represents investment in capital assets (e.g. land, buildings, equipment, infrastructure, and others), less any related debt that is outstanding that the City used to acquire or construct the asset. These assets are used by the City of Cadillac to provide public services to its citizens; consequently, these assets are not available for future spending.

The City has a negative balance in unrestricted Net Position for Governmental Activities. This deficit balance was a direct result of the implementation of GASB Statement Nos. 68 and 75. These new standards require reporting a net pension liability when the actuarial liabilities of a pension system exceed the actuarial value of the system's assets and a net OPEB liability when the same is true for an OPEB plan. For Cadillac, this added liabilities of \$5,940,983 in FY2019 and \$5,338,831 in FY2018 in the governmental funds, and additional liabilities of \$1,775,665 in FY2019 and \$1,217,607 in FY2018 in the business-type activities. An additional portion of net position (10%) represents resources that are subject to external restrictions on how they may be used.

City of Cadillac
Management's Discussion and Analysis
June 30, 2019

The total net position of the City increased by \$828,486 during the fiscal year. Reasons for this change in net position are discussed in upcoming sections.

City of Cadillac Change in Net Position
(amounts expressed in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2019	2018	2019	2018	2019	2018
<u>Revenues</u>						
Program Revenues						
Charges for Services	\$1,661	\$1,509	\$4,965	\$4,761	\$6,626	\$6,270
Operating Grants and Contributions	1,985	1,180	0	0	1,985	1,180
Capital Grants	991	47	0	0	991	47
General Revenues						
Property Taxes and Assessments	3,830	3,872	0	0	3,830	3,872
State Shared Revenue	2,027	2,138	0	0	2,027	2,138
Unrestricted Investment Earnings	145	100	54	44	199	144
Other	0	195	0	0	0	195
Total Revenues	\$10,639	\$9,041	\$5,019	\$4,805	\$15,658	\$13,846
<u>Expenses</u>						
General Government, Administrative	\$2,095	\$1,841	\$0	\$0	\$2,095	\$1,841
Public Safety	3,542	2,815	0	0	3,542	2,815
Public Works	2,916	2,602	0	0	2,916	2,602
Recreation and Culture	527	506	0	0	527	506
Economic Development/Assistance	1,020	235	0	0	1,020	235
Interest on Long-Term Debt	40	45	0	0	40	45
Water and Sewer	0	0	4,480	4,276	4,480	4,276
Automobile Parking System	0	0	84	62	84	62
Building Authority Operating	0	0	125	123	125	123
Total Expenses	\$10,140	\$8,044	\$4,689	\$4,461	\$14,829	\$12,505
Changes in Net Position	499	997	330	344	829	1,341
Beginning Net Position	12,970	11,973	18,014	17,670	30,984	29,643
Ending Net Position	<u>\$13,469</u>	<u>\$12,970</u>	<u>\$18,344</u>	<u>\$18,014</u>	<u>\$31,813</u>	<u>\$30,984</u>

City of Cadillac
Management's Discussion and Analysis
June 30, 2019

Governmental Activities

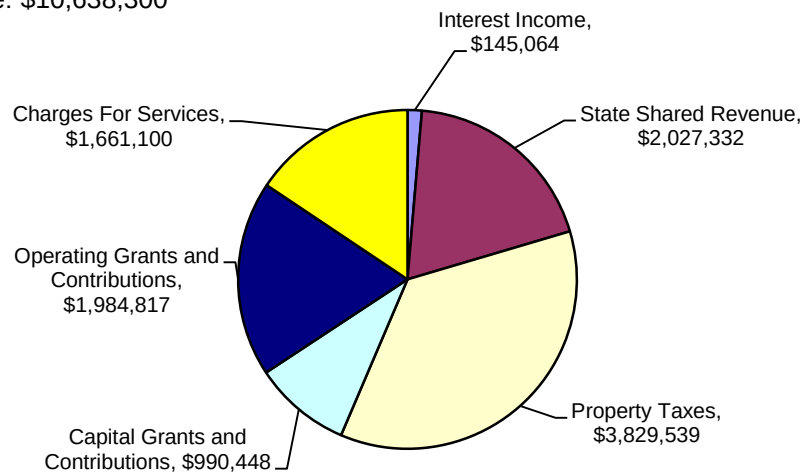
The net position of the City's governmental activities increased by \$498,573 during the year. Much of this increase can be attributed to positive results in the General Fund and several other governmental funds, as well as adjustments made related to pension and other post-employment benefit expenses.

The following chart summarizes the revenue sources for the City's governmental activities for the year ended June 30, 2019:

Revenues - Governmental Activities

Fiscal Year Ended June 30, 2019

Total Revenue: \$10,638,300

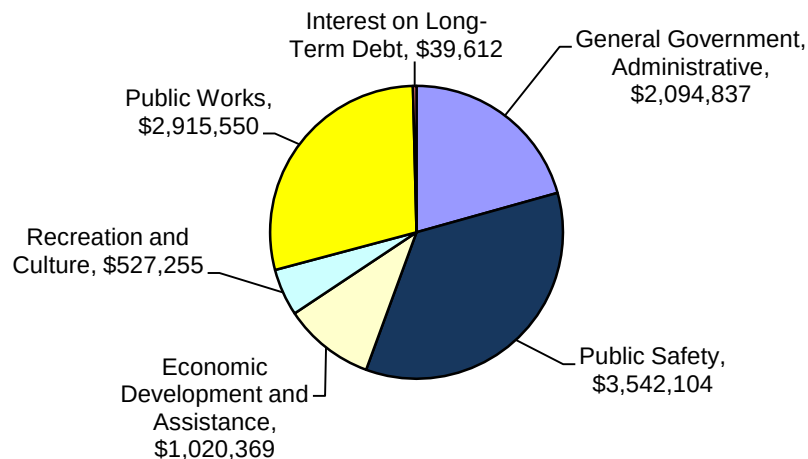


Total expenses for governmental activities for the year ended June 30, 2019 are summarized below:

Expenses - Governmental Activities

Fiscal Year Ended June 30, 2019

Total Expenses: \$10,139,727



City of Cadillac
Management's Discussion and Analysis
June 30, 2019

Business-Type Activities

Net position within the City's business-type activities increased by \$329,913 during the year. The City's water and sewer activities produced an increase in Net Position of \$323,372 for the year. Total revenues exceeded the final budget by \$163,957 primarily because the City received revenue for treatment of leachate from the Wexford County Landfill that exceeded budget by \$44,691, and additional sewer revenues from sewer treatment contracts with local Townships that exceeded the budget by \$203,291. The Building Authority Fund, which reports the activities related to the rental of a City building to the Michigan Department of Environmental Quality, had an increase in net position of \$32,034.

Financial Analysis of the Government's Funds

Governmental Funds At the completion of the City's fiscal year ended June 30, 2019, governmental funds reported combined ending fund balances of \$7,115,846. This ending fund balance is \$609,477 lower than the end of the previous fiscal year. Of the total ending fund balance, \$382,162, or 5%, is nonspendable. An additional amount of \$1,864,021, or 26%, is restricted to spending for specific purposes, including street projects, lake treatment, debt service and perpetual care of Maple Hill Cemetery. Portions of total fund balance have also been assigned for various uses, including a 15% working capital reserve and an amount equal to the estimated cost of sick and vacation leave benefits. This portion of fund balance totals \$3,537,066, or 50% of the total. Finally, \$1,332,597 is unassigned and available for appropriation at the discretion of the City.

Detailed information regarding the various classifications of fund balance on hand as of June 30, 2019 can be found on page 72 of this report.

General Fund – The General Fund is the main operating fund of the City. The fund balance in the General Fund at June 30, 2019 was \$3,431,328. This represents a 17.4% **increase** from the prior year. An amount equal to 15% of total annual expenditures is assigned as a working capital reserve in accordance with City policy. This level has been maintained or exceeded for many years. There is also \$309,546 assigned to fund sick and vacation benefits that have accrued but have not yet been paid out.

Total fund balance in the City of Cadillac's General Fund increased by \$510,872 in the current fiscal year. As discussed in the General Fund Budgetary Highlights below, revenues exceeded budget by \$70,429 and expenditures were below appropriations by \$229,943 which contributed to the positive year-end results. The final amended budget planned for a surplus of \$210,500.

Proprietary Funds The City's proprietary funds provide virtually the same information as the government-wide statements; however, more detail may be found in the fund financial statements. The Water and Sewer Fund increased net position by \$323,372 during the year. The issues discussed prior detail the primary contributors to the increase. Total Net Position in the City's other Enterprise Funds increased by \$6,541 for the year.

City of Cadillac
Management's Discussion and Analysis
June 30, 2019

General Fund Budgetary Highlights

Budget Amendments

During the year, two amendments of the General Fund budget were approved by City Council. These amendments decreased total General Fund appropriations by \$17,000. The major appropriation increases were related to the following:

- The purchase of a fire truck was cancelled. The budget planned for this purchase using grant dollars, but the City did not receive the grant, so the purchase did not take place. This removed \$420,000 in appropriated expenditures.
- Final costs related to the construction of a new restroom at Kenwood Park were incurred in FY2019 but had originally been planned for FY2018. An appropriation was made for FY2019 in the amount of \$103,000 to transfer the appropriation to this year when the costs were incurred.
- Additional appropriations of \$100,000 were made to help fund the final construction costs of The Market at Cadillac Commons.
- A long-serving Fire Department officer retired and additional appropriations of \$37,500 were required to fund final benefit payouts for this officer.
- Contractual engineering costs were higher than anticipated due to higher than anticipated activity. An additional appropriation of \$15,000 was made to cover these costs.
- Funds received from the State of Michigan for personal property tax loss reimbursement exceeded the original budget. A portion of these additional funds were appropriated to the Public Works department to help cover the cost of a new plow truck. Additional appropriations for this purpose were \$125,000.
- Several other small appropriation increases were included in the budget amendments.

Budget Variances

Overall, actual expenditures were \$229,943 below the legal appropriations. Several factors contributed to this positive variance:

- Revenues exceeded the budget by \$70,432, primarily due to Constitutional Revenue Sharing from the State of Michigan exceeding budget by \$70,925.
- Total Legal Fees for the year were \$35,911 below budget.
- Police Department expenditures were below budget by \$239,543. This was primarily due to vacancies in the department resulting in fringe benefit costs being lower than planned.
- Fire Department expenditures were below budget by \$176,939. This was primarily due to vacancies in the department resulting in fringe benefit costs being lower than planned.
- General savings and smaller cost-reduction actions accounted for the remainder of the positive variances.

City of Cadillac
Management's Discussion and Analysis
June 30, 2019

Capital Asset and Debt Administration

Capital Assets. The City's investment in capital assets for the governmental and business-type activities as of June 30, 2019, amounted to \$36,074,877 (net of accumulated depreciation). This represents an increase of \$1,270,503 during the year, primarily from investments in equipment, infrastructure and water and sewer system improvements. Total capital assets increased after applying normal government-wide depreciation costs of \$1,689,462 (net of disposals). The City has invested in a broad range of capital assets, as detailed below:

City of Cadillac Capital Assets (amounts expressed in thousands)						
	Governmental Activities		Business-Type Activities		Total	
	2019	2018	2019	2018	2019	2018
Infrastructure	\$22,656	\$21,565	\$0	\$0	\$22,656	\$21,565
Land and Land Improvements	3,409	3,409	1,567	1,355	4,976	4,764
Buildings	6,548	5,254	2,437	2,437	8,985	7,691
Machinery & Equipment	5,572	5,281	1,500	1,397	7,072	6,678
Investment in Water and Sewer Systems	0	0	40,592	40,030	40,592	40,030
Subtotal	\$38,185	\$35,509	\$46,096	\$45,219	\$84,281	\$80,728
Construction in Progress	7	463	694	700	701	1,163
Accumulated Depreciation	(24,883)	(24,043)	(24,024)	(23,044)	(48,907)	(47,087)
Net Capital Assets	\$13,309	\$11,929	\$22,766	\$22,875	\$36,075	\$34,804

Capital assets of the City include any items purchased that cost in excess of \$5,000 and have an expected useful life greater than one year. Additional information regarding the City's capital assets can be found in the Notes to Financial Statements section on Page 45 and Pages 53-55.

Long-Term Debt. As of June 30, 2019, the City had total long-term debt outstanding of approximately \$8,605,067. This is a decrease of \$709,379 compared to the prior fiscal year. No new debt was issued, and total debt was reduced by normal debt service requirements that were met throughout the year.

Of the City's total outstanding debt, \$1,640,000 comprises debt backed by the full faith and credit of the City. The remainder of the City's bonded debt represents bonds secured solely by specified revenue sources. The City's revenue bonds are associated with the Water and Sewer Fund and are backed by revenues pledged from user charges generated in the Water and Sewer system, and have been used to finance major capital projects within the system.

City of Cadillac
Management's Discussion and Analysis
June 30, 2019

City of Cadillac Outstanding Debt
(amounts expressed in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2019	2018	2019	2018	2019	2018
General Obligation Bonds	\$1,640	\$1,760	\$0	\$0	\$1,640	\$1,760
Contracts, Notes, and Other	348	369	183	172	531	541
Revenue Bonds	0	0	6,434	7,014	6,434	7,014
Total Outstanding Debt	\$1,988	\$2,129	\$6,617	\$7,186	\$8,605	\$9,315

State statutes limit the amount of general obligation debt a governmental entity may issue to 10 percent of total assessed valuation. The current debt limitation based on the City's taxable valuation of \$223,187,761 is \$22,318,776 which significantly exceeds the City's outstanding general obligation debt of \$1,640,000. More information on the City's long-term debt is available in the Notes to Financial Statements section of this document, on Pages 56-57.

Contacting the City's Financial Services Department

This financial report is designed to provide a general overview of the City's finances for all those with an interest in the government's finances and demonstrate the City's accountability for the resources entrusted to it. If you have any questions regarding this report or need additional financial information, please direct your requests to the City of Cadillac, Director of Finance, 200 N. Lake Street, Cadillac, Michigan 49601, or call us at (231) 775-0181.

Basic Financial Statements

City of Cadillac
Statement of Net Position
June 30, 2019

	Primary Government			
	Governmental Activities	Business-type Activities	Total	Component Units
ASSETS				
<i>Current Assets</i>				
Cash and Pooled Investments	\$ 7,407,292	\$ 2,385,747	\$ 9,793,039	\$ 2,190,122
Receivables	633,624	851,665	1,485,289	25,596
Prepays	117,099	1,578	118,677	--
Inventory	59,788	220,019	279,807	--
Due from Fiduciary Funds	69,012	--	69,012	--
Total Current Assets	8,286,815	3,459,009	11,745,824	2,215,718
<i>Noncurrent Assets</i>				
Restricted Cash	--	654,263	654,263	--
Capital Assets not being Depreciated	2,256,725	1,406,557	3,663,282	529,080
Capital Assets being Depreciated	11,052,634	21,358,961	32,411,595	1,594,908
Total Noncurrent Assets	13,309,359	23,419,781	36,729,140	2,123,988
Total Assets	21,596,174	26,878,790	48,474,964	4,339,706
DEFERRED OUTFLOWS OF RESOURCES				
OPEB Related	132,833	9,007	141,840	--
Pension Related	909,282	408,033	1,317,315	--
Total Deferred Outflows of Resources	1,042,115	417,040	1,459,155	--
LIABILITIES				
<i>Current Liabilities</i>				
Accounts Payable	488,905	382,468	871,373	33,054
Accrued Liabilities	122,779	40,337	163,116	1,183
Customer Deposits	--	8,780	8,780	--
Accrued Interest	5,682	43,090	48,772	--
Current Portion of Compensated Absences	187,914	56,735	244,649	1,162
Current Portion of Long-term Debt	123,333	605,000	728,333	70,369
Due to Other Governmental Units	813	--	813	--
Total Current Liabilities	929,426	1,136,410	2,065,836	105,768
<i>Noncurrent Liabilities</i>				
Compensated Absences	160,075	126,282	286,357	990
Long-term Debt	1,516,667	5,829,061	7,345,728	842,220
Net OPEB Liability	1,003,622	68,051	1,071,673	--
Net Pension Liability	4,937,361	1,707,614	6,644,975	--
Total Noncurrent Liabilities	7,617,725	7,731,008	15,348,733	843,210
Total Liabilities	8,547,151	8,867,418	17,414,569	948,978
DEFERRED INFLOWS OF RESOURCES				
OPEB Related	492,297	33,380	525,677	--
Pension Related	129,921	50,863	180,784	--
Total Deferred Inflows of Resources	622,218	84,243	706,461	--
NET POSITION				
Net Investment in Capital Assets	11,796,584	16,331,457	28,128,041	1,243,988
Restricted (Note 15):	2,537,318	654,263	3,191,581	2,146,740
Unrestricted	(864,982)	1,358,449	493,467	--
Total Net Position	\$ 13,468,920	\$ 18,344,169	\$ 31,813,089	\$ 3,390,728

The Notes to the Financial Statements are an integral part of these financial statements.

**City of Cadillac
Statement of Activities
For the Year Ended June 30, 2019**

Functions/Programs	Expenses	Program Revenues			Net (Expense) Revenue			Component Units
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Primary Government			
					Governmental Activities	Business-type Activities	Total	
Primary Government								
Governmental Activities:								
General Government	\$ 2,094,837	\$ 594,306	\$ --	\$ --	\$ (1,500,531)	\$ --	\$ (1,500,531)	\$ --
Public Safety	3,542,104	216,375	295,421	--	(3,030,308)	--	(3,030,308)	--
Public Works	2,915,550	847,304	1,689,396	176,250	(202,600)	--	(202,600)	--
Recreation and Culture	527,255	--	--	32,018	(495,237)	--	(495,237)	--
Interest on Long-term Debt	39,612	--	--	--	(39,612)	--	(39,612)	--
Economic Development	1,020,369	3,115	--	782,180	(235,074)	--	(235,074)	--
Total Governmental Activities	10,139,727	1,661,100	1,984,817	990,448	(5,503,362)	--	(5,503,362)	--
Business-type Activities:								
Auto Parking	83,901	56,122	--	--	--	(27,779)	(27,779)	--
Building Authority	124,704	154,440	--	--	--	29,736	29,736	--
Water and Sewer	4,479,585	4,754,051	--	--	--	274,466	274,466	--
Total Business-type Activities	4,688,190	4,964,613	--	--	--	276,423	276,423	--
Total Primary Government	\$ 14,827,917	\$ 6,625,713	\$ 1,984,817	\$ 990,448	\$ (5,503,362)	\$ 276,423	\$ (5,226,939)	--
Component Units								
Brownfield Redevelopment Authority	\$ 61,424	\$ --	\$ --	\$ --	--	--	--	(61,424)
Downtown Development Authority	177,828	--	25,615	--	--	--	--	(152,213)
Local Development Finance Authority	286,582	16,538	--	--	--	--	--	(270,044)
Economic Development Corporation	--	--	--	--	--	--	--	--
Total Component Units	\$ 525,834	\$ 16,538	\$ 25,615	\$ --	--	--	--	(483,681)
General Purpose Revenues:								
Interest Income					145,064	53,490	198,554	34,515
Property Taxes					3,829,539	--	3,829,539	238,071
Unrestricted State Revenue					2,027,332	--	2,027,332	19,246
Total General Revenues					6,001,935	53,490	6,055,425	291,832
Change in Net Position					498,573	329,913	828,486	(191,849)
Net Position at Beginning of Period					12,970,347	18,014,256	30,984,603	3,582,577
Net Position at End of Period					\$ 13,468,920	\$ 18,344,169	\$ 31,813,089	\$ 3,390,728

The Notes to the Financial Statements are an integral part of these financial statements.

**City of Cadillac
Balance Sheet
Governmental Funds
June 30, 2019**

	<u>Special Revenue</u>		<u>Other</u>	<u>Total</u>
	<u>General</u>	<u>Major Streets</u>	<u>Governmental</u>	<u>Governmental</u>
			<u>Funds</u>	<u>Funds</u>
ASSETS				
Cash and Pooled Investments	\$ 3,483,482	\$ 602,635	\$ 2,816,327	\$ 6,902,444
Receivables	139,929	156,840	322,965	619,734
Prepays	9,071	--	--	9,071
Due from Fiduciary Funds	69,012	--	--	69,012
Due from Other Funds	--	36,795	--	36,795
Advance to Other Funds	--	--	150,000	150,000
Total Assets	\$ 3,701,494	\$ 796,270	\$ 3,289,292	\$ 7,787,056
LIABILITIES				
Accounts Payable	\$ 171,890	\$ 39,223	\$ 231,255	\$ 442,368
Accrued Liabilities	97,463	2,600	7,410	107,473
Due to Other Governmental Units	813	--	--	813
Due to Other Funds	--	--	36,795	36,795
Total Liabilities	270,166	41,823	275,460	587,449
DEFERRED INFLOWS OF RESOURCES				
Unavailable Revenue	--	--	83,761	83,761
Total Liabilities and Deferred Inflows of Resources	270,166	41,823	359,221	671,210
FUND BALANCE				
Nonspendable	9,071	--	373,091	382,162
Restricted	41,772	754,447	1,067,802	1,864,021
Assigned	2,047,888	--	1,489,178	3,537,066
Unassigned	1,332,597	--	--	1,332,597
Total Fund Balance	3,431,328	754,447	2,930,071	7,115,846
Total Liabilities, Deferred Inflows of Resources, and Fund Balance	\$ 3,701,494	\$ 796,270	\$ 3,289,292	\$ 7,787,056

The Notes to the Financial Statements are an integral part of these financial statements.

City of Cadillac
Reconciliation of Governmental Funds Balance Sheet to the Statement of Net Position
June 30, 2019

Total Fund Balance - Governmental Funds	\$ 7,115,846
Net position of internal service funds that are treated as proprietary in the fund level statements are treated as governmental in the entity-wide statements.	1,250,375
In the Statement of Activities, interest is accrued on outstanding bonds, whereas in governmental funds, the interest expenditure is reported when due.	(5,682)
General government capital assets of \$34,985,051, net of accumulated depreciation of \$22,764,699, are not financial resources, and accordingly are not reported in the funds.	12,220,352
Certain receivables are not available to pay for current period expenditures and, therefore, are unavailable in the funds.	83,761
Long-term liabilities are not due and payable in the current period and, therefore, are not reported in the funds.	(1,640,000)
Compensated absences are not due in and payable in the current period and, therefore, are not reported in the funds.	(309,546)
The net pension liability and related deferred items are not paid from current financial resources and, therefore, are excluded from the fund financial statements but are included as a liability or deferred item in the government-wide financial statements.	(3,975,524)
The net OPEB liability and related deferred items are not paid from current financial resources and, therefore, are excluded from the fund financial statements but are included as a liability or deferred item in the government-wide financial statements.	(1,270,662)
Total Net Position - Governmental Activities	\$ <u>13,468,920</u>

The Notes to the Financial Statements are an integral part of these financial statements.

City of Cadillac
Statement of Revenues, Expenditures, and Changes in Fund Balance
Governmental Funds
For the Year Ended June 30, 2019

	<u>Special Revenue</u>		<u>Other</u>	<u>Total</u>
	<u>General</u>	<u>Major Streets</u>	<u>Governmental Funds</u>	<u>Governmental Funds</u>
Revenues				
Property Taxes	\$ 3,829,539	\$ --	\$ --	\$ 3,829,539
Licenses and Permits	138,359	--	99,898	238,257
Federal Revenue	--	--	741,980	741,980
State Revenue	2,162,879	1,177,681	645,038	3,985,598
Local Revenue	220,919	1,750	72,968	295,637
Charges for Services	1,023,963	--	96,830	1,120,793
Fines	10,721	--	--	10,721
Miscellaneous	28,336	--	12,706	41,042
Interest Income	79,913	11,158	44,780	135,851
Total Revenues	7,494,629	1,190,589	1,714,200	10,399,418
Expenditures				
General Government	1,605,589	--	243,147	1,848,736
Public Safety	3,280,118	--	99,180	3,379,298
Public Works	1,005,312	651,452	508,402	2,165,166
Economic Development	197,506	--	794,598	992,104
Recreation and Culture	370,543	--	--	370,543
Capital Outlay	240,766	337,812	1,514,408	2,092,986
Debt Service - Principal	--	--	120,000	120,000
Debt Service - Interest	--	--	40,062	40,062
Total Expenditures	6,699,834	989,264	3,319,797	11,008,895
Excess of Revenues Over				
(Under) Expenditures	794,795	201,325	(1,605,597)	(609,477)
Other Financing Sources (Uses)				
Transfers In	--	--	625,323	625,323
Transfers Out	(283,923)	(261,100)	(80,300)	(625,323)
Net Other Financing Sources (Uses)	(283,923)	(261,100)	545,023	--
Net Change in Fund Balance	510,872	(59,775)	(1,060,574)	(609,477)
Fund Balance at Beginning of Period	2,920,456	814,222	3,990,645	7,725,323
Fund Balance at End of Period	\$ 3,431,328	\$ 754,447	\$ 2,930,071	\$ 7,115,846

The Notes to the Financial Statements are an integral part of these financial statements.

City of Cadillac
Reconciliation of Governmental Funds Statement of Revenues, Expenditures, and
Changes in Fund Balance with Statement of Activities
For the Year Ended June 30, 2019

Total Net Change in Fund Balances - Governmental Funds	\$ (609,477)
Changes in net position of internal service funds that are treated as enterprise fund changes in net position in the fund level statements are treated as governmental fund changes in net position in the entity-wide statements.	165,927
Governmental fund report capital outlay as expenditures; however, in the Statement of Activities, the cost of those assets is allocated over the estimated useful lives as depreciation expense. This is the amount by which capital outlay expenditures of \$2,092,986 are in excess of depreciation expense of \$1,013,355.	1,079,631
Changes to accrued interest are not shown in the fund financial statements.	450
Change to compensated absences are not shown in the fund financial statements.	24,831
Current year long-term debt principal payments on contractual obligations, bonds payable, and capital leases are expenditures in the fund financial statements but are reductions in long-term debt in the government-wide financial statements.	120,000
Some receivables are long-term in nature and are collectible over several years. However, the current receipts are reflected as revenues on the fund statements.	(8,206)
Changes to the net pension liability and related items are not shown in the fund financial statements.	(302,620)
Changes to the net OPEB liability and related items are not shown in the fund financial statements.	28,037
Changes in Net Position - Governmental Activities	\$ <u>498,573</u>

The Notes to the Financial Statements are an integral part of these financial statements.

City of Cadillac
Statement of Net Position
Proprietary Funds
June 30, 2019

	Business-type Activities - Enterprise Funds			Governmental Activities Internal Service Funds
	Water and Sewer	Other Enterprise Funds	Total Enterprise Funds	
ASSETS				
<i>Current Assets</i>				
Cash and Pooled Investments	\$ 1,966,283	\$ 419,464	\$ 2,385,747	\$ 504,848
Receivables	851,247	418	851,665	13,890
Prepays	1,578	--	1,578	108,028
Inventory	220,019	--	220,019	59,788
Total Current Assets	3,039,127	419,882	3,459,009	686,554
<i>Noncurrent Assets</i>				
Restricted Cash	654,263	--	654,263	--
Capital Assets not being Depreciated	1,066,891	339,666	1,406,557	25,000
Capital Assets being Depreciated	20,159,453	1,199,508	21,358,961	1,064,007
Total Noncurrent Assets	21,880,607	1,539,174	23,419,781	1,089,007
Total Assets	24,919,734	1,959,056	26,878,790	1,775,561
DEFERRED OUTFLOWS OF RESOURCES				
OPEB Related	9,007	--	9,007	9,007
Pension Related	408,033	--	408,033	55,135
Total Deferred Outflows of Resources	417,040	--	417,040	64,142
LIABILITIES				
<i>Current Liabilities</i>				
Accounts Payable	368,687	13,781	382,468	46,537
Accrued Liabilities	40,337	--	40,337	15,306
Customer Deposits	8,780	--	8,780	--
Accrued Interest	43,090	--	43,090	--
Current Portion of Compensated Absences	56,735	--	56,735	20,759
Current Portion of Long-term Debt	605,000	--	605,000	--
Total Current Liabilities	1,122,629	13,781	1,136,410	82,602
<i>Noncurrent Liabilities</i>				
Compensated Absences	126,282	--	126,282	17,684
Long-term Debt	5,829,061	--	5,829,061	--
Net OPEB Liability	68,051	--	68,051	68,051
Net Pension Liability	1,707,614	--	1,707,614	230,738
Advance from Other Funds	--	--	--	150,000
Total Noncurrent Liabilities	7,731,008	--	7,731,008	466,473
Total Liabilities	8,853,637	13,781	8,867,418	549,075
DEFERRED INFLOWS OF RESOURCES				
OPEB Related	33,380	--	33,380	33,380
Pension Related	50,863	--	50,863	6,873
Total Deferred Inflows of Resources	84,243	--	84,243	40,253
NET POSITION				
Net Investment in Capital Assets	14,792,283	1,539,174	16,331,457	1,089,007
<i>Restricted for:</i>				
Debt Service	654,263	--	654,263	--
Internal Service - Retirees' Life Insurance	--	--	--	168,866
Internal Service - Employees' Life and Health Insurance	--	--	--	131,340
<i>Unrestricted</i>	952,348	406,101	1,358,449	(138,838)
Total Net Position	\$ 16,398,894	\$ 1,945,275	\$ 18,344,169	\$ 1,250,375

The Notes to the Financial Statements are an integral part of these financial statements.

City of Cadillac
Statement of Revenues, Expenses, and Changes in Net Position
Proprietary Funds
For the Year Ended June 30, 2019

	Business-type Activities - Enterprise Funds			Governmental Activities Internal Service Funds
	Water and Sewer	Other Enterprise Funds	Total Enterprise Funds	
Operating Revenues				
Charges for Services	\$ 4,728,949	\$ 156,284	\$ 4,885,233	\$ 2,487,670
<i>Total Operating Revenues</i>	4,728,949	156,284	4,885,233	2,487,670
Operating Expenses				
Salaries and Wages	1,787,569	16,816	1,804,385	261,323
Materials and Supplies	303,785	17,085	320,870	162,499
Utilities	425,936	3,099	429,035	29,026
Repair and Maintenance	163,667	35,234	198,901	79,574
Equipment Rental	287,758	34,116	321,874	28,471
Contracted Services	470,315	37,429	507,744	188,646
Professional Fees	--	500	500	--
Insurance	--	--	--	1,450,985
Depreciation	888,516	64,326	952,842	130,851
<i>Total Operating Expenses</i>	4,327,546	208,605	4,536,151	2,331,375
<i>Operating Income (Loss)</i>	401,403	(52,321)	349,082	156,295
Non-Operating Revenues (Expenses)				
Interest Income	48,906	4,584	53,490	9,213
Gain on Sale of Capital Assets	--	--	--	419
Special Assessment Revenue	--	54,278	54,278	--
Miscellaneous Revenue	25,102	--	25,102	--
Interest Expense	(152,039)	--	(152,039)	--
<i>Net Non-Operating Revenues (Expenses)</i>	(78,031)	58,862	(19,169)	9,632
<i>Change In Net Position</i>	323,372	6,541	329,913	165,927
<i>Net Position at Beginning of Period</i>	16,075,522	1,938,734	18,014,256	1,084,448
<i>Net Position at End of Period</i>	\$ 16,398,894	\$ 1,945,275	\$ 18,344,169	\$ 1,250,375

The Notes to the Financial Statements are an integral part of these financial statements.

City of Cadillac
Statement of Cash Flows
Proprietary Funds
For the Year Ended June 30, 2019

	Business-type Activities - Enterprise Funds			Governmental Activities Internal Service Funds
	Water and Sewer	Other Enterprise Funds	Total Enterprise Funds	
Cash Flows from Operating Activities				
Cash Received from Customers and Special Assessments	\$ 4,609,408	\$ 156,082	\$ 4,765,490	\$ 2,513,874
Cash Payments to Employees for Services and Fringe Benefits	(1,594,570)	(16,895)	(1,611,465)	(266,943)
Cash Payments to Suppliers for Goods and Services	(1,603,419)	(114,020)	(1,717,439)	(1,938,129)
Net Cash Provided by Operating Activities	1,411,419	25,167	1,436,586	308,802
Cash Flows from Non-capital and Related Financing Activities				
Miscellaneous Receipts	25,102	-	25,102	-
Net Cash Provided by Non-capital and Related Financing Activities	25,102	-	25,102	-
Cash Flows from Capital and Related Financing Activities				
Principal Paid	(580,000)	-	(580,000)	-
Interest Paid	(156,033)	-	(156,033)	-
Special Assessment Revenue	-	54,278	54,278	-
Gain on Sale of Capital Assets	-	-	-	419
Capital Assets Purchased	(842,906)	-	(842,906)	(431,660)
Net Cash Provided by (Used in) Capital and Related Financing Activities	(1,578,939)	54,278	(1,524,661)	(431,241)
Cash Flows From Investing Activities				
Interest on Investments	48,906	4,584	53,490	9,213
Net Cash Provided by Investing Activities	48,906	4,584	53,490	9,213
Net Increase (Decrease) in Cash and Equivalents	(93,512)	84,029	(9,483)	(113,226)
Cash and Pooled Investments - Beginning of Year	2,714,058	335,435	3,049,493	618,074
Cash and Pooled Investments - End of Year	\$ 2,620,546	\$ 419,464	\$ 3,040,010	\$ 504,848
Reconciliation of Operating Income (Loss) to Net Cash Provided by Operating Activities				
Operating Income (Loss)	\$ 401,403	\$ (52,321)	\$ 349,082	\$ 156,295
Adjustments to Reconcile Operating Income (Loss) to Net Cash Provided by Operating Activities				
Depreciation and Amortization Expense	888,516	64,326	952,842	130,851
Changes in Assets and Liabilities				
Receivables	(119,541)	(281)	(119,822)	26,204
Due from Other Governmental Units	-	-	-	-
Inventory	(25,341)	-	(25,341)	1,179
Prepaid Expenses	(1,578)	-	(1,578)	(16,878)
Accounts Payable	73,147	13,443	86,590	9,098
Accrued Liabilities	1,814	-	1,814	7,692
Compensated Absences	11,378	-	11,378	4,074
Net OPEB Liability and Related Deferred Items	(2,040)	-	(2,040)	(2,040)
Net Pension Liability and Related Deferred Items	183,661	-	183,661	(7,673)
Net Cash Provided by Operating Activities	\$ 1,411,419	\$ 25,167	\$ 1,436,586	\$ 308,802

The Notes to the Financial Statements are an integral part of these financial statements.

City of Cadillac
Statement of Fiduciary Net Position
Fiduciary Funds
June 30, 2019

	Police and Fire Trust	Agency
ASSETS		
Cash and Pooled Investments	\$ --	\$ 151
Investments	11,358,881	--
<i>Total Assets</i>	11,358,881	151
LIABILITIES		
Due to Other Governmental Units	--	151
Due to General Fund	69,012	--
<i>Total Liabilities</i>	69,012	\$ 151
NET POSITION		
Restricted for Pensions	\$ 11,289,869	

The Notes to the Financial Statements are an integral part of these financial statements.

City of Cadillac
Statement of Changes in Fiduciary Net Position
Fiduciary Funds
For the Year Ended June 30, 2019

	Police and Fire Trust
Additions	
<i>Contributions</i>	
Employer	\$ 683,213
Employee	12,203
<i>Total Contributions</i>	695,416
<i>Investment Income</i>	
Investment Income	316,831
Less: Investment Expense	(28,134)
<i>Total Investment Income</i>	288,697
<i>Total Additions</i>	984,113
Deductions	
Benefit Payments	986,135
Administrative	12,500
<i>Total Deductions</i>	998,635
<i>Change in Net Position</i>	(14,522)
<i>Net Position at Beginning of Period</i>	11,304,391
<i>Net Position at End of Period</i>	\$ 11,289,869

The Notes to the Financial Statements are an integral part of these financial statements.

City of Cadillac
Combining Statement of Net Position
Component Units
June 30, 2019

	Brownfield Redevelopment Authority	Downtown Development Authority	Local Development Finance Authority	Economic Development Corporation	Total Component Units
ASSETS					
<i>Current Assets</i>					
Cash and Pooled Investments	\$ 145,711	\$ 20,950	\$ 2,022,294	\$ 1,167	\$ 2,190,122
Receivables	17,104	--	8,492	--	25,596
Total Current Assets	162,815	20,950	2,030,786	1,167	2,215,718
<i>Noncurrent Assets</i>					
Capital Assets not being Depreciated	--	529,080	--	--	529,080
Capital Assets being Depreciated	--	1,477,343	117,565	--	1,594,908
Total Noncurrent Assets	--	2,006,423	117,565	--	2,123,988
Total Assets	162,815	2,027,373	2,148,351	1,167	4,339,706
LIABILITIES					
<i>Current Liabilities</i>					
Accounts Payable	16,656	1,450	14,948	--	33,054
Accrued Liabilities	--	216	967	--	1,183
Current Portion of Compensated Absences	--	1,162	--	--	1,162
Current Portion of Long-term Debt	8,702	61,667	--	--	70,369
Total Current Liabilities	25,358	64,495	15,915	--	105,768
<i>Noncurrent Liabilities</i>					
Compensated Absences	--	990	--	--	990
Long-term Debt	23,887	818,333	--	--	842,220
Total Noncurrent Liabilities	23,887	819,323	--	--	843,210
Total Liabilities	49,245	883,818	15,915	--	948,978
NET POSITION					
Net Investment in Capital Assets	--	1,126,423	117,565	--	1,243,988
<i>Restricted for:</i>					
Groundwater Clean Up	--	--	20,785	--	20,785
Capital Projects	--	--	1,625,785	--	1,625,785
Economic Development	113,570	17,132	368,301	1,167	500,170
<i>Unrestricted</i>	--	--	--	--	--
Total Net Position	\$ 113,570	\$ 1,143,555	\$ 2,132,436	\$ 1,167	\$ 3,390,728

The Notes to the Financial Statements are an integral part of these financial statements.

City of Cadillac
Combining Statement of Activities
Component Units
For the Year Ended June 30, 2019

	Brownfield Redevelopment Authority	Downtown Development Authority	Local Development Finance Authority	Economic Development Corporation	Total Component Units
Expenses					
Economic Development	\$ 61,424	\$ 75,021	\$ 282,046	\$ --	\$ 418,491
Depreciation	--	82,776	4,536	--	87,312
Interest on Long-term Debt	--	20,031	--	--	20,031
Total Expenses	61,424	177,828	286,582	--	525,834
Program Revenues					
Charges for Services	--	--	16,538	--	16,538
Operating Grants and Contributions	--	25,615	--	--	25,615
Capital Grants and Contributions	--	--	--	--	--
Total Program Revenues	--	25,615	16,538	--	42,153
Net Program Revenues (Expenses)	(61,424)	(152,213)	(270,044)	--	(483,681)
General Revenue					
Property Taxes	22,133	84,792	131,146	--	238,071
State Revenue	19,246	--	--	--	19,246
Interest Income	1,413	193	32,909	--	34,515
Total General Revenues	42,792	84,985	164,055	--	291,832
Change in Net Position	(18,632)	(67,228)	(105,989)	--	(191,849)
<i>Net Position at Beginning of Period</i>	132,202	1,210,783	2,238,425	1,167	3,582,577
Net Position at End of Period	\$ 113,570	\$ 1,143,555	\$ 2,132,436	\$ 1,167	\$ 3,390,728

The Notes to the Financial Statements are an integral part of these financial statements.

Notes to the Financial Statements

City of Cadillac

Notes to the Financial Statements

Note 1 - Summary of Significant Accounting Policies

The financial statements of the City of Cadillac (the “City” or “government”) have been prepared in conformity with generally accepted accounting principles as applicable to governmental units. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial-reporting principles. The more significant of the City’s accounting policies are described below.

Reporting Entity

The City was incorporated March 9, 1877, and adopted its current charter on November 2, 1976. The City has a population of about 10,000 residents and operates under a Council-Manager form of government. The accompanying financial statements present the government and its component units, entities for which the government is considered to be financially accountable. Blended component units are, in substance, part of the primary government’s operations, even though they are legally separate entities. Thus, blended component units are appropriately presented as funds of the primary government. Each discretely presented component unit is reported in a separate column in the government-wide financial statements to emphasize that it is legally separate from the government. Each blended and discretely presented component unit has a June 30 year end.

Blended Component Units

City of Cadillac Policemen and Firemen Retirement System – The City’s police and fire employees participate in the Policemen and Firemen Retirement System (“PFRS”). PFRS functions for the benefit of the employees and is governed by a five-member pension board. The City’s treasurer, one fireman, one police officer, and two members appointed by the mayor constitute the pension board. The City is responsible for funding all PFRS costs based on actuarial valuations. These costs are paid for out of an unlimited tax levy approved by the voters of the City. The City is authorized to establish benefit levels and to approve the actuarial assumptions used in the determination of contribution levels. A separate report is not prepared for the PFRS.

Cadillac Building Authority – The Cadillac Building Authority (the “Authority”) is a municipal, nonprofit, nonstock corporation organized under the laws of the State of Michigan solely for the purpose of acquiring and owning buildings for lease to the City. Due to this special financing relationship, the Authority is considered a component of the City’s reporting entity. A separate report is not prepared for the Authority.

Discretely Presented Component Units

Downtown Development Authority – The Downtown Development Authority (the “DDA”) was established through City Ordinance under Act No. 197 of the Public Acts of Michigan 1975. The City Council determined that it was necessary and in the best interest of the City to halt property value deterioration, to eliminate the causes, and to promote economic growth. The members of the board of the DDA are appointed by the City Council. Its operational and

City of Cadillac

Notes to the Financial Statements

capital budgets and bonded debt must be approved by the City Council. The DDA is authorized to impose an ad valorem tax (2 mill maximum) on all taxable property within the established DDA District. The DDA is a volunteer organization. Because the DDA board members are appointed by the City Council, the City exercises effective control over the activity of the DDA.

Economic Development Corporation of the City of Cadillac – The Economic Development Corporation (the “EDC”) is a nonstock, nonprofit corporation. Its purpose is to act as an economic development corporation for the City of Cadillac in accordance with state law. Directors of the EDC are appointed by the Mayor with the advice and consent of the City Council. Its operational and capital budgets and bonded debt must be approved by the City Council. Because the EDC board members are appointed by the Mayor, and the City Council approves the EDC’s operations and capital budgets along with bonded debt, the City exercises effective control over the activity of the EDC.

Local Development Finance Authority – The Local Development Finance Authority (the “LDFA”) was created by the City Council pursuant to the provisions of Act 251, Public Acts of 1986. The members of the board of the LDFA are appointed by the City Council. Its operational and capital budgets and bonded debt must be approved by the City Council. The LDFA has a stated purpose to provide for the acquisition, construction, and financing of a groundwater treatment facility, which will consist of a complex of wells and pumps installed on property where contaminated groundwater is located; piping sufficient to carry the contaminated groundwater to a cleaning facility; and the cleaning facility itself. The LDFA has also indicated that, if funds are available, they will construct roads and water and sewer lines within the VanderJagt Industrial Park. Money to finance these projects will come from tax increments attributed to the increase in the value of real and personal property resulting from new construction and property value increase within the industrial park. Because the LDFA board members are appointed by the City Council, and the City Council approves the LDFA’s operations and capital budgets along with bonded debt, the City exercises effective control over the activity of the LDFA.

Brownfield Redevelopment Authority – The Brownfield Redevelopment Authority (the “BRA”) was established through City Ordinance under Michigan Public Act 381 of 1996. Its purpose is to identify contaminated sites and remediate them, as well as to provide the financing to do so. The members of the board of the BRA are appointed by the City Council. Its operational and capital budget and bonded debt must be approved by the City Council. Because the BRA board members are appointed by the City Council, and the City Council approves the BRA’s operations and capital budgets along with bonded debt, the City exercises effective control over the activity of the BRA.

Financial statements of the individual component units are included as supplemental information in the comprehensive annual financial report of the City of Cadillac, Michigan located at 200 N. Lake Street, Cadillac, Michigan 49601. The discretely presented component units listed above do not issue separate financial reports.

City of Cadillac

Notes to the Financial Statements

The following entities are not included in the City's financial statements but do represent an ongoing financial interest or responsibility:

Joint Venture

Wexford County Airport Authority – The Wexford County Airport Authority is a joint venture created to construct, maintain, operate and improve the Wexford County Airport. Authority board members are appointed by the Mayor with the advice and consent of the City Council and by the Wexford County Board of Commissioners. The Authority receives funding from the City and from Wexford County. The Authority's fiscal year corresponds with the County's and, because the County has majority representation on the board and provides 60% of the Authority's funding, its financial statements are included in the County's comprehensive annual financial report rather than the City's. The following financial information was taken from the Authority's December 31, 2018, audited financial statements:

Total Assets	\$ 4,019,243
Total Liabilities	38,186
Net Investment in Capital Assets	3,744,023
Net Position - Unrestricted	237,034
Total Revenues - Governmental and Business-type Activities	740,239
Total Expenses - Governmental and Business-type Activities	605,833
Change in Net Position	134,406

Complete financial statements may be obtained at: 8040 East 34 Road, Cadillac, Michigan 49601.

Government-wide and Fund Financial Statements

The government-wide financial statements (i.e., the statement of net position and the statement of activities) report information on all of the nonfiduciary activities of the primary government and its component units. For the most part, the effect of interfund activity has been removed from these statements. *Governmental activities*, which normally are supported by taxes and intergovernmental revenues, are reported separately from *business-type activities*, which rely to a significant extent on fees and charges for support. Likewise, the *primary government* is reported separately from certain legally separate component units for which the primary government is financially accountable.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. *Direct expenses* are those that are clearly identifiable with a specific function or segment. Indirect expenses are charged based upon a City-wide cost allocation plan which allocates costs based on the number of full-time equivalents, number of transactions, and other pertinent information. *Program revenues* include: 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the

City of Cadillac

Notes to the Financial Statements

operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as *general revenues*.

Separate financial statements are provided for governmental funds, proprietary funds, and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

Measurement Focus, Basis of Accounting, and Financial Statement Presentation

The government-wide financial statements are reported using the *economic resources measurement focus* and the *accrual basis of accounting*, as are the proprietary fund and fiduciary fund financial statements, except for agency funds which do not have a measurement focus. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the *current financial resources measurement focus* and the *modified accrual basis of accounting*. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days of the end of the current fiscal period or within one year for expenditure-driven grants. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service and compensated absences expenditures are recorded only when payment is due.

Property taxes, sales taxes, licenses, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current fiscal period. Only the portion of special assessments receivable due within the current fiscal period is considered to be susceptible to accrual as revenue of the current period. All other revenue items are considered to be measurable and available only when cash is received by the City.

The City reports the following major governmental funds:

The ***general fund*** is the general operating fund of the City. It is used to account for all financial resources, except those required to be accounted for in another fund.

The ***major streets fund*** - is used to account for the receipt and expenditures of state shared gas and weight taxes under Act 51, P.A. 1951 as amended which are for use on major streets. Gas and weight taxes are distributed to cities and villages in Michigan on the basis of population and the number of miles of streets.

City of Cadillac

Notes to the Financial Statements

The City reports the following major proprietary fund:

The ***water and sewer fund*** records financial activity of the seven-well water system which provides water to customers and the operations of the City's tertiary treatment plant.

Additionally, the City reports the following fund types:

The ***special revenue funds*** are used to account for the proceeds of specific revenue sources (other than permanent trusts or major capital projects) that are legally restricted to expenditures for specified purposes.

The ***debt service funds*** account for the servicing of long-term debt not being financed by proprietary or nonexpendable trust funds.

The ***capital projects funds*** account for the accumulation and disbursement of resources for the construction of governmental fund capital projects.

The ***permanent funds*** account for resources that are legally restricted to the extent that only earnings, and not principal may be used for purposes that support the City programs.

The ***enterprise funds*** are used to account for operations of the City that are financed by charges for the services provided.

The ***internal service funds*** are used to account for shared services, equipment usage, and insurance coverage provided to the City departments and funds on a cost reimbursement basis.

The ***pension trust fund*** is used to account for the operations of the City Act 345 Pension Plan which provides pension benefits to public safety department employees.

The ***agency funds*** are used to account for the collection and disbursement of property taxes, as well as payroll related liabilities, that are collected on behalf of outside governments or other parties.

As a general rule, the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are transactions where the amounts are reasonably equivalent in value to the interfund services provided and other charges between the government's water and sewer function and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Proprietary funds distinguish *operating* revenues and expenses from *non-operating* items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the enterprise funds are charges for services. Operating expenses

City of Cadillac

Notes to the Financial Statements

for the enterprise funds include depreciation on capital assets, labor, supplies, and contracted services. All revenues and expenses are not meeting this definition are reported as non-operating revenues and expenses.

Budgets and Budgetary Accounting

Comparisons to budget are presented for the general and special revenue funds. General and special revenue funds adopt a legal budget with remaining funds maintaining budgets as a management control device. The City follows these procedures in establishing the budgetary data reflected in the financial statements:

1. Prior to April 1, the City Manager submits to the City Council a proposed operating budget for all governmental funds for the fiscal year commencing the following July 1. The operating budget includes proposed expenditures and the means of financing them.
2. Public hearings are conducted to obtain taxpayer comments.
3. Prior to May 31, the budget is legally enacted through passage of a budget ordinance. Budgets are submitted on a line-item basis but adopted by the Council on a major function basis.
4. All transfers of budget amounts between functions within the general fund and any revisions that alter the total expenditures of any fund must be approved by the City Council. General fund expenditures may not legally exceed budgeted appropriations at the major function level. Expenditures in all other governmental funds may not exceed appropriations at the total fund level.
5. Formal budgetary integration is employed for the governmental fund types as a management control device.
6. Budgets for the general, special revenue, debt service, and capital project funds are adopted on a basis consistent with generally accepted accounting principles (GAAP). All appropriations lapse at year end. Budgeted amounts are as originally adopted, or as amended by the City Council from time to time throughout the year.
7. Encumbrance accounting is employed in governmental funds. Encumbrances (e.g., purchase orders, contracts) lapse at year-end and do not constitute expenditures or liabilities because the commitments will generally be reappropriated and honored during the subsequent year.

Cash and Pooled Investments

For the purpose of the statement of cash flows, the City considers cash and pooled investments to be cash and cash equivalents because the pooling of these balances allows for withdrawal at any time similar to a demand deposit account.

City of Cadillac

Notes to the Financial Statements

Investments

The City's investment policy is in compliance with state law and authorizes the City to invest in passbook savings accounts, negotiable and nonnegotiable certificates of deposit, repurchase agreements backed by the United States government or federal agency obligations, United States Treasury bills and bonds, banker's acceptances, federal agency instruments, money market funds, and commercial paper. Investments in commercial paper must be rated in one of the two highest rating categories by Standard and Poor's or Moody's and are limited to fifty percent of a fund's portfolio in accordance with state statutes. The policemen and firemen retirement system trust fund and cemetery perpetual care fund are also authorized to invest in corporate common and preferred stocks and bonds.

Investments are stated at fair value, which is determined using selected bases. Securities traded on a national exchange are valued at the last reported sales price. Managed funds not listed on an established market are reported at fair value as determined by the respective fund managers based on quoted prices of underlying securities.

Receivables/Due from Other Governments

All receivables are reported at their gross value and, where appropriate, are reduced by the estimated portion that is expected to be uncollectible. Uncollectible balances at year-end are considered by management to be immaterial. Amounts due from other governments include amounts due from grantors for specific programs and capital projects. Program and capital grants are recorded as receivables and revenue at the time reimbursable costs are incurred. Revenues received in advance of costs being incurred are reported as unearned revenue (a liability).

Special Assessments Receivable

Special assessments receivable consist of long-term receivables from customers and benefited parties for various infrastructure improvement projects.

Loans Receivable

Loans receivable as reported in the special revenue funds consist of the following:

Loans receivable resulted from loans made with H.U.D. grant monies to assist low and moderate income families to bring their homes up to the City building code. These loans are either low interest or interest free. As loans are repaid, money is made available for new loans.

Prepaid and Other Assets

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both the government-wide and fund financial statements. The cost of prepaid items is recorded as expenditures/expenses when consumed rather than when purchased.

City of Cadillac

Notes to the Financial Statements

Inventory

All inventories are valued at original cost using the first-in/first-out (FIFO) method. Inventory represents parts, materials, and supplies utilized in the various City operations. Inventories are recorded as expenditures when consumed rather than when purchased.

Restricted Cash

Certain resources of the water and sewer fund, which are set aside for repayment of revenue bonds, are classified as restricted assets on the balance sheet because their use is limited by applicable bond covenants. The "bond reserve" account (\$379,918) is used to report resources set aside to make current debt service payments and to make up potential future deficiencies in the funds available for debt service. The "bond replacement" account (\$274,345) is used to report resources set aside to meet unexpected contingencies or to fund asset renewals and replacements.

Capital Assets

Capital assets, which include land, construction in progress, buildings, vehicles and equipment, and infrastructure assets (e.g., roads, bridges, sidewalks, and similar items), are reported in the governmental and business-type activities columns in the government-wide financial statements.

Capital assets are defined by the government as assets with an initial, individual cost of more than \$5,000 and an estimated useful life in excess of one year. Such assets are valued at cost where historical records are available and at estimated historical cost where no historical records exist. Donated capital assets are valued at their acquisition value on the date received.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Improvements are capitalized and depreciated over the remaining useful lives of the related capital assets, as applicable.

No interest expense has been incurred or capitalized on capital assets reported in proprietary funds.

Depreciation on capital assets (including infrastructure) is computed using the straight-line method over the following estimated useful lives:

Description	Useful Life
Buildings	50
Building Improvements	20
Public Domain Infrastructure	50
System Infrastructure	30
Vehicles	5
Equipment	5-10

City of Cadillac

Notes to the Financial Statements

Deferred Outflows of Resources

In addition to assets, the statement of net position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to future periods and so will not be recognized as an outflow of resources (expense/expenditure) until then. The City only has one item that qualifies for reporting in this category, pension and OPEB related deferred outflows. The government-wide statements and proprietary funds report deferred outflows from the difference between projected and actual investment earnings of the plans, changes in assumptions of the plans, as well as City contributions made after the measurement date of the plans.

Compensated Absences

It is the City's policy to permit employees to accumulate earned but unused vacation and sick pay benefits. No liability is reported for nonvesting, unpaid accumulated sick leave. Vacation pay is accrued as a liability when incurred in the government-wide financial statements and the proprietary funds. Vacation pay that is expected to be liquidated with expendable available financial resources is reported as an expenditure and a fund liability of the governmental fund that will pay it. A liability for these amounts is reported in governmental funds only if they have matured, for example, as a result of employee resignation and retirements.

Long-term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, the long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statements of net position. For new bond issuances after the implementation of GASB Statement No. 34, bond premiums and discounts are deferred and amortized over the life of the bonds using the straight-line method which approximates the effective interest method. Bond issuance costs are expensed during the current period in both the government-wide and proprietary fund financial statements.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as expenditures.

Deferred Inflows of Resources

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. The separate financial statement element, deferred inflows of resources, represents an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The government has two items that qualify for reporting in this category. The first item arises only under a modified accrual basis of accounting. The item, unavailable revenue, is reported only in the governmental funds balance

City of Cadillac

Notes to the Financial Statements

sheet. The governmental funds report unavailable revenues with three sources: installment notes and mortgages, personal property taxes, and special assessments. The City also has pension and OPEB related deferred inflows. The government-wide statements and proprietary funds can report deferred inflows from the difference between expected and actual experience of the plans. These amounts are deferred and recognized as an inflow of resources in the period that the amounts become available.

Net Position Flow Assumption

Sometimes the government will fund outlays for a particular purpose from both restricted (e.g., restricted bond or grant proceeds) and unrestricted resources. In to calculate the amounts to report as restricted – net position and unrestricted – net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied.

It is the government's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

Fund Balance Flow Assumption

Sometimes the government will fund outlays for a particular purpose from both restricted and unrestricted resources (the total of committed, assigned, and unassigned fund balance). In order to calculate the amounts to report as restricted, committed, assigned, and unassigned fund balance in the governmental fund financial statements a flow assumption must be made about the order in which the resources are considered to be applied. It is the government's policy to consider restricted fund balance to have been depleted before using any of the components of unrestricted fund balance. Further, when the components of unrestricted fund balance can be used for the same purpose, committed fund balance is depleted first, followed by assigned fund balance. Unassigned fund balance is applied last.

Fund Balance Policies

Fund balance of governmental funds is reported in various categories based on the nature of any limitations requiring the use of resources for specific purposes. Governmental funds report *nonspendable fund balance* for amounts that cannot be spent because they are either: a) not in spendable form or b) legally or contractually required to be maintained intact. Nonspendable fund balance would be equal to inventory, prepaid items, interfund advances, and the nonspendable portion of endowments. *Restricted fund balance* is reported when externally imposed constraints are placed on the use of resources by grantors, contributors, or laws or regulations of other governments. The government itself can establish limitations on the use of resources through either a commitment (committed fund balance) or an assignment (assigned fund balance).

The *committed fund balance* classification includes amounts that can be used only for the specific purposes determined by a formal action of the government's highest level of decision-making authority. The City Council is the highest level of decision-making authority for the government

City of Cadillac

Notes to the Financial Statements

that can, by adoption of an ordinance prior to the end of the fiscal year, commit fund balance. Once adopted, the limitation imposed by the ordinance remains in place until a similar action is taken (the adoption of another ordinance) to remove or revise the limitation.

Amounts in the *assigned fund balance* classification are intended to be used by the government for specific purposes but do not meet the criteria to be classified as restricted or committed. The City Council may also assign fund balance as it does when appropriating fund balance to cover a gap between estimated revenue and appropriations in the subsequent year's appropriated budget. Unlike commitments, assignments generally only exist temporarily. In other words, an additional action does not normally have to be taken for the removal of an assignment.

Unassigned fund balance is the residual classification for the City's general fund and includes all spendable amounts not contained in the other classifications and is therefore available to be spent as determined by the City Council.

Property Taxes

All trade and property tax receivables are shown net of an allowance for uncollectibles. Property taxes attach as an enforceable lien on the property as of the date they are levied. City, county taxes, 50% of Cadillac Area Public School and 100% state education taxes are levied and due July 1, and become delinquent after August 14. The remaining millages are levied and due December 1, and become delinquent after February 14. Collections of school and county taxes and remittances of them are accounted for in the current tax collection fund. City property tax revenues are recognized when they become both measurable and available for use to finance City operations. Amounts which are not expected to be collected within sixty days are treated as deferred inflows.

The 2018 taxable valuation of the City of Cadillac totaled \$223,287,278, on which ad valorem taxes levied consisted of 13.9166 mills for the City of Cadillac operating purposes and 2.6000 mills for the City of Cadillac Policemen and Firemen Retirement System. These levies raised (net of adjustments and recaptures) approximately \$3,829,539 for operating purposes and \$109,554 for the Policemen and Firemen Retirement System. These amounts are recognized in the respective general fund or special revenue fund financial statements as taxes receivable or as tax revenue. Portions of these taxes levied were captured by the Downtown Development Authority, the Local Development Finance Authority, and the Brownfield Redevelopment Authority.

The Downtown Development Authority also levies a 1.9548 mills on \$13,695,855 of taxable value, which raised approximately \$26,838 for its operations.

Interfund Transactions

During the course of normal operations, the City has numerous transactions between funds. Transactions that constitute reimbursement to a fund for expenditures/expenses initially made from it that are properly applicable to another fund, are recorded as expenditures/expenses in the reimbursing fund and as a reduction of expenditures/expenses in the fund that is reimbursed. Changes between enterprise funds and other functions of the City are not reimbursements because

City of Cadillac

Notes to the Financial Statements

elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned. Remaining transactions are generally reflected as transfers.

Use of Estimates

The presentation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Note 2 - Statutory Compliance

Excess of expenditures over appropriations in budgetary funds

Michigan law provides that a local unit shall not incur expenditures in excess of the amount appropriated.

The City's actual expenditures and budgeted expenditures for the budgeted funds have been shown at the department level. The approved budgets of the City for these budgeted funds were adopted at the major function level. The City had the following expenditures in excess of the amount appropriated at the major function level during the year ended June 30, 2019:

	Final	Actual	Variance
General Fund			
City Manager	\$ 296,400	\$ 300,069	\$ (3,669)
Public Works	276,700	323,343	(46,643)
Grass and Weed Control	27,000	28,431	(1,431)
Municipal Parks	223,000	268,843	(45,843)
Community Promotions	49,500	58,636	(9,136)
Major Streets - Public Works	636,700	651,452	(14,752)
Cadillac Trailhead Project - Capital Outlay	-	7,423	(7,423)
Special Assessment Capital Projects - General Government	500	72,326	(71,826)
Building Inspection - Code Enforcement	90,000	99,180	(9,180)
Cadillac Development - Economic Development	51,500	52,618	(1,118)
Naval Reserve Center - General Government	22,500	27,949	(5,449)

The budget exceptions listed above are within the tolerable variance deemed acceptable by the Michigan Department of Treasury.

Net position deficit

The City's governmental activities had an unrestricted net position deficit of \$(864,982). In addition, the City's central stores and municipal garage internal service fund had an unrestricted net position deficit of \$(329,342). As current assets are in excess of current liabilities, no deficit elimination plan is necessary.

City of Cadillac

Notes to the Financial Statements

Note 3 - Cash and Investments

The captions on the financial statements relating to cash and pooled investments and investments are as follows:

	Primary Government	Component Units	Totals
Statement of Net Position			
Cash and Pooled Investments	\$ 9,793,039	\$ 2,190,122	\$ 11,983,161
Restricted Cash	654,263	-	654,263
Statement of Fiduciary Net Position			
Cash and Pooled Investments	151	-	151
Investments	11,358,881	-	11,358,881
Total	\$ 21,806,334	\$ 2,190,122	\$ 23,996,456

Deposits and Investments

Bank deposits (checking, savings, money market, and cash equivalent)	\$ 1,939,407
MI CLASS account	1,345,200
Investments	9,352,668
Investments held in trust	11,358,881
Cash on hand	300
Total	\$ 23,996,456

The deposits are in financial institutions in varying amounts. All accounts are in the name of the City and a specific fund or common account. They are recorded in City records at fair value. Interest is recorded when earned.

Investments

The City chooses to disclose its investments by specifically identifying each. As of year-end, the City had the following investments:

Investment	Maturity	Fair Value	Rating	Source
U.S. Agency	Less than 1 year	\$ 498,212	AA+	S&P
U.S. Agency	1 - 5 years	3,316,077	AA+	S&P
U.S. Treasury Bonds	1 - 5 years	129,227	AA+	S&P
Certificates of Deposit	Less than 1 year	365,799	N/A	
Certificates of Deposit	1 - 5 years	5,043,353	N/A	
Equity Mutual Funds	N/A	11,358,881	N/A	
Total		\$ 20,711,549		

City of Cadillac

Notes to the Financial Statements

Investment and Deposit Risk

Credit Risk - The City minimizes custodial credit risk, which is the risk of loss due to the failure of the security issuer or backer, by: limiting investments to the types of securities listed in the City's investment policy; and pre-qualifying the financial institutions, brokers/dealers, intermediaries and advisors with which the City will do business in accordance with the City's investment policy.

Interest Rate Risk - The City does not have a formal policy that limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. However, investments are purchased with the intent of holding them until they mature or are called. The maturity date for each investment is identified above for investments held at year-end. \$365,799 of the Certificates of Deposits mature within one year, the remainder of \$5,043,353 mature in 1-5 Years.

Custodial Credit Risk - Deposits. Custodial credit risk is the risk that in the event of a bank failure, the City's deposits may not be returned. State law does not require, and the City does not have, a policy for deposit custodial credit risk. As of year-end, \$3,712,662 of the City's bank deposits and certificates of deposit balance of \$7,689,149 was exposed to custodial credit risk because the balance was uninsured and uncollateralized.

Custodial Credit Risk – Investments - For an investment, this is the risk that, in the event of the failure of the counterparty, the City will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. All of the City's investments in U.S. government securities, corporate bonds and notes, stocks and government notes have custodial credit risk exposure because they are uninsured, and unregistered and the securities are held by brokers in the City's name. The government does not have an investment policy for custodial credit risk.

Concentration of Credit Risk - The City minimizes concentration of credit risk, which is the risk of loss attributed to the magnitude of the City's investment in a single issuer, as follows: with the exception of U.S. Treasury and agency securities and authorized pools, no more than 50% of the City's total investment portfolio will be invested in a single security type or with a single financial institution.

Fair Value Measurement - The City categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs.

The City has the following recurring fair value measurements as of June 30, 2019:

- U.S. Agency Bonds held by the City totaled \$3,814,289. These are valued using Level 1 inputs.

City of Cadillac

Notes to the Financial Statements

- U.S. Treasury Bonds held by the City totaled \$129,227. These are valued using Level 1 inputs.
- MI Class investments held by the City totaled \$1,345,200. These are valued using Level 2 inputs.
- Investments held in the MERS Investment Services Program, which are primarily mutual funds used to fund Police and Fire Retiree defined benefit pensions, with a balance of \$11,358,881 at June 30, 2019, are valued using Level 1 inputs.

Investments are valued using a pricing model utilizing observable fair value measures of fund/pool investments and other observable inputs to determine the fair value of the securities making up the investments fund/pool.

Money market accounts, cash equivalents, and bank CDs totaling \$4,063,952 were not included in the fair value measurement disclosure because they are held directly in the City's name.

Note 4 - Receivables

Receivables were as follows at June 30, 2019:

	General Fund	Major Streets	Nonmajor Governmental Funds	Internal Service Funds	Water and Sewer Fund	Nonmajor Enterprise Funds	Total Primary Government	Component Units
Receivables								
Accounts	\$ 70,690	\$ -	\$ 83	\$ 13,009	\$ 247,546	\$ -	\$ 331,328	\$ 2,701
Special Assessment	-	-	29,397	-	-	-	29,397	-
Due from State	-	154,516	56,630	-	-	-	211,146	-
Interest	20,728	2,324	25,298	881	11,337	418	60,986	6,331
Loans	-	-	3,750	-	-	-	3,750	-
Grants	-	-	207,807	-	-	-	207,807	16,564
Utilities	48,511	-	-	-	592,364	-	640,875	-
Total Receivables	\$ 139,929	\$ 156,840	\$ 322,965	\$ 13,890	\$ 851,247	\$ 418	\$ 1,485,289	\$ 25,596

Note 5 – Interfund Advances

Advances represent long-term loans between funds. Advances receivable and payable at June 30, 2019 were \$150,000: the Cadillac development fund has an advance due of \$150,000 from the central stores and municipal garage fund.

Note 6 - Interfund Transactions

Transfers in and out for the year ended June 30, 2019 are as follows:

Transfer In	Transfer Out	Amount
Nonmajor Governmental	General	\$ 283,923
Nonmajor Governmental	Major Streets	261,100
Nonmajor Governmental	Nonmajor Governmental	80,300

City of Cadillac

Notes to the Financial Statements

Interfund transfers are used to: 1) move revenues from the fund that is required to collect them to the fund that is required or allowed to expend them; 2) move receipts restricted to or allowed for debt service from the funds collecting the receipts to the debt service fund as debt service payments become due; and 3) use unrestricted revenues collected to finance various programs accounted for in other funds in accordance with budgetary authorizations.

As of June 30, 2019, the interfund balances were as follows:

<u>Receivable Fund</u>	<u>Payable Fund</u>	<u>Amount</u>
Major Streets	Nonmajor Governmental	\$ 36,795

Interfund balances resulted primarily from the time lag between the dates that: 1) interfund goods and services are provided or reimbursable expenditures occur, 2) transactions are recorded in the accounting system, and 3) payments between funds are made.

Note 7 - Capital Assets

Capital asset activity for governmental activities for the year was as follows:

<u>Governmental Activities</u>	<u>Beginning Balance</u>	<u>Additions</u>	<u>Reductions</u>	<u>Transfers</u>	<u>Ending Balance</u>
Capital Assets not being Depreciated					
Land	\$ 2,224,302	\$ -	\$ -	\$ -	\$ 2,224,302
Construction in Process	463,052	98,244	-	(553,873)	7,423
<i>Subtotal</i>	<u>2,687,354</u>	<u>98,244</u>	<u>-</u>	<u>(553,873)</u>	<u>2,231,725</u>
Capital Assets being Depreciated					
Buildings	4,775,673	765,236	(25,000)	553,873	6,069,782
Land Improvements	1,091,218	-	-	-	1,091,218
Machinery and Equipment	2,875,555	138,426	(77,483)	-	2,936,498
Infrastructure	21,564,748	1,091,080	-	-	22,655,828
<i>Subtotal</i>	<u>30,307,194</u>	<u>1,994,742</u>	<u>(102,483)</u>	<u>553,873</u>	<u>32,753,326</u>
Less Accumulated Depreciation					
Buildings	3,508,961	101,972	(25,000)	-	3,585,933
Land Improvements	707,630	31,427	-	-	739,057
Machinery and Equipment	2,507,225	127,826	(77,483)	-	2,557,568
Infrastructure	15,130,011	752,130	-	-	15,882,141
<i>Subtotal</i>	<u>21,853,827</u>	<u>1,013,355</u>	<u>(102,483)</u>	<u>-</u>	<u>22,764,699</u>
<i>Capital Assets being Depreciated, Net</i>	<u>8,453,367</u>	<u>981,387</u>	<u>-</u>	<u>553,873</u>	<u>9,988,627</u>
<i>Capital Assets, Internal Service Funds</i>	<u>788,198</u>	<u>300,809</u>	<u>-</u>	<u>-</u>	<u>1,089,007</u>
Capital Assets, Governmental Activities	<u>\$ 11,928,919</u>	<u>\$ 1,380,440</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 13,309,359</u>

City of Cadillac

Notes to the Financial Statements

Capital asset activity for the internal service funds for the year was as follows:

Internal Service Funds	Beginning Balance	Additions	Reductions	Transfers	Ending Balance
Capital Assets not being Depreciated					
Land	\$ 25,000	\$ -	\$ -	\$ -	\$ 25,000
Capital Assets being Depreciated					
Buildings	478,181	-	-	-	478,181
Land Improvements	68,970	-	-	-	68,970
Machinery and Equipment	2,404,670	431,660	(201,296)	-	2,635,034
<i>Subtotal</i>	<u>2,951,821</u>	<u>431,660</u>	<u>(201,296)</u>	<u>-</u>	<u>3,182,185</u>
Less Accumulated Depreciation					
Buildings	263,188	10,709	-	-	273,897
Land Improvements	134,788	-	-	-	134,788
Machinery and Equipment	1,790,647	120,142	(201,296)	-	1,709,493
<i>Subtotal</i>	<u>2,188,623</u>	<u>130,851</u>	<u>(201,296)</u>	<u>-</u>	<u>2,118,178</u>
<i>Capital Assets being Depreciated, Net</i>	<u>763,198</u>	<u>300,809</u>	<u>-</u>	<u>-</u>	<u>1,064,007</u>
Capital Assets, Internal Service Funds	<u>\$ 788,198</u>	<u>\$ 300,809</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 1,089,007</u>

Capital asset activity for business-type activities for the year was as follows:

Business-type Activities	Beginning Balance	Additions	Reductions	Transfers	Ending Balance
Capital Assets not being Depreciated					
Land	\$ 712,318	\$ -	\$ -	\$ -	\$ 712,318
Construction in Process	700,369	714,048	-	(720,178)	694,239
<i>Subtotal</i>	<u>1,412,687</u>	<u>714,048</u>	<u>-</u>	<u>(720,178)</u>	<u>1,406,557</u>
Capital Assets being Depreciated					
Buildings	2,437,016	-	-	-	2,437,016
Land Improvements	671,196	-	-	183,326	854,522
Machinery and Equipment	1,075,480	22,400	-	-	1,097,880
Vehicles	321,102	81,542	-	-	402,644
Water	14,484,258	-	-	332,170	14,816,428
Sewer	25,545,556	24,915	-	204,682	25,775,153
<i>Subtotal</i>	<u>44,534,608</u>	<u>128,857</u>	<u>-</u>	<u>720,178</u>	<u>45,383,643</u>
Less Accumulated Depreciation					
Buildings	1,263,489	57,002	-	-	1,320,491
Land Improvements	408,735	20,975	-	-	429,710
Machinery and Equipment	694,527	58,103	-	-	752,630
Vehicles	240,279	35,844	-	-	276,123
Water	6,232,905	265,672	-	-	6,498,577
Sewer	14,231,905	515,246	-	-	14,747,151
<i>Subtotal</i>	<u>23,071,840</u>	<u>952,842</u>	<u>-</u>	<u>-</u>	<u>24,024,682</u>
<i>Capital Assets being Depreciated, Net</i>	<u>21,462,768</u>	<u>(823,985)</u>	<u>-</u>	<u>720,178</u>	<u>21,358,961</u>
Capital Assets, Business-type Activities	<u>\$ 22,875,455</u>	<u>\$ (109,937)</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 22,765,518</u>

City of Cadillac

Notes to the Financial Statements

Capital asset activity for the component units for the year was as follows:

Discretely Presented Component Units	Beginning Balance	Additions	Reductions	Transfers	Ending Balance
Capital Assets not being Depreciated					
Land	\$ 529,080	\$ -	\$ -	\$ -	\$ 529,080
<i>Subtotal</i>	<u>529,080</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>529,080</u>
Capital Assets being Depreciated					
Land Improvements	8,965	-	-	-	8,965
Infrastructure	1,942,102	-	-	-	1,942,102
Other Equipment	244,169	-	-	-	244,169
<i>Subtotal</i>	<u>2,195,236</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>2,195,236</u>
Less Accumulated Depreciation					
Land Improvements	8,965	-	-	-	8,965
Infrastructure	467,425	62,896	-	-	530,321
Other Equipment	36,626	24,416	-	-	61,042
<i>Subtotal</i>	<u>513,016</u>	<u>87,312</u>	<u>-</u>	<u>-</u>	<u>600,328</u>
<i>Capital Assets being Depreciated, Net</i>	<u>1,682,220</u>	<u>(87,312)</u>	<u>-</u>	<u>-</u>	<u>1,594,908</u>
Capital Assets, Component Units	<u>\$ 2,211,300</u>	<u>\$ (87,312)</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 2,123,988</u>

Depreciation expense was charged to functions/programs of the primary government as follows:

Governmental Activities

General Government	\$ 69,921
Public Safety	109,225
Public Works	678,776
Recreation and Culture	147,334
Economic Development	8,099
Internal Service Funds	130,851
<i>Total</i>	<u>\$ 1,144,206</u>

Business-type Activities

Water and Sewer	\$ 888,516
Auto Parking	15,384
Building Authority	48,942
<i>Total</i>	<u>\$ 952,842</u>

Component Units

Downtown Development Authority	\$ 82,776
Local Development Finance Authority	4,536
<i>Total</i>	<u>\$ 87,312</u>

City of Cadillac

Notes to the Financial Statements

Note 8 - Long-term Debt

The following is a summary of the debt transactions of the City for the year ended June 30, 2019:

Governmental Activities	Balance at June 30, 2018	Additions	Deletions	Balance at June 30, 2019	Due Within One Year
\$2,050,000 2016 General Obligation Limited Tax Bonds due in annual installments of \$120,000 to \$235,000 through May 1, 2031; interest at 2.19%	\$ 1,760,000	\$ -	\$ (120,000)	\$ 1,640,000	\$ 123,333
Total Governmental Activities Debt (Direct Placement)	1,760,000	-	(120,000)	1,640,000	123,333
Governmental Compensated Absences	334,377	-	(24,831)	309,546	167,155
Internal Service Compensated Absences	34,369	4,074	-	38,443	20,759
Total Compensated Absences	368,746	4,074	(24,831)	347,989	187,914
Total Long-term Obligations	\$ 2,128,746	\$ 4,074	\$ (144,831)	\$ 1,987,989	\$ 311,247

Compensated absences within governmental activities are typically paid by the general fund.

Business-type Activities	Balance at June 30, 2018	Additions	Deletions	Balance at June 30, 2019	Due Within One Year
\$3,865,205 Wastewater System Junior Lien Revenue Refunding Bond due in annual installments of \$175,000 to \$220,205 through October 1, 2028; interest at 1.625%	\$ 2,275,205	\$ -	\$ (190,000)	\$ 2,085,205	\$ 195,000
\$2,324,906 Water Supply and Wastewater Systems Revenue Junior Lien Revenue Bonds due in annual installments of \$27,671 to \$150,000 through April 1, 2032; interest at 2.50%	1,748,856	-	(105,000)	1,643,856	110,000
\$4,075,000 2013 Water Supply and Wastewater Systems Revenue Refunding Bonds due in annual installments of \$255,000 to \$370,000 through September 2026; interest at 2.70%	2,990,000	-	(285,000)	2,705,000	300,000
Total Business-type Activities Debt (Direct Placement)	7,014,061	-	(580,000)	6,434,061	605,000
Compensated Absences	171,639	11,378	-	183,017	56,735
Total Long-term Obligations	\$ 7,185,700	\$ 11,378	\$ (580,000)	\$ 6,617,078	\$ 661,735

Component Units	Balance at June 30, 2018	Additions	Deletions	Balance at June 30, 2019	Due Within One Year
\$1,000,000 2016 General Obligation Limited Tax Bonds due in annual installments of \$60,000 to \$80,000 through May 1, 2031; interest at 2.19%	\$ 940,000	\$ -	\$ (60,000)	\$ 880,000	\$ 61,667
\$143,324 Brownfield Redemption Loan from the Department of Environmental Quality, due in annual installments of \$14,332 starting October 2016 and through 2026; interest at 1.50%	49,472	-	(16,883)	32,589	8,702
Total Component Units Debt (Direct Placement)	989,472	-	(76,883)	912,589	70,369
Compensated Absences	2,111	41	-	2,152	1,162
Total Long-term Obligations	\$ 991,583	\$ 41	\$ (93,766)	\$ 914,741	\$ 71,531

City of Cadillac

Notes to the Financial Statements

The annual requirements to amortize all debt outstanding (excluding compensated absences) as of June 30, 2019 are as follows:

Year Ending June 30,	Governmental Activities			Business-type Activities		
	Principal	Interest	Total	Principal	Interest	Total
2020	\$ 123,333	\$ 34,091	\$ 157,424	\$ 605,000	\$ 142,382	\$ 747,382
2021	126,667	31,317	157,984	620,000	128,160	748,160
2022	130,000	28,470	158,470	640,000	113,561	753,561
2023	133,333	25,550	158,883	655,000	98,485	753,485
2024	136,667	22,557	159,224	665,000	83,167	748,167
2025-2029	720,000	66,065	788,500	2,815,205	192,156	3,007,361
2030-2034	270,000	3,431	430,220	433,856	21,914	455,770
Totals	\$ 1,640,000	\$ 211,481	\$ 2,010,705	\$ 6,434,061	\$ 779,825	\$ 7,213,886

Year Ending June 30,	Component Units		
	Principal	Interest	Total
2020	\$ 70,369	\$ 19,625	\$ 89,994
2021	72,166	18,147	90,313
2022	73,965	16,629	90,594
2023	75,767	15,073	90,840
2024	77,569	13,478	91,047
2025-2029	347,753	50,786	398,539
2030-2034	195,000	10,147	205,147
Totals	\$ 912,589	\$ 143,885	\$ 1,056,474

The debt documents contain various provisions that in the event of default, the City shall be required to use money from its general fund or levy an ad valorem tax sufficient to pay the obligation, subject to applicable constitutional, statutory, and charter limitations.

Note 9 - Pension Plans

The City maintains a single-employer, defined benefit pension plan (Policemen and Firemen Retirement System) which covers all policemen and firemen. The City also participates in an agent multi-employer defined benefit pension plan with the Municipal Employees Retirement System (MERS), administered by the State of Michigan for coverage of substantially all of the City's general employees and the water and sewer system employees.

MERS Plan Description

Plan Description

Substantially all full-time employees of the City who are not members of the Policeman and Fireman Retirement System are members of the Municipal Employees Retirement System of Michigan (MERS) which provides retirement, disability, and death benefits to plan members and beneficiaries. MERS is an agent multiple-employer pension plan administered by the State of Michigan. Act No. 427 of the Public Acts of 1984, as amended, assigns the authority to establish and amend the benefit provisions of the plans that participate in MERS to the respective employer

City of Cadillac

Notes to the Financial Statements

entities. In this case, the authority rests with the City. The MERS issues a publicly available financial report that includes statements and required supplementary information for MERS. That report may be obtained by writing to The Retirement Board, Municipal Employees Retirement System of Michigan, 1134 Municipal Way, Lansing, Michigan 48917.

Benefits Provided

The Plan provides certain retirement, disability, and death benefits to plan members and beneficiaries. PA 427 of 1984, as amended, established and amends the benefit provisions of the participants in MERS. Retirement benefits for employees are calculated as 2.00 to 2.50% of the employee's five year final average compensation times the employee's years of service with a maximum of 80 percent, or no maximum of final average compensation depending on division. Normal retirement age is 60 with early retirement at an unreduced benefit at age 55 with 25 years of service or a reduced benefit at age 50 with 25 years of service or age 55 with 15 years of service. Deferred retirement benefits vest after 8 to 10 years of credited service, but are not paid until the date retirement would have occurred had the member remained an employee. Employees are eligible for non-duty disability benefits after 10 years of service and for duty-related disability benefits upon hire. Disability retirement benefits are determined in the same manner as retirement benefits but are payable immediately and if duty-related without an actuarial reduction for retirement before age 60 is not applied. An employee who leaves service may withdraw his or her contributions, plus any accumulated interest.

Benefit terms, within the parameters established by MERS, are generally established and amended by authority of the City Council, generally after negotiations of these terms with the affected unions.

Employees Covered by Benefit Terms - MERS

At the December 31, 2018 measurement date, the following employees were covered by the benefit terms:

Inactive plan members or beneficiaries currently receiving benefits	73
Inactive plan members entitled to but not yet receiving benefits	9
Active plan members	58
Total employees covered by MERS	<u>140</u>

Police and Fireman Retirement System Plan Description ("PFRS" or "Act 345 Defined Benefit Plan")

Plan Description

The City's police and fire employees participate in the Policemen and Firemen Retirement System. PFRS functions for the benefit of the employees and is governed by a five-member pension board. The City's treasurer, one fireman, one police officer, and two members appointed by the mayor

City of Cadillac

Notes to the Financial Statements

constitute the pension board. The City is responsible for funding all PFRS costs based on actuarial valuations. These costs are paid for out of an unlimited tax levy approved by the voters of the City. The City is authorized to establish benefit levels and to approve the actuarial assumptions used in the determination of contribution levels. A separate report is not prepared for the PFRS.

Benefits Provided

The City of Cadillac Policeman and Firemen Retirement System is a single-employer defined benefit pension plan that covers policemen and firemen employees of the City of Cadillac. The plan provides retirement, disability, and death benefits to plan members and their beneficiaries. The pension board is able to establish and amend the types of benefits offered through the plan.

The benefits provided can be summarized as follows:

City of Cadillac

Notes to the Financial Statements

	<u>Eligibility</u>	<u>Amount</u>
Service Retirement	Age 50 with 25 or more years of service or age 60 regardless of service.	Straight life pension equals 2.5% of 5-year Average Final Compensation (AFC) times first 25 years of service plus 1% of AFC times years of service in excess of 25 years. Average final compensation is equaled to highest 5 years out of last 10 and includes base pay, overtime pay, longevity pay, cost of living allowance, holiday and vacation time pay.
Deferred Retirement	10 or more years of service.	Computed as service retirement but based upon service, AFC and benefit in effect at termination. Benefit begins at date retirement would have occurred had member remained in employment.
Death After Retirement Survivor's Pension	Payable to an eligible surviving spouse, if any, upon the death of a retired member who was receiving a straight life pension which was effective July 1, 1975 or later.	Spouse's pension equals 60% of the straight life pension the deceased retiree was receiving.
Non-Duty Death-in-Service Survivor's Pension	Payable to a surviving spouse, if any, upon the death of a member with 20 or more years of service.	Accrued straight life pension actuarially reduced in accordance with an Option I election.
Duty Death-in-Service Survivor's Pension	Payable upon the expiration of worker's compensation to the survivors of a member who died in the line of duty.	Same amount that was paid by worker's compensation.
Non-Duty Disability	Payable upon the total and permanent disability of a member with 5 or more years of service.	To Age 55: 1.5% of AFC times years of service. At Age 55: Same as Service Retirement Pension.
Duty Disability	Payable upon the total and permanent disability of a member in the line of duty.	To Age 55: 50% of AFC. At Age 55: Same as Service Retirement Pension with service credit from date of disability to age 55.

City of Cadillac

Notes to the Financial Statements

Employees Covered by Benefit Terms

Membership of the Act 345 defined benefit plan consisted of the following at the date of the latest actuarial valuation (June 30, 2019):

Inactive plan members or beneficiaries currently receiving benefits	40
Inactive plan members entitled to but not yet receiving benefits	3
Active plan members	<u>25</u>
Total plan members	<u>68</u>

Contributions

MERS

Article 9, Section 24 of the State of Michigan constitution requires that financial benefits arising on account of employee service rendered in each year be funded during that year. Accordingly, MERS retains an independent actuary to determine the annual contribution. The employer is required to contribute amounts at least equal to the actuarially determined rate, as established by the MERS retirement board. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by plan members during the year, with an additional amount to finance any unfunded accrued liability. The employer may establish contribution rates to be paid by its covered employees.

For the year ended June 30, 2019, the active employee contribution rate was 0% percent of annual pay and the City's contribution rate was 2.49% to 34.83% of covered payroll depending on division.

PFRS

Fire members hired prior to July 6, 2010 and all police members contribute an actuarially determined amount to pay for the increase in the benefit multiplier from 2.0% to 2.5%, but no larger than 3% annually. Fire members hired on or after July 6, 2010 do not contribute.

The City is required to contribute at an actuarially determined rate of 29.54% of payroll for police members and 33.55% of payroll for fire members. These rates totaled an actuarially determined contribution of \$510,426 for the year ending June 30, 2019, of which \$683,213 was contributed to the plan in the current year. The City establishes rates based on an actuarially determined rate recommended by an independent actuary. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by plan members during the year, with an additional amount to finance any unfunded accrued liability.

City of Cadillac

Notes to the Financial Statements

Net Pension Liability

The net pension liability reported for MERS at June 30, 2019 was determined using a measure of the total pension liability and the pension net position as of December 31, 2018. The December 31, 2018 total pension liability was determined by an actuarial valuation performed as of that date. The PFRS net pension liability reported at June 30, 2019 was determined using a measure of the total pension liability and the pension net position as of June 30, 2019. The June 30, 2019 total pension liability was determined by an actuarial valuation performed as of that date.

Changes in the plans net pension liability during the measurement year were as follows:

MERS	Increase (Decrease)		PFRS	Increase (Decrease)		
	Total Pension Liability	Plan Net Position		Total Pension Liability	Plan Net Position	Net Pension Liability
Changes in Net Pension Liability	Liability	Plan Net Position	Changes in Net Pension Liability	Liability	Plan Net Position	Liability
Balance at December 31, 2017	\$ 12,717,897	\$ 10,259,058	Balance at June 30, 2018	\$ 14,023,642	\$ 11,304,391	\$ 2,719,251
Service cost	193,437	-	Service cost	245,277	-	245,277
Interest	993,570	-	Interest on total pension liability	1,006,242	-	1,006,242
Differences between expected and actual	2,454	-	Difference between expected and actual experience	(40,161)	-	(40,161)
Contributions - Employer	-	331,009	Changes in assumptions	(41,620)	-	(41,620)
Net investment loss	-	(390,671)	Contributions - employer	-	683,213	(683,213)
Benefit payments, including refunds	(789,976)	(789,976)	Contributions - employee	-	12,203	(12,203)
Administrative expenses/other changes	1	(19,637)	Net investment income	-	288,698	(288,698)
Net changes	399,486	(869,275)	Benefit payments, including refunds	(986,135)	(986,135)	-
Balance at December 31, 2018	\$ 13,117,383	\$ 9,389,783	Administrative expenses/other changes	-	(12,500)	12,500
			Net changes	183,603	(14,521)	198,124
			Balance at June 30, 2019	\$ 14,207,245	\$ 11,289,870	\$ 2,917,375

City of Cadillac

Notes to the Financial Statements

Pension Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

For the year ended June 30, 2019, the City recognized pension expense of \$754,037 for the MERS plan and \$659,369 for the PFRS plan for a total of \$1,413,406. At June 30, 2019, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

MERS

Source	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	\$ 1,840	\$ 111,030
Changes in assumptions	-	-
Excess (deficit) investment returns	715,882	-
Contributions subsequent to the measurement date	172,983	-
Total	<u>\$ 890,705</u>	<u>\$ 111,030</u>

PFRS

Source	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ 34,255
Changes in assumptions	-	35,499
Net differences between projected and actual earnings on pension plan investments	426,610	-
Total	<u>\$ 426,610</u>	<u>\$ 69,754</u>

Amounts reported as deferred outflows of resources related to pensions will be recognized in pension expense as follows:

MERS		PFRS	
Years Ending June 30,	Amount	Years Ending June 30,	Amount
2020	\$ 165,315	2020	\$ 89,214
2021	71,093	2021	89,214
2022	131,832	2022	89,214
2023	238,452	2023	89,214
Total	<u>\$ 606,692</u>	Total	<u>\$ 356,856</u>

City of Cadillac

Notes to the Financial Statements

The below schedule provides a summary of all the amounts allocated to various funds within the City's financial statements for both pension plans:

	June 30, 2018 Balance	Net Change	June 30, 2019 Balance	Amounts Allocated to Primary Government	
				Governmental	Business-type
Deferred Outflows of Resources					
Difference between expected and actual experience	\$ 207,405	\$ (205,565)	\$ 1,840	\$ 997	\$ 843
Changes in assumptions	179,969	(179,969)	-	-	-
Excess (deficit) investment returns	-	1,142,492	1,142,492	814,546	327,946
Contributions subsequent to the measurement date	159,188	13,795	172,983	93,739	79,244
Net Pension Liability	5,178,090	(1,119,741)	6,644,975	4,937,361	1,707,614
Deferred Inflows of Resources					
Difference between expected and actual experience	206,457	(61,172)	145,285	94,422	50,863
Changes in assumptions	-	35,499	35,499	35,499	-
Excess (deficit) investment returns	191,851	(191,851)	-	-	-
		<i>Pension Expense</i>	\$ 1,413,406	\$ 1,067,982	\$ 345,424

Actuarial Assumptions

MERS

The total pension liability in the December 31, 2018 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation: 2.5%

Salary Increases: base wage inflation of 3.75% in the long-term (plus merit and longevity from 0 to 11% based on age)

Investment rate of return: 7.75%, net of investment expense, including inflation

Mortality rates used for non-disabled plan member were based on a weighted blend of RP-2014 mortality tables of a 50% Male and 50% Female blend. Mortality rates used for disabled plan member were based on a blend of RP-2014 disabled retire mortality tables of a 50% Male and 50% Female blend of disabled retirees. (1994 group annuity tables is 2014)

The actuarial assumptions used in the valuation were based on the results of the most recent actuarial experience study.

The long-term expected rate of return on pension plan investments was determined using a model method in which the best-estimate ranges of expected future real rates of return (expected returns, net of investment and administrative expenses and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation.

City of Cadillac

Notes to the Financial Statements

The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Target Allocation	Target Allocation Gross Rate of Return	Long-term Expected Gross Rate of Return	Inflation Assumption	Long-term Expected Real Rate of Return
Global equity	55.50%	8.65%	4.80%	2.50%	3.42%
Global fixed income	18.50%	3.76%	0.70%	2.50%	0.23%
Real assets	13.50%	9.72%	1.31%	2.50%	0.97%
Diversifying strategies	12.50%	7.50%	0.94%	2.50%	0.63%
	<u>100.00%</u>		<u>7.75%</u>		<u>5.25%</u>

Discount Rate

The discount rate used to measure the total pension liability is 8.00%. The projection of cash flows used to determine the discount rate assumes that employer and employee contributions will be made at the rates agreed upon for employees and the actuarially determined rates for employers. Based on these assumptions, the pension plan's fiduciary net position was projected to be available to pay all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

PFRS

The total pension liability was determined by an actuarial valuation as of June 30, 2019 using the following actuarial assumptions, applied to all periods included in the measurement:

Actuarial Cost Method	Entry Age
Inflation	3.00%
Salary Increases	8.00% - 4.00% (includes inflation)
Investment Rate of Return	7.75%

Mortality rates were based on the RP 2000 Combined Healthy Mortality Table Projected to 2014 with a 50% Male/Female Blend.

The actuarial assumptions used in the June 30, 2019 valuation were based on the results of an actuarial experience study for the period July 1, 2005 – June 30, 2015.

Discount Rate

The discount rate used to measure the total pension liability was 7.40 percent. The projection of cash flows used to determine the discount rate assumed that plan member contributions will be made at the current contribution rate and that City contributions will be made at rates equal to the

City of Cadillac

Notes to the Financial Statements

actuarially determined contribution rates. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Projected Cash Flows

The pension plan's policy in regard to the allocation of invested assets is established and may be amended by the pension board by a majority vote of its Board and City Council. It is the policy of the City to pursue an investment strategy that reduces risk through the prudent diversification of the portfolio across a broad selection of distinct asset classes. The pension plan's investment policy discourages the use of cash equivalents, except for liquidity purposes, and aims to refrain from dramatically shifting asset class allocations over short time spans.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of arithmetic long-term real rates of return for the MERS Total Market Fund included in the pension plan's target asset allocation as of June 30, 2019 are 7.40%.

The following was the City's asset allocation policy as of June 30, 2019:

Asset Class	Target Allocation (%)
Global equity	60.00
Global fixed income	20.00
Real assets/diversifying strategies	20.00
Total	100.00%

Rate of Return

For the year ended June 30, 2019, the annual money-weighted rate of return on pension plan investments, net of pension plan investment expense, was 7.1 percent. The money-weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts actually invested.

Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the net pension liability of the City, calculated using the discount rate of 8.00 percent and 7.40 for MERS and PFRS Respectively, as well as what the City's net pension

City of Cadillac

Notes to the Financial Statements

liability would be if it were calculated using a discount rate that is one percentage point lower (7.00/6.40 percent) or one percentage point higher (9.00/8.40 percent) than the current rate:

	1% Decrease (7.00%)	Current Discount Rate (8.00%)	1% Increase (9.00%)
<i>MERS</i>			
Net pension liability of the City	\$ 5,158,618	\$ 3,727,600	\$ 2,508,721
<i>PFRS</i>			
Net pension liability of the City	\$ 4,427,425	\$ 2,917,375	\$ 1,642,061

Pension Plan Fiduciary Net Position

MERS

Detailed information about the plan's fiduciary net position is available in the separately issued financial report found at www.mersofmichigan.com. The plan's fiduciary net position has been determined on the same basis used by the plan. The plan uses the economic resources measurement focus and the full accrual basis of accounting. Investments are stated at fair value. Contribution revenue is recorded as contributions are due, pursuant to legal requirements. Benefit payments and refunds of employee contributions are recognized as expense when due and payable in accordance with the benefit terms.

PFRS

The plan's fiduciary net position has been determined on the same basis used by the plan. Investments are reported at fair value. Securities traded on a national or international exchange are valued at the last reported sales price at current exchange rates. The plan uses the economic resources measurement focus and the full accrual basis of accounting. Contribution revenue is recorded as contributions are due, pursuant to legal requirements. Benefit payments and refunds of employee contributions are recognized as expense when due and payable in accordance with the benefit terms. Separately issued financial statements are not available.

Note 10 - Other Postemployment Benefits

Plan Description

The City provides retiree healthcare benefits through the City's retiree healthcare plan (the "Plan") to eligible employees and their spouses. The Plan is an agent multiple-employer defined benefit plan. The benefits are provided under collective bargaining agreements and personnel policies.

City of Cadillac

Notes to the Financial Statements

The City pays for the pay-as-you go costs from the general fund and makes additional discretionary pre-funding contributions annually.

Eligibility

General employees hired prior to the hire date cutoff (shown below) are eligible for retiree health benefits until Medicare eligibility at the earlier of age 55 with 25 years of service or age 60 with 10 years of service.

Police and fire employees hire prior to the hire date cutoff (shown below) are eligible for retiree health benefits until Medicare eligibility at the earlier of age 50 with 25 years of service or age 60 with 10 years of service.

Employees are only eligible for retiree health benefits if they are hired prior to the following cutoff dates:

- City manager, department heads, and non-union – January 1, 2007
- Steelworker – July 1, 2007
- Police officers – July 1, 2009
- Firefighters – July 1, 2010

Benefits Provided and Contributions

Steelworker retirees are required to contribute the portion of premium rates not covered by the City's explicit subsidy. All other retirees are required to contribute specific rates throughout retirement, ranging from \$15 to \$132 per month. The City contributes \$350 for single coverage and \$450 for non-single coverage for steelworker retirees per month. For all other retirees, the City pays the full cost of coverage less any retiree contribution requirements.

Membership of the Plan consisted of the following at the date of the latest actuarial valuation (June 30, 2019):

Inactive plan members or beneficiaries currently receiving benefits	75
Inactive plan members entitled to but not yet receiving benefits	8
Active plan members	<u>28</u>
Total employees covered by the Plan	<u>111</u>

City of Cadillac

Notes to the Financial Statements

Methods and Assumptions

The total OPEB liability was determined by an actuarial valuation and a measurement date as of June 30, 2019 and the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.50%
Salary increases	3.75%
Investment rate of return	7.00%
Discount rate	7.00%
Mortality	RPH-2018 Total dataset Mortality table fully generational using scale MP-2018

Healthcare cost trend rates starting at 8.00% in 2019 for health and pharmacy decreasing to a rate of 4.50% for in 2025 and beyond, and dental rates starting at 5.00% in 2019 decreasing to a rate of 3.00% in 2025 and beyond.

Discount Rate

The discount rate used to measure the total OPEB liability was 7.00 percent. This discount rate is used to determine the Total OPEB Liability. June 30, 2019 is the first year of required compliance with GASB 75, so there is no required discount rate change to disclose.

Based on those assumptions, the OPEB plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on OPEB plan investments was applied to all periods of projected benefit payments to determine the total OPEB liability.

Investment Rate of Return

The investment rate of return was assumed to be 7.00 percent, net of OPEB plan investment expense, including inflation. The long-term expected rate of return on OPEB plan investments was determined by using the long-term expected rate of return using the target asset allocation:

<u>Asset Class</u>	<u>Target Allocation</u>	<u>Long-term Expected Real Rate of Return</u>
Global Equity	55.5%	6.15%
Global Fixed Income	18.5%	1.26%
Real Assets	13.5%	7.22%
Diversifying Strategies	12.5%	5.00%

City of Cadillac

Notes to the Financial Statements

Changes in the net OPEB liability during the measurement year were as follows:

Changes in OPEB Liability	Increase (Decrease)		
	Total OPEB Liability	Plan Net Position	OPEB Liability
Balance at June 30, 2018	\$ 4,912,075	\$ 3,533,727	\$ 1,378,348
Service cost	102,983	-	102,983
Interest	283,251	-	283,251
Differences between expected and actual experience	(762,868)	-	(762,868)
Changes in actuarial assumptions	211,883	-	211,883
Contributions - employer	-	58,134	(58,134)
Net investment income	-	91,017	(91,017)
Benefit payments, including refunds	(283,665)	(283,665)	-
Administrative expenses	-	(7,227)	7,227
Net changes	(448,416)	(141,741)	(306,675)
Balance at June 30, 2019	\$ 4,463,659	\$ 3,391,986	\$ 1,071,673

The City's net OPEB liability was allocated to governmental activities (\$1,003,622) and business-type activities (\$68,051).

Sensitivity of the Net OPEB Liability to Changes in the Discount Rate

The following presents the net OPEB liability of the employer, calculated using the discount rate of 7.00 percent, as well as what the employer's net OPEB liability would be using a discount rate that is 1 percentage point lower or higher than the current rate:

	1% Decrease	Current Rate	1% Increase
Net OPEB Liability	\$ 1,407,500	\$ 1,071,673	\$ 770,704

Sensitivity of the Net OPEB Liability to Changes in the Healthcare Cost Trend Rates

The following presents the net OPEB liability of the employer, calculated using the healthcare cost trend rate of 8.00 percent, as well as what the employer's net OPEB liability would be using a healthcare cost trend rate that is 1 percentage point lower or higher than the current rate:

	1% Decrease	Current Rate	1% Increase
Net OPEB Liability	\$ 765,524	\$ 1,071,673	\$ 1,416,565

City of Cadillac

Notes to the Financial Statements

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB Plan

For the year ended June 30, 2019, the City recognized OPEB expense of (\$126,431). At June 30, 2019, the City reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

Source	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ 508,579
Changes in assumptions	141,840	-
Net difference between projected and actual earnings on OPEB investments	-	17,098
Total	<u>\$ 141,840</u>	<u>\$ 525,677</u>

The City's deferred outflows of resources was allocated to governmental activities (\$132,833) and business-type activities (\$9,007). The City's deferred inflows of resources was allocated to governmental activities (\$492,297) and business-type activities (\$33,380).

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Years Ending June 30,	Amount
2020	\$ (209,743)
2021	(209,742)
2022	12,822
2023	22,826

Note 11 - Risk Management

The City is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees (workers' compensation); medical benefits provided to employees, and natural disasters. The City has purchased commercial insurance for health claims, general liability, and property. The City participates in the Michigan Municipal League risk pool for claims relating to workers' compensation. Settled claims relating to the commercial insurance have not exceeded the amount of insurance coverage in any of the past three fiscal years.

The Michigan Municipal League risk pool program operates as a common risk-sharing management program for local units of government in Michigan; member premiums are used to purchase commercial excess insurance coverage and to pay member claims in excess of deductible amounts.

City of Cadillac

Notes to the Financial Statements

Note 12 - Contingent Liabilities

Currently, the City has several cases being brought to the Michigan Tax Tribunal for reduction of assessed values due to proposed changes in the calculations of valuations on property of certain taxpayers. If successful in their petition for reduced taxable values, the City's tax revenues may be reduced; the amount of potential reduction is not known. The City collects and disburses taxes, payments in lieu of taxes, and other receipts to various other units of government. Occasionally, chargebacks, tax tribunals, and various other situations occur where the City is directed to change the way collections have been previously disbursed. These changes could include money the City has previously recognized as income in its own various funds. There is no reasonable estimate of potential costs, if any, that are not already reflected in the financial statements.

Note 13 - Commitments and Contingencies

Under the terms of various federal and state grants and regulatory requirements, periodic audits are required and certain cost may be questioned as not being appropriate expenditures under the terms of the grants and requirements. Such audits could lead to reimbursement of the grantor or regulatory agencies. However, management does not believe such disallowances, if any, would be material to the financial position of the City.

Note 14 - Fund Balances - Governmental Funds

The City reports fund balance in governmental funds based on the provisions of GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*. GASB 54 establishes fund balance classifications that comprise a hierarchy based primarily on the extent to which a government is bound to observe constraints imposed upon the use of the resources reported in governmental funds.

	<u>General Fund</u>	<u>Major Streets</u>	<u>Nonmajor Funds</u>	<u>Total</u>
Nonspendable				
Prepaid Expenditures	\$ 9,071	\$ -	\$ -	\$ 9,071
Cemetery Perpetual Care	-	-	245,000	245,000
Capital Projects	-	-	128,091	128,091
<i>Total Nonspendable</i>	<u>\$ 9,071</u>	<u>\$ -</u>	<u>\$ 373,091</u>	<u>\$ 382,162</u>

City of Cadillac

Notes to the Financial Statements

	<u>General Fund</u>	<u>Major Streets</u>	<u>Nonmajor Funds</u>	<u>Total</u>
Restricted for				
Veterans Memorial	\$ 1,855	\$ -	\$ -	\$ 1,855
Youth Services	844	-	-	844
Drug Forfeiture	4,656	-	-	4,656
Fire Safety House	-	-	-	-
Blackburn Skate Park	3,177	-	-	3,177
White Pine Trail	1,859	-	-	1,859
Diggins Hill Courts	50	-	-	50
Diggins Hill Park	7,528	-	-	7,528
CAMA Lighthouse	800	-	-	800
Sundial Project	2,125	-	-	2,125
Bike Routes	7,000	-	-	7,000
Cadillac Trail Signage	5,000	-	-	5,000
McKellop Walkway Plowing	3,621	-	-	3,621
Major and Local Streets	-	754,447	393,325	1,147,772
Cemetery	-	-	63,084	63,084
Milfoil	-	-	32,028	32,028
Building Inspection	-	-	17,858	17,858
Mayor Wedding Fees	200	-	-	200
CASA Field Use	2,520	-	-	2,520
Dog Park	537	-	-	537
Debt Service	-	-	859	859
Capital Projects	-	-	234,407	234,407
Cemetery Perpetual Care	-	-	326,241	326,241
Total Restricted	<u>41,772</u>	<u>754,447</u>	<u>1,067,802</u>	<u>1,864,021</u>
Assigned for				
Working Capital	1,133,715	-	-	1,133,715
Sick and Vacation	309,546	-	-	309,546
Subsequent Year Use of Fund Balance	600,000	-	-	600,000
Pistol Range	4,627	-	-	4,627
HL Green Operating	-	-	48,484	48,484
Cadillac Development	-	-	827,868	827,868
Industrial Development	-	-	606,927	606,927
Corridor Improvement	-	-	5,899	5,899
Total Assigned	<u>2,047,888</u>	<u>-</u>	<u>1,489,178</u>	<u>3,537,066</u>
Unassigned	<u>1,332,597</u>	<u>-</u>	<u>-</u>	<u>1,332,597</u>
Total Fund Balances - Governmental Funds	<u>\$ 3,431,328</u>	<u>\$ 754,447</u>	<u>\$ 2,930,071</u>	<u>\$ 7,115,846</u>

Note 15 - Restricted Net Position

The City reports restricted net position in its government-wide financial statements as follows:

City of Cadillac

Notes to the Financial Statements

	Governmental Activities	Business-type Activities	Component Units
Restricted for			
Nonexpendable Cemetery Trust	\$ 245,000	\$ -	\$ -
Nonexpendable Capital Projects	128,091	-	-
Groundwater Cleanup	-	-	20,785
Economic Development	-	-	500,170
EE and Retiree Life and Health Insurance	300,206	-	-
General Government			
Cemetery Perpetual Care	326,241	-	-
Cemetery	63,084	-	-
Public Safety			
Drug Forfeiture	4,656	-	-
Fire Safety House	-	-	-
Youth Services	844	-	-
Building Inspection	17,858	-	-
Public Works			
Streets	1,147,772	-	-
Milfoil	32,028	-	-
Bike Routes	7,000	-	-
Recreation and Culture			
Veterans Memorial	1,855	-	-
Blackburn Skate Park	3,177	-	-
White Pine Trail	1,859	-	-
Diggins Hill Park	7,528	-	-
CAMA Lighthouse	800	-	-
Sundial Project	2,125	-	-
Cadillac Trail Signage	5,000	-	-
Dog Park	537	-	-
Mayor Wedding Fees	200	-	-
CASA Field Use	2,520	-	-
McKellop Walkway Plowing	3,621	-	-
Diggins Hill Courts	50	-	-
Capital Projects			
Capital Projects	234,407	-	1,625,785
Debt Service	859	654,263	-
Total Restricted Net Position	<u>\$ 2,537,318</u>	<u>\$ 654,263</u>	<u>\$ 2,146,740</u>

City of Cadillac

Notes to the Financial Statements

Note 16 - Tax Abatements

Industrial property tax abatements are granted in the State of Michigan under Public Act 198, as amended, to promote economic development, creation of jobs, and new or improvement facilities. The industrial facilities tax (IFT) exemption must be approved by both the local unit (after a public hearing is held) and the State of Michigan. IFT exemptions can cover real and/or personal property. By State law, the exemption must be applied for no later than six months after commencement of the project, and must be accompanied by a written agreement between the taxpayer and the local unit. An exemption allows for taxation on IFT property at 50% of the local property tax millage rate for a period of 1 to 12 years. Accordingly, such agreements meet the criteria of "tax abatements" under GASB Statement No. 77. For the year ended June 30, 2019, the City's property taxes were reduced by \$59,989 under this program.

Note 17 - Net Investment in Capital Assets

Following is a summary of net investment in capital assets as presented in the government-wide statement of net position:

	Governmental Activities	Business-type Activities	Component Units
Related Capital Assets:			
Capital assets not being depreciated	\$ 2,256,725	\$ 1,406,557	\$ 529,080
Capital assets being depreciated, net	11,052,634	21,358,961	1,594,908
Unspent bond proceeds	127,225	-	-
Related Long-term Debt:			
Due within one year	(123,333)	(605,000)	(61,667)
Due in more than one year	(1,516,667)	(5,829,061)	(818,333)
Net Investment in Capital Assets	<u>\$ 11,796,584</u>	<u>\$ 16,331,457</u>	<u>\$ 1,243,988</u>

Note 18 - Subsequent Events

Subsequent events have been evaluated through December 16, 2019, the date the financial statements were available to be issued. Management is not aware of any subsequent events that would have a significant impact on the financial condition of the City.

Note 19 – Upcoming New Pronouncements

In January 2017, the GASB issued Statement No. 84, Fiduciary Activities. This statement establishes criteria for identifying fiduciary activities of all state and local governments. An activity meeting the criteria should be reported in a fiduciary fund in the basic financial statements. The City is currently evaluating the impact this standard will have on the financial statements when adopted. The provisions of this statement are effective for the City's financial statements for the year ending June 30, 2020.

City of Cadillac

Notes to the Financial Statements

In June 2017, the GASB issued Statement No. 87, Leases, which improves accounting and financial reporting for leases by governments. This statement requires recognition of certain lease assets and liabilities for leases that were previously classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources. The City is currently evaluating the impact this standard will have on the financial statements when adopted. The provisions of this statement are effective for the City's financial statements for the year ending June 30, 2021.

In August 2018, the GASB issues Statement No. 90, Majority Equity Interests. This statement establishes criteria to improve consistency in the measurement and comparability of the financial statement presentation of majority equity interests in legally separate organizations. This statement also provides guidance for reporting of a component unit if a government acquires a 100 percent equity interest in that component unit. The City is evaluating the impact this standard will have on the financial statements when adopted. The provisions of this statement are effective for the City's financial statements for the year ending June 30, 2020.

In May 2019, the GASB issued Statement No. 91, Conduit Debt Obligations, which clarifies the existing definition of conduit debt, provides a single method of reporting conduit debt obligations by issuers, and eliminates diversity in practice associated with commitments extended by issuers, arrangements associated with conduit debt obligations, and related note disclosures. As a result, issuers should not recognize a liability for items meeting the definition of conduit debt; however, a liability should be recorded for additional or voluntary commitments to support debt service if certain recognition criteria are met. The standard also addresses the treatment of arrangements where capital assets are constructed or acquired with the proceeds of conduit debt obligation and used by a third-party obligor. The City is evaluating the impact this standard will have on the financial statements when adopted. The requirements of the standard will be applied retrospectively and are effective for the City's financial statements for the year ending June 30, 2022.

REQUIRED SUPPLEMENTARY INFORMATION

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
General Fund
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
Property Taxes	\$ 3,824,000	\$ 3,824,000	\$ 3,829,539	\$ 5,539
Federal Revenue	526,800	--	--	--
State Revenue	1,447,000	2,114,000	2,162,879	48,879
Local Revenue Sharing	200,000	225,000	220,919	(4,081)
Licenses and Permits	141,000	141,000	138,359	(2,641)
Charges for Services	1,018,700	1,018,700	1,023,963	5,263
Fines	15,000	15,000	10,721	(4,279)
Miscellaneous	26,500	26,500	28,296	1,796
Interest Income	30,000	55,000	79,913	24,913
Total Revenues	7,229,000	7,419,200	7,494,589	75,389
Other Financing Sources				
Sale of Property	5,000	5,000	40	(4,960)
Total Revenues and Other Financing Sources	7,234,000	7,424,200	7,494,629	70,429
Expenditures				
General Government				
City Council	43,900	50,900	51,206	(306)
City Manager	291,900	296,400	300,069	(3,669)
Finance	241,200	241,200	241,549	(349)
Assessor	137,500	137,500	129,672	7,828
Clerk/Treasurer	300,500	300,500	280,501	19,999
Elections	14,000	14,000	13,383	617
Building and Grounds	347,200	347,200	327,696	19,504
City Attorney	200,000	200,000	164,088	35,912
Engineering	85,500	100,500	97,425	3,075
Total General Government	1,661,700	1,688,200	1,605,589	82,611
Public Safety				
Police Department	1,948,500	1,948,500	1,858,534	89,966
Code Enforcement	33,500	33,500	9,288	24,212
Fire Department	1,382,900	1,420,400	1,412,296	8,104
Total Public Safety	3,364,900	3,402,400	3,280,118	122,282
Public Works				
Other Public Works	151,700	276,700	323,343	(46,643)
Alleys	47,500	47,500	38,935	8,565
Leaves	56,000	56,000	30,353	25,647
Grass and Weed Control	27,000	27,000	28,431	(1,431)
Composting	9,800	9,800	3,222	6,578
Waste Removal	552,000	552,000	546,643	5,357
Airport	34,500	34,500	34,385	115
Total Public Works	878,500	1,003,500	1,005,312	(1,812)

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
General Fund
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Expenditures (Continued)				
Economic Development				
Community Promotions	42,000	49,500	58,636	(9,136)
Planning and Zoning	138,900	142,400	138,870	3,530
Total Economic Development	180,900	191,900	197,506	(5,606)
Recreation and Culture				
Municipal Parks	223,000	223,000	268,843	(45,843)
Arts Commission	10,500	10,500	10,500	--
Cadillac Community TV	25,000	25,000	25,000	--
School Recreation Program	66,200	66,200	66,200	--
Total Recreation and Culture	324,700	324,700	370,543	(45,843)
Capital Outlay	630,000	313,000	240,766	72,234
Total Expenditures	7,040,700	6,923,700	6,699,834	223,866
Other Financing Uses				
Transfers Out	190,000	290,000	283,923	6,077
Total Expenditures and Other Financing Uses	7,230,700	7,213,700	6,983,757	229,943
Excess (Deficiency) of Revenues and Other Sources Over Expenditures and Other Uses	3,300	210,500	510,872	300,372
Net Change in Fund Balance	3,300	210,500	510,872	300,372
Fund Balance at Beginning of Period	2,920,456	2,920,456	2,920,456	--
Fund Balance at End of Period	\$ 2,923,756	\$ 3,130,956	\$ 3,431,328	\$ 300,372

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Major Streets
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
State Revenue	\$ 1,008,900	\$ 1,008,900	\$ 1,177,681	\$ 168,781
Local Revenue Sharing	500,000	500,000	1,750	(498,250)
Interest Income	1,000	1,000	11,158	10,158
Total Revenues	1,509,900	1,509,900	1,190,589	(319,311)
Expenditures				
Public Works	636,700	636,700	651,452	(14,752)
Capital Outlay	70,000	470,000	337,812	132,188
Total Expenditures	706,700	1,106,700	989,264	117,436
Other Financing Uses				
Transfers Out	281,100	281,100	261,100	20,000
Total Expenditures and Other Financing Uses	987,800	1,387,800	1,250,364	137,436
Excess (Deficiency) of Revenues Over Expenditures and Other Uses	522,100	122,100	(59,775)	(181,875)
Net Change in Fund Balance	522,100	122,100	(59,775)	(181,875)
Fund Balance at Beginning of Period	814,222	814,222	814,222	--
Fund Balance at End of Period	\$ 1,336,322	\$ 936,322	\$ 754,447	\$ (181,875)

City of Cadillac
Required Supplementary Information
Schedule of Changes in Net Pension Liability and Related Ratios - Police & Fire
Last Ten Years

	2019	2018	2017	2016	2015	2014	Information Unavailable			
							2013	2012	2011	2010
Total Pension Liability										
Service Cost	\$ 245,277	\$ 251,482	\$ 265,532	\$ 244,157	\$ 244,157	\$ 236,694	\$ -	\$ -	\$ -	\$ -
Interest	1,006,242	971,056	943,431	927,642	895,778	852,820	-	-	-	-
Differences Between Expected and Actual Experience	(40,161)	242,609	59,257	(23,128)	119,335	250,448	-	-	-	-
Changes in Assumptions	(41,620)	41,836	(67,609)	48,937	78,308	-	-	-	-	-
Benefit Payments, Including Refunds	(986,135)	(959,967)	(854,022)	(827,606)	(798,335)	(743,524)	-	-	-	-
Net Change in Pension Liability	183,603	547,016	346,589	370,002	539,243	596,438	-	-	-	-
<i>Total Pension Liability - Beginning</i>	<i>14,023,642</i>	<i>13,476,626</i>	<i>13,130,037</i>	<i>12,760,035</i>	<i>12,220,792</i>	<i>11,624,354</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>
Total Pension Liability - Ending (a)	\$ 14,207,245	\$ 14,023,642	\$ 13,476,626	\$ 13,130,037	\$ 12,760,035	\$ 12,220,792	\$ -	\$ -	\$ -	\$ -
Plan Fiduciary Net Position										
Contributions - Employer	\$ 683,213	\$ 701,533	\$ 630,432	\$ 629,917	\$ 631,963	\$ 633,673	\$ -	\$ -	\$ -	\$ -
Contributions - Member	12,203	29,842	38,283	37,461	36,346	42,195	-	-	-	-
Net Investment Income	288,698	798,574	1,193,963	56,318	258,280	1,146,932	-	-	-	-
Benefit Payments, Including Refunds	(986,135)	(959,967)	(854,022)	(827,606)	(798,335)	(743,524)	-	-	-	-
Administrative Expenses	(12,500)	(14,921)	(11,100)	(10,400)	(9,700)	(7,200)	-	-	-	-
Net Change in Plan Fiduciary Net Position	(14,521)	555,061	997,556	(114,310)	118,554	1,072,076	-	-	-	-
<i>Plan Fiduciary Net Position - Beginning</i>	<i>11,304,391</i>	<i>10,749,330</i>	<i>9,751,774</i>	<i>9,866,084</i>	<i>9,747,530</i>	<i>8,675,454</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>
Plan Fiduciary Net Position - Ending (b)	\$ 11,289,870	\$ 11,304,391	\$ 10,749,330	\$ 9,751,774	\$ 9,866,084	\$ 9,747,530	\$ -	\$ -	\$ -	\$ -
Net Pension Liability - Ending (a) - (b)	\$ 2,917,375	\$ 2,719,251	\$ 2,727,296	\$ 3,378,263	\$ 2,893,951	\$ 2,473,262	\$ -	\$ -	\$ -	\$ -
Plan Fiduciary Net Position as a Percentage of Total Pension Liability	79.47%	80.61%	79.76%	74.27%	77.32%	79.76%	N/A	N/A	N/A	N/A
Covered Payroll	\$ 1,522,152	\$ 1,498,704	\$ 1,528,849	\$ 1,607,792	\$ 1,595,473	\$ 1,568,160	N/A	N/A	N/A	N/A
Net Pension Liability as a Percentage of Covered Payroll	191.66%	181.44%	178.39%	210.12%	181.39%	157.72%	N/A	N/A	N/A	N/A

* Built prospectively upon implementation of GASB 68

City of Cadillac
Required Supplementary Information
Schedule of Contributions - Police & Fire
Last 10 Fiscal Years

	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010
Actuarially Determined Contribution	\$ 496,076	\$ 520,516	\$ 533,253	\$ 543,315	\$ 549,400	\$ 543,315	\$ 549,400	\$ 545,530	\$ 513,543	\$ 556,203
Contributions in Relation to the Actuarially Determined Contribution	683,213	701,533	630,432	629,917	631,963	633,673	651,762	666,098	1,051,479	504,691
Contribution Deficiency (Excess)	<u>\$ (187,137)</u>	<u>\$ (181,017)</u>	<u>\$ (97,179)</u>	<u>\$ (86,602)</u>	<u>\$ (82,563)</u>	<u>\$ (90,358)</u>	<u>\$ (102,362)</u>	<u>\$ (120,568)</u>	<u>\$ (537,936)</u>	<u>\$ 51,512</u>
Covered Payroll	1,522,152	1,498,704	1,528,849	1,607,792	1,595,473	1,568,160	2,647,200	2,522,912	2,413,371	1,585,519
Contributions as a Percentage of Covered Payroll	44.88%	46.81%	41.24%	39.18%	39.61%	40.41%	24.62%	26.40%	43.57%	31.83%

Notes

Valuation Date

Actuarially determined contribution amounts are calculated as of June 30 each year, which is 24 months prior to the beginning of the fiscal year in which the contributions are required.

Covered employee payroll is as of June 30 of the current fiscal year.

Methods and assumptions used to determine contribution rates

Actuarial cost method	Entry-age Normal
Amortization method	Level percentage of pay, open
Remaining amortization period	10 years
Asset valuation method	5 year smoothed market
Inflation	2.50%
Salary increases	4.00% - 8.00%, including inflation
Investment rate of return	7.5% net of pension plan investment expense, including inflation
Retirement Age	Experience-based tables of rates that are specific to the type of eligibility condition
Mortality	1994 Group Annuity Mortality Table - 50% Male/50% Female

City of Cadillac
Required Supplementary Information
Schedule of Investment Returns - Police & Fire
Last Ten Fiscal Years

	2019	2018	2017	2016	2015	2014	Information Unavailable			
							2013	2012	2011	2010
Annual money-weighted rate of return, net of investment expense	5.30%	7.10%	7.60%	5.50%	8.44%	9.55%	N/A	N/A	N/A	N/A

City of Cadillac
Required Supplementary Information
Schedule of Changes in Net Pension Liability and Related Ratios - MERS
Last Ten Plan Years

	2018	2017	2016	2015	2014	Information Unavailable				
						2013	2012	2011	2010	2009
Total Pension Liability										
Service Cost	\$ 193,437	\$ 171,940	\$ 183,064	\$ 178,507	\$ 182,201	\$ -	\$ -	\$ -	\$ -	\$ -
Interest	993,570	966,451	962,346	912,790	861,002	-	-	-	-	-
Other Changes	1	(1,081)	-	-	-	-	-	-	-	-
Differences Between Expected and Actual Experience	2,454	(39,013)	(350,495)	18,275	-	-	-	-	-	-
Changes in Assumptions	-	-	-	579,967	-	-	-	-	-	-
Benefit Payments, Including Refunds	(789,976)	(750,139)	(725,564)	(728,028)	(696,532)	-	-	-	-	-
Net Change in Pension Liability	399,486	348,158	69,351	961,511	346,671	-	-	-	-	-
<i>Total Pension Liability - Beginning</i>	12,717,897	12,369,739	12,300,388	11,338,877	10,992,206	-	-	-	-	-
Total Pension Liability - Ending (a)	<u>\$ 13,117,383</u>	<u>\$ 12,717,897</u>	<u>\$ 12,369,739</u>	<u>\$ 12,300,388</u>	<u>\$ 11,338,877</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Plan Fiduciary Net Position										
Contributions - Employer	\$ 331,009	\$ 304,055	\$ 281,993	\$ 260,636	\$ 274,762	\$ -	\$ -	\$ -	\$ -	\$ -
Contributions - Member	-	-	-	-	-	-	-	-	-	-
Net Investment Income (Loss)	(390,671)	1,237,501	1,001,110	(139,307)	617,338	-	-	-	-	-
Benefit Payments, Including Refunds	(789,976)	(750,139)	(725,196)	(728,028)	(696,532)	-	-	-	-	-
Administrative Expenses	(19,637)	(19,622)	(19,782)	(20,636)	(22,612)	-	-	-	-	-
Net Change in Plan Fiduciary Net Position	(869,275)	771,795	538,125	(627,335)	172,956	-	-	-	-	-
<i>Plan Fiduciary Net Position - Beginning</i>	10,259,058	9,487,263	8,949,138	9,576,473	9,883,508	-	-	-	-	-
Plan Fiduciary Net Position - Ending (b)	<u>\$ 9,389,783</u>	<u>\$ 10,259,058</u>	<u>\$ 9,487,263</u>	<u>\$ 8,949,138</u>	<u>\$ 10,056,464</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Net Pension Liability - Ending (a) - (b)	\$ 3,727,600	\$ 2,458,839	\$ 2,882,476	\$ 3,351,250	\$ 1,282,413	\$ -	\$ -	\$ -	\$ -	\$ -
Plan Fiduciary Net Position as a Percentage of Total Pension Liability	71.58%	80.67%	76.70%	72.75%	88.69%	N/A	N/A	N/A	N/A	N/A
Covered Payroll	\$ 2,301,503	\$ 2,066,937	\$ 2,195,369	\$ 2,186,192	\$ 2,712,307	N/A	N/A	N/A	N/A	N/A
Net Pension Liability as a Percentage of Covered Payroll	161.96%	118.96%	131.30%	153.29%	47.28%	N/A	N/A	N/A	N/A	N/A

* Built prospectively upon implementation of GASB 68

City of Cadillac
Required Supplementary Information
Schedule of Contributions - MERS
Last 10 Fiscal Years

	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010
Actuarially Determined Contribution	\$ 344,803	\$ 317,092	\$ 281,993	\$ 260,636	\$ 274,762	\$ 261,878	\$ 227,945	\$ 211,857	\$ 159,007	\$ 90,263
Contributions in Relation to the Actuarially Determined Contribution	344,803	317,092	281,993	260,636	274,762	261,878	227,945	211,857	159,007	90,263
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Covered Payroll	2,367,018	2,209,279	2,217,872	2,193,625	2,739,769	2,647,200	2,522,912	2,413,371	2,552,000	2,494,000
Contributions as a Percentage of Covered Payroll	14.57%	14.35%	12.71%	11.88%	10.03%	9.89%	9.03%	8.78%	6.23%	3.62%

Notes

Valuation Date

Actuarially determined contribution rates are calculated as of December 31 each year, which is 18 months prior to the beginning of the fiscal year in which the contributions are required.

Methods and assumptions used to determine contribution rates

Actuarial cost method	Entry-age Normal
Amortization method	Level percentage of pay, open
Remaining amortization period	20 years
Asset valuation method	5 year smoothed market
Inflation	2.50%
Salary increases	3.75%
Investment rate of return	7.75%
Retirement Age	Experience-based tables of rates that are specific to the type of eligibility condition
Mortality	50% Male - 50% Female blend of the RP-2014 Group Mortality Table

City of Cadillac
Required Supplementary Information
Schedule of Changes in Net OPEB Liability and Related Ratios
Last Ten Fiscal Years

	2019	2018	2017	Information Unavailable						
	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010
Total OPEB Liability										
Service Cost	\$ 102,983	\$ 97,328	\$ 111,956	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Interest	283,251	276,000	275,650	-	-	-	-	-	-	-
Differences Between Expected and Actual Experience	(762,868)	-	(184,047)	-	-	-	-	-	-	-
Changes in Assumptions	211,883	-	53,886	-	-	-	-	-	-	-
Benefit Payments, Including Refunds	(283,665)	(225,531)	(296,313)	-	-	-	-	-	-	-
Net Change in total OPEB Liability	(448,416)	147,797	(38,868)	-	-	-	-	-	-	-
<i>Total OPEB Liability - Beginning</i>	<i>4,912,075</i>	<i>4,764,278</i>	<i>4,803,146</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>
Total OPEB Liability - Ending (a)	\$ 4,463,659	\$ 4,912,075	\$ 4,764,278	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Plan Fiduciary Net Position										
Contributions/benefit payments made from general operating funds	\$ 58,134	\$ 225,531	\$ 296,313	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Net Investment Income	91,017	247,199	370,924	-	-	-	-	-	-	-
Benefit Payments, Including Refunds	(283,665)	(225,531)	(296,313)	-	-	-	-	-	-	-
Administrative Expenses	(7,227)	-	-	-	-	-	-	-	-	-
Net Change in Plan Fiduciary Net Position	(141,741)	247,199	370,924	-	-	-	-	-	-	-
<i>Plan Fiduciary Net Position - Beginning</i>	<i>3,533,727</i>	<i>3,286,528</i>	<i>2,915,604</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>
Plan Fiduciary Net Position - Ending (b)	\$ 3,391,986	\$ 3,533,727	\$ 3,286,528	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Net OPEB Liability - Ending (a) - (b)	\$ 1,071,673	\$ 1,378,348	\$ 1,477,750	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Plan Fiduciary Net Position as a Percentage of Total OPEB Liability	75.99%	71.94%	68.98%	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Covered Payroll	\$ 1,362,246	\$ 1,873,871	\$ 1,806,140	\$ 1,985,694	\$ 2,519,304	\$ 2,519,304	\$ 3,569,960	\$ 3,423,195	\$ 3,282,482	\$ 3,126,361
Net OPEB Liability as a Percentage of Payroll	78.67%	73.56%	81.82%	N/A	N/A	N/A	N/A	N/A	N/A	N/A

* Built prospectively upon implementation of GASB 75

City of Cadillac
Required Supplementary Information
Schedule of Contributions - OPEB
Last Ten Fiscal Years

	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010
Actuarially Determined Contribution	\$ 283,665	\$ 244,032	\$ 296,313	\$ 271,847	\$ 267,660	\$ 276,378	\$ 238,334	\$ 228,717	\$ 219,490	\$ 475,514
Contributions in Relation to the Actuarially Determined Contribution	58,134	225,531	296,313	271,847	187,747	181,183	103,690	183,525	246,547	436,355
Contribution Deficiency (Excess)	<u>\$ 225,531</u>	<u>\$ 18,501</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 79,913</u>	<u>\$ 95,195</u>	<u>\$ 134,644</u>	<u>\$ 45,192</u>	<u>\$ (27,057)</u>	<u>\$ 39,159</u>
Covered Payroll	\$ 1,362,246	\$ 1,873,871	\$ 1,806,140	\$ 1,985,694	\$ 2,519,304	\$ 2,519,304	\$ 3,569,960	\$ 3,423,195	\$ 3,282,482	\$ 3,126,361
Contributions as a Percentage of Covered Payroll	4.27%	12.04%	16.41%	13.69%	7.45%	7.19%	2.90%	5.36%	7.51%	13.96%

Notes

Valuation Date: June 30, 2019

Methods and assumptions used to determine contribution rates

Actuarial cost method	Projected Unit Credit (level dollar)
Amortization method	Average Future Service
Remaining amortization period	14 years
Asset valuation method	Equal to market value of assets
Inflation	2.50%
Salary increases	3.75%
Investment rate of return	7.00%
Retirement Age	Varies depending on plan adoption
Mortality	IRS 1.430 (h) Annuitant and non-annuitant (sex distinct) tables

OTHER SUPPLEMENTARY INFORMATION

City of Cadillac

Nonmajor Governmental Fund Descriptions

SPECIAL REVENUE FUNDS

Local Streets Fund - This fund is used to account for the receipt and expenditures of state shared gas and weight taxes under Act 51, P.A. 1951 as amended which are for use on local streets within the City. Gas and weight taxes are distributed to cities and villages in Michigan on the basis of population and the number of miles of streets.

Cemetery Fund - This fund records the financial activities of running the cemetery. Revenues from endowment funds supplement charges for services to finance these activities.

Milfoil Fund - This fund was established to account for milfoil eradication efforts in Lake Cadillac.

Cadillac Development Fund - This fund was established with grant monies from an Urban Development Action Grant to assist in economic development. As loans are repaid, money is made available for new loans.

Naval Reserve Center Fund - This fund was established to account for the rental of the Naval Reserve Center.

H.L. Green Operating Fund - This fund was established to account for the rental of the H.L. Green building until it was sold on a land contract.

Building Inspection Fund - This fund was established to account for the receipts and expenditures incurred by the Cadillac to enforce the State Construction Code Act.

DEBT SERVICE FUND

2016 GO Bonds Fund - A 2016 General Obligation Bond issue to acquire and construct various municipality improvements.

City of Cadillac

Nonmajor Governmental Fund Descriptions

CAPITAL PROJECT FUNDS

Market Capital Project Fund - The purpose is to account for the market capital project.

Cadillac Trailhead Project Fund- The purpose is to account for the trailhead capital project.

Oleson Property Demolition CDBG Grant Fund- The purpose is to account for the CDBG gran.

Industrial Park Fund - The purpose is the acquisition and development of a 240 acre tract of land into an industrial park for light manufacturing companies. Part of the development costs of 95.5 acres have been through a Small Cities Grant from the State of Michigan Department of Commerce.

Clam River Greenway Fund - This fund was established to account for the ecological and scenic development of the Clam River Greenway.

Special Assessments Capital Projects Fund - This fund was established to account for the various capital projects of the City.

Rotary Park Project Fund - The purpose is to account for the rotary park project on Lake Cadillac.

Corridor Improvement - The purpose is to assist funding improvements in commercial corridors outside of the main commercial or downtown area.

PERMANENT FUNDS

Cemetery Perpetual Care Fund - Perpetual care of a cemetery lot is part of the purchase price. This principal amount is an endowment and the investment income is used to maintain the cemetery operation.

Capital Projects Trust Fund - The gain from the sale of the City's investment in an electric cogeneration plant has been set aside as an endowment for capital projects. Investment earning from the endowment will be used for capital projects as deemed appropriate by the City Council.

**City of Cadillac
Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2019**

	Special Revenue						
	Local Streets	Cemetery	Milfoil	Cadillac Development	Naval Reserve Center	HL Green Operating	Building Inspection
ASSETS							
Cash and Pooled Investments	\$ 355,365	\$ 72,909	\$ 32,028	\$ 676,755	\$ 846	\$ 48,484	\$ 51,162
Receivables	57,417	749	--	61,162	--	--	--
Advance to Other Funds	--	--	--	150,000	--	--	--
Total Assets	\$ 412,782	\$ 73,658	\$ 32,028	\$ 887,917	\$ 846	\$ 48,484	\$ 51,162
LIABILITIES							
Accounts Payable	\$ 15,112	\$ 8,086	\$ --	\$ --	\$ 846	\$ --	\$ 33,304
Accrued Liabilities	4,345	2,488	--	577	--	--	--
Due to Other Funds	--	--	--	--	--	--	--
Total Liabilities	19,457	10,574	--	577	846	--	33,304
DEFERRED INFLOWS OF RESOURCES							
Unavailable Revenues	--	--	--	59,472	--	--	--
Total Liabilities and Deferred Inflows of Resources	19,457	10,574	--	60,049	846	--	33,304
FUND BALANCE							
Nonspendable	--	--	--	--	--	--	--
Restricted	393,325	63,084	32,028	--	--	--	17,858
Assigned	--	--	--	827,868	--	48,484	--
Unassigned	--	--	--	--	--	--	--
Total Fund Balance	393,325	63,084	32,028	827,868	--	48,484	17,858
Total Liabilities, Deferred Inflows of Resources and Fund Balance	\$ 412,782	\$ 73,658	\$ 32,028	\$ 887,917	\$ 846	\$ 48,484	\$ 51,162

**City of Cadillac
Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2019**

	Debt Service		Capital Projects				
	2016 GO Bonds	Market Capital Project	Cadillac Trailhead Project	Oleson Property Demolition CDBG Grant	Industrial Park	Clam River Greenway	Special Assessment Capital Projects
ASSETS							
Cash and Pooled Investments	\$ 859	\$ 67,013	\$ 29,657	\$ --	\$ 601,782	\$ 20,697	\$ 161,612
Receivables	--	--	--	153,934	6,819	--	30,485
Advance to Other Funds	--	--	--	--	--	--	--
Total Assets	\$ 859	\$ 67,013	\$ 29,657	\$ 153,934	\$ 608,601	\$ 20,697	\$ 192,097
LIABILITIES							
Accounts Payable	\$ --	\$ 9,449	\$ 5,062	\$ 153,934	\$ 1,674	\$ --	\$ 3,788
Accrued Liabilities	--	--	--	--	--	--	--
Due to Other Funds	--	--	--	--	--	--	36,795
Total Liabilities	--	9,449	5,062	153,934	1,674	--	40,583
DEFERRED INFLOWS OF RESOURCES							
Unavailable Revenues	--	--	--	--	--	--	24,289
Total Liabilities and Deferred Inflows of Resources	--	9,449	5,062	153,934	1,674	--	64,872
FUND BALANCE							
Nonspendable	--	--	--	--	--	--	--
Restricted	859	57,564	24,595	--	--	20,697	127,225
Assigned	--	--	--	--	606,927	--	--
Unassigned	--	--	--	--	--	--	--
Total Fund Balance	859	57,564	24,595	--	606,927	20,697	127,225
Total Liabilities, Deferred Inflows of Resources and Fund Balance	\$ 859	\$ 67,013	\$ 29,657	\$ 153,934	\$ 608,601	\$ 20,697	\$ 192,097

**City of Cadillac
Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2019**

	<u>Capital Projects</u>		<u>Permanent</u>		<u>Total Nonmajor Governmental Funds</u>
	<u>Rotary Park Project</u>	<u>Corridor Improvement</u>	<u>Cemetery Perpetual</u>	<u>Capital Projects Trust</u>	
ASSETS					
Cash and Pooled Investments	\$ 4,326	\$ 5,899	\$ 558,966	\$ 127,967	\$ 2,816,327
Receivables	--	--	12,275	124	322,965
Advance to Other Funds	--	--	--	--	150,000
<i>Total Assets</i>	<u>\$ 4,326</u>	<u>\$ 5,899</u>	<u>\$ 571,241</u>	<u>\$ 128,091</u>	<u>\$ 3,289,292</u>
LIABILITIES					
Accounts Payable	\$ --	\$ --	\$ --	\$ --	\$ 231,255
Accrued Liabilities	--	--	--	--	7,410
Due to Other Funds	--	--	--	--	36,795
<i>Total Liabilities</i>	<u>--</u>	<u>--</u>	<u>--</u>	<u>--</u>	<u>275,460</u>
DEFERRED INFLOWS OF RESOURCES					
Unavailable Revenues	--	--	--	--	83,761
<i>Total Liabilities and Deferred Inflows of Resources</i>	<u>--</u>	<u>--</u>	<u>--</u>	<u>--</u>	<u>359,221</u>
FUND BALANCE					
Nonspendable	--	--	245,000	128,091	373,091
Restricted	4,326	--	326,241	--	1,067,802
Assigned	--	5,899	--	--	1,489,178
Unassigned	--	--	--	--	--
<i>Total Fund Balance</i>	<u>4,326</u>	<u>5,899</u>	<u>571,241</u>	<u>128,091</u>	<u>2,930,071</u>
<i>Total Liabilities, Deferred Inflows of Resources and Fund Balance</i>	<u>\$ 4,326</u>	<u>\$ 5,899</u>	<u>\$ 571,241</u>	<u>\$ 128,091</u>	<u>\$ 3,289,292</u>

City of Cadillac
Combining Statement of Revenues, Expenditures, and Changes in Fund Balance
Nonmajor Governmental Funds
For the Year Ended June 30, 2019

	Special Revenue						
	Local Streets	Cemetery	Milfoil	Cadillac Development	Naval Reserve Center	HL Green Operating	Building Inspection
Revenues							
Licenses and Permits	\$ --	\$ --	\$ --	\$ --	\$ --	\$ --	\$ 99,898
Federal Revenue	--	--	--	--	--	--	--
State Revenue	468,788	--	--	--	--	--	--
Local Revenue	750	--	--	--	--	--	--
Charges for Services	--	62,986	--	--	19,444	--	--
Miscellaneous	--	--	--	--	4,500	--	--
Interest Income	--	--	--	12,523	--	--	--
Total Revenues	469,538	62,986	--	12,523	23,944	--	99,898
Expenditures							
General Government	--	111,249	--	--	27,949	--	--
Public Safety	--	--	--	--	--	--	99,180
Public Works	419,340	--	16,736	--	--	--	--
Economic Development	--	--	--	52,618	--	--	--
Capital Outlay	271,979	5,878	--	--	--	--	--
Debt Service - Principal	--	--	--	--	--	--	--
Debt Service - Interest	--	--	--	--	--	--	--
Total Expenditures	691,319	117,127	16,736	52,618	27,949	--	99,180
Excess of Revenues Over (Under) Expenditures	(221,781)	(54,141)	(16,736)	(40,095)	(4,005)	--	718
Other Financing Sources (Uses)							
Transfers In	300,000	60,000	--	--	3,923	--	--
Transfers Out	(80,300)	--	--	--	--	--	--
Net Other Financing Sources (Uses)	219,700	60,000	--	--	3,923	--	--
Net Change in Fund Balance	(2,081)	5,859	(16,736)	(40,095)	(82)	--	718
Fund Balance at Beginning of Period	395,406	57,225	48,764	867,963	82	48,484	17,140
Fund Balance at End of Period	\$ 393,325	\$ 63,084	\$ 32,028	\$ 827,868	\$ --	\$ 48,484	\$ 17,858

City of Cadillac
Combining Statement of Revenues, Expenditures, and Changes in Fund Balance
Nonmajor Governmental Funds
For the Year Ended June 30, 2019

	Debt Service		Capital Projects				
	2016 GO Bonds	Market Capital Project	Cadillac Trailhead Project	Oleson Property Demolition CDBG Grant	Industrial Park	Clam River Greenway	Special Assessment Capital Projects
Revenues							
Licenses and Permits	\$ --	\$ --	\$ --	\$ --	\$ --	\$ --	\$ --
Federal Revenue	--	--	--	741,980	--	--	--
State Revenue	--	--	--	--	--	--	176,250
Local Revenue	--	40,200	32,018	--	--	--	--
Charges for Services	--	--	--	--	--	--	--
Miscellaneous	--	--	--	--	--	--	8,206
Interest Income	--	2,418	--	--	10,796	--	8,304
Total Revenues	--	42,618	32,018	741,980	10,796	--	192,760
Expenditures							
General Government	500	--	--	--	102,449	--	--
Public Safety	--	--	--	--	--	--	--
Public Works	--	--	--	--	--	--	72,326
Economic Development	--	--	--	741,980	--	--	--
Capital Outlay	--	752,708	7,423	--	--	--	476,420
Debt Service - Principal	120,000	--	--	--	--	--	--
Debt Service - Interest	40,062	--	--	--	--	--	--
Total Expenditures	160,562	752,708	7,423	741,980	102,449	--	548,746
Excess of Revenues Over (Under) Expenditures	(160,562)	(710,090)	24,595	--	(91,653)	--	(355,986)
Other Financing Sources (Uses)							
Transfers In	161,400	100,000	--	--	--	--	--
Transfers Out	--	--	--	--	--	--	--
Net Other Financing Sources (Uses)	161,400	100,000	--	--	--	--	--
Net Change in Fund Balance	838	(610,090)	24,595	--	(91,653)	--	(355,986)
<i>Fund Balance at Beginning of Period</i>	<i>21</i>	<i>667,654</i>	<i>--</i>	<i>--</i>	<i>698,580</i>	<i>20,697</i>	<i>483,211</i>
Fund Balance at End of Period	\$ 859	\$ 57,564	\$ 24,595	\$ --	\$ 606,927	\$ 20,697	\$ 127,225

City of Cadillac
Combining Statement of Revenues, Expenditures, and Changes in Fund Balance
Nonmajor Governmental Funds
For the Year Ended June 30, 2019

	Capital Projects		Permanent		Total Nonmajor Governmental Funds
	Rotary Park Project	Corridor Improvement	Cemetery Perpetual	Capital Projects Trust	
Revenues					
Licenses and Permits	\$ --	\$ --	\$ --	\$ --	\$ 99,898
Federal Revenue	--	--	--	--	741,980
State Revenue	--	--	--	--	645,038
Local Revenue	--	--	--	--	72,968
Charges for Services	--	--	14,400	--	96,830
Miscellaneous	--	--	--	--	12,706
Interest Income	--	--	9,338	1,401	44,780
Total Revenues	--	--	23,738	1,401	1,714,200
Expenditures					
General Government	--	--	500	500	243,147
Public Safety	--	--	--	--	99,180
Public Works	--	--	--	--	508,402
Economic Development	--	--	--	--	794,598
Capital Outlay	--	--	--	--	1,514,408
Debt Service - Principal	--	--	--	--	120,000
Debt Service - Interest	--	--	--	--	40,062
Total Expenditures	--	--	500	500	3,319,797
Excess of Revenues Over (Under) Expenditures	--	--	23,238	901	(1,605,597)
Other Financing Sources (Uses)					
Transfers In	--	--	--	--	625,323
Transfers Out	--	--	--	--	(80,300)
Net Other Financing Sources (Uses)	--	--	--	--	545,023
Net Change in Fund Balance	--	--	23,238	901	(1,060,574)
Fund Balance at Beginning of Period	4,326	5,899	548,003	127,190	3,990,645
Fund Balance at End of Period	\$ 4,326	\$ 5,899	\$ 571,241	\$ 128,091	\$ 2,930,071

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Local Streets
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
State Revenue	\$ 300,000	\$ 300,000	\$ 468,788	\$ 168,788
Local Revenue Sharing	1,000,000	1,000,000	750	(999,250)
Total Revenues	1,300,000	1,300,000	469,538	(830,462)
Other Financing Sources				
Transfers In	330,000	330,000	300,000	(30,000)
Total Revenues and Other Financing Sources	1,630,000	1,630,000	769,538	(860,462)
Expenditures				
Public Works	477,200	477,200	419,340	57,860
Capital Outlay	723,000	723,000	271,979	451,021
Total Expenditures	1,200,200	1,200,200	691,319	508,881
Other Financing Uses				
Transfers Out	80,300	80,300	80,300	--
Total Expenditures and Other Financing Uses	1,280,500	1,280,500	771,619	508,881
Excess (Deficiency) of Revenues and Other Sources Over Expenditures and Other Uses	349,500	349,500	(2,081)	(351,581)
Net Change in Fund Balance	349,500	349,500	(2,081)	(351,581)
Fund Balance at Beginning of Period	395,406	395,406	395,406	--
Fund Balance at End of Period	\$ 744,906	\$ 744,906	\$ 393,325	\$ (351,581)

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Cemetery
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
Charges for Services	\$ 55,000	\$ 55,000	\$ 62,986	\$ 7,986
<i>Total Revenues</i>	<u>55,000</u>	<u>55,000</u>	<u>62,986</u>	<u>7,986</u>
Other Financing Sources				
Transfers In	69,000	69,000	60,000	(9,000)
<i>Total Revenues and Other Financing Sources</i>	<u>124,000</u>	<u>124,000</u>	<u>122,986</u>	<u>(1,014)</u>
Expenditures				
General Government	114,500	114,500	111,249	3,251
Capital Outlay	9,000	9,000	5,878	3,122
<i>Total Expenditures</i>	<u>123,500</u>	<u>123,500</u>	<u>117,127</u>	<u>6,373</u>
<i>Excess (Deficiency) of Revenues and Other Sources Over Expenditures</i>	<u>500</u>	<u>500</u>	<u>5,859</u>	<u>5,359</u>
<i>Net Change in Fund Balance</i>	<u>500</u>	<u>500</u>	<u>5,859</u>	<u>5,359</u>
<i>Fund Balance at Beginning of Period</i>	<i>57,225</i>	<i>57,225</i>	<i>57,225</i>	<i>--</i>
<i>Fund Balance at End of Period</i>	<u>\$ 57,725</u>	<u>\$ 57,725</u>	<u>\$ 63,084</u>	<u>\$ 5,359</u>

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Milfoil
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
Interest Income	\$ 300	\$ 300	\$ --	\$ (300)
<i>Total Revenues</i>	300	300	--	(300)
Expenditures				
Public Works	30,000	30,000	16,736	13,264
<i>Total Expenditures</i>	30,000	30,000	16,736	13,264
<i>Excess (Deficiency) of Revenues Over Expenditures</i>	(29,700)	(29,700)	(16,736)	12,964
<i>Net Change in Fund Balance</i>	(29,700)	(29,700)	(16,736)	12,964
<i>Fund Balance at Beginning of Period</i>	48,764	48,764	48,764	--
<i>Fund Balance at End of Period</i>	\$ 19,064	\$ 19,064	\$ 32,028	\$ 12,964

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Cadillac Development
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
Interest Income	\$ 25,000	\$ 25,000	\$ 12,523	\$ (12,477)
Total Revenues	<u>25,000</u>	<u>25,000</u>	<u>12,523</u>	<u>(12,477)</u>
Expenditures				
Economic Development	51,500	51,500	52,618	(1,118)
Total Expenditures	<u>51,500</u>	<u>51,500</u>	<u>52,618</u>	<u>(1,118)</u>
Other Financing Uses				
Transfers Out	29,500	29,500	--	29,500
Total Expenditures and Other Financing Uses	<u>81,000</u>	<u>81,000</u>	<u>52,618</u>	<u>28,382</u>
Excess (Deficiency) of Revenues Over Expenditures and Other Uses	<u>(56,000)</u>	<u>(56,000)</u>	<u>(40,095)</u>	<u>15,905</u>
Net Change in Fund Balance	(56,000)	(56,000)	(40,095)	15,905
Fund Balance at Beginning of Period	867,963	867,963	867,963	--
Fund Balance at End of Period	<u>\$ 811,963</u>	<u>\$ 811,963</u>	<u>\$ 827,868</u>	<u>\$ 15,905</u>

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Naval Reserve Center
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
Charges for Services	\$ 22,500	\$ 22,500	\$ 19,444	\$ (3,056)
Miscellaneous	--	--	4,500	4,500
Total Revenues	<u>22,500</u>	<u>22,500</u>	<u>23,944</u>	<u>1,444</u>
Other Financing Sources				
Transfers In	--	--	3,923	3,923
Total Revenues and Other Financing Sources	<u>22,500</u>	<u>22,500</u>	<u>27,867</u>	<u>5,367</u>
Expenditures				
General Government	22,500	22,500	27,949	(5,449)
Total Expenditures	<u>22,500</u>	<u>22,500</u>	<u>27,949</u>	<u>(5,449)</u>
Excess (Deficiency) of Revenues and Other Sources Over Expenditures	<u>--</u>	<u>--</u>	<u>(82)</u>	<u>(82)</u>
Net Change in Fund Balance	<u>--</u>	<u>--</u>	<u>(82)</u>	<u>(82)</u>
Fund Balance at Beginning of Period	<u>82</u>	<u>82</u>	<u>82</u>	<u>--</u>
Fund Balance at End of Period	<u>\$ 82</u>	<u>\$ 82</u>	<u>\$ --</u>	<u>\$ (82)</u>

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
HL Green Operating
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
Interest Income	\$ 500	\$ 500	\$ --	\$ (500)
<i>Total Revenues</i>	<u>500</u>	<u>500</u>	<u>--</u>	<u>(500)</u>
Expenditures				
<i>Total Expenditures</i>	<u>--</u>	<u>--</u>	<u>--</u>	<u>--</u>
<i>Excess (Deficiency) of Revenues Over Expenditures</i>	<u>500</u>	<u>500</u>	<u>--</u>	<u>(500)</u>
<i>Net Change in Fund Balance</i>	<u>500</u>	<u>500</u>	<u>--</u>	<u>(500)</u>
Fund Balance at Beginning of Period	48,484	48,484	48,484	--
<i>Fund Balance at End of Period</i>	<u>\$ 48,984</u>	<u>\$ 48,984</u>	<u>\$ 48,484</u>	<u>\$ (500)</u>

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Building Inspection
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
Licenses and Permits	\$ 90,000	\$ 90,000	\$ 99,898	\$ 9,898
Total Revenues	<u>90,000</u>	<u>90,000</u>	<u>99,898</u>	<u>9,898</u>
Expenditures				
Code Enforcement	90,000	90,000	99,180	(9,180)
Total Expenditures	<u>90,000</u>	<u>90,000</u>	<u>99,180</u>	<u>(9,180)</u>
Excess (Deficiency) of Revenues Over Expenditures	<u>--</u>	<u>--</u>	<u>718</u>	<u>718</u>
Net Change in Fund Balance	<u>--</u>	<u>--</u>	<u>718</u>	<u>718</u>
Fund Balance at Beginning of Period	17,140	17,140	17,140	--
Fund Balance at End of Period	<u>\$ 17,140</u>	<u>\$ 17,140</u>	<u>\$ 17,858</u>	<u>\$ 718</u>

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
2016 GO Bonds
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Other Financing Sources				
Transfers In	\$ 240,900	\$ 240,900	\$ 161,400	\$ (79,500)
<i>Total Other Financing Sources</i>	240,900	240,900	161,400	(79,500)
Expenditures				
Finance	--	--	500	(500)
Debt Service - Principal	180,000	180,000	120,000	60,000
Debt Service - Interest	60,900	60,900	40,062	20,838
<i>Total Expenditures</i>	240,900	240,900	160,562	80,338
<i>Excess (Deficiency) of Other Sources</i>				
<i>Over Expenditures</i>	--	--	838	838
<i>Net Change in Fund Balance</i>	--	--	838	838
<i>Fund Balance at Beginning of Period</i>	21	21	21	--
<i>Fund Balance at End of Period</i>	\$ 21	\$ 21	\$ 859	\$ 838

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Market Capital Project
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
Federal Revenue	\$ --	\$ 50,000	\$ --	\$ (50,000)
Local Revenue Sharing	--	--	40,200	40,200
Interest Income	--	--	2,418	2,418
Total Revenues	--	50,000	42,618	(7,382)
Other Financing Sources				
Transfers In	--	100,000	100,000	--
Total Revenues and Other Financing Sources	--	150,000	142,618	(7,382)
Expenditures				
Capital Outlay	--	817,000	752,708	64,292
Total Expenditures	--	817,000	752,708	64,292
Excess (Deficiency) of Revenues and Other Sources Over Expenditures	--	(667,000)	(610,090)	56,910
Net Change in Fund Balance	--	(667,000)	(610,090)	56,910
Fund Balance at Beginning of Period	667,654	667,654	667,654	--
Fund Balance at End of Period	\$ 667,654	\$ 654	\$ 57,564	\$ 56,910

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Cadillac Trailhead Project
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
Local Revenue Sharing	\$ --	\$ --	\$ 32,018	\$ 32,018
Total Revenues	--	--	32,018	32,018
Expenditures				
Capital Outlay	--	--	7,423	(7,423)
Total Expenditures	--	--	7,423	(7,423)
Excess (Deficiency) of Revenues Over Expenditures	--	--	24,595	24,595
Net Change in Fund Balance	--	--	24,595	24,595
Fund Balance at Beginning of Period	--	--	--	--
Fund Balance at End of Period	\$ --	\$ --	\$ 24,595	\$ 24,595

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Oleson Property Demolition CDBG Grant
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
Federal Revenue	\$ --	\$ 775,000	\$ 741,980	\$ (33,020)
Total Revenues	<u>--</u>	<u>775,000</u>	<u>741,980</u>	<u>(33,020)</u>
Expenditures				
Economic Development	--	775,000	741,980	33,020
Total Expenditures	<u>--</u>	<u>775,000</u>	<u>741,980</u>	<u>33,020</u>
Excess (Deficiency) of Revenues Over Expenditures	<u>--</u>	<u>--</u>	<u>--</u>	<u>--</u>
Net Change in Fund Balance	<u>--</u>	<u>--</u>	<u>--</u>	<u>--</u>
Fund Balance at Beginning of Period	<u>--</u>	<u>--</u>	<u>--</u>	<u>--</u>
Fund Balance at End of Period	<u>\$ --</u>	<u>\$ --</u>	<u>\$ --</u>	<u>\$ --</u>

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Industrial Park
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
Interest Income	\$ 4,000	\$ 4,000	\$ 10,796	\$ 6,796
Total Revenues	4,000	4,000	10,796	6,796
Other Financing Sources				
Sale of Property	390,000	390,000	--	(390,000)
Total Revenues and Other Financing Sources	394,000	394,000	10,796	(383,204)
Expenditures				
General Government	81,500	231,500	102,449	129,051
Total Expenditures	81,500	231,500	102,449	129,051
Excess (Deficiency) of Revenues and Other Sources Over Expenditures	312,500	162,500	(91,653)	(254,153)
Net Change in Fund Balance	312,500	162,500	(91,653)	(254,153)
Fund Balance at Beginning of Period	698,580	698,580	698,580	--
Fund Balance at End of Period	\$ 1,011,080	\$ 861,080	\$ 606,927	\$ (254,153)

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Clam River Greenway
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative)
	Original	Final	Actual	Final to Actual
Revenues				
<i>Total Revenues</i>	--	--	--	--
Expenditures				
<i>Total Expenditures</i>	--	--	--	--
<i>Excess (Deficiency) of Revenues Over Expenditures</i>	--	--	--	--
<i>Net Change in Fund Balance</i>	--	--	--	--
<i>Fund Balance at Beginning of Period</i>	20,697	20,697	20,697	--
<i>Fund Balance at End of Period</i>	<u>\$ 20,697</u>	<u>\$ 20,697</u>	<u>\$ 20,697</u>	<u>\$ --</u>

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Special Assessment Capital Projects
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
State Revenue	\$ --	\$ --	\$ 176,250	\$ 176,250
Miscellaneous	7,000	7,000	8,206	1,206
Interest Income	500	500	8,304	7,804
Total Revenues	7,500	7,500	192,760	185,260
Expenditures				
General Government	500	500	72,326	(71,826)
Capital Outlay	30,000	505,000	476,420	28,580
Total Expenditures	30,500	505,500	548,746	(43,246)
Excess (Deficiency) of Revenues Over Expenditures	(23,000)	(498,000)	(355,986)	142,014
Net Change in Fund Balance	(23,000)	(498,000)	(355,986)	142,014
Fund Balance at Beginning of Period	483,211	483,211	483,211	--
Fund Balance at End of Period	\$ 460,211	\$ (14,789)	\$ 127,225	\$ 142,014

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Rotary Park Project
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
<i>Total Revenues</i>	--	--	--	--
Expenditures				
<i>Total Expenditures</i>	--	--	--	--
<i>Excess (Deficiency) of Revenues Over Expenditures</i>	--	--	--	--
<i>Net Change in Fund Balance</i>	--	--	--	--
<i>Fund Balance at Beginning of Period</i>	4,326	4,326	4,326	--
<i>Fund Balance at End of Period</i>	\$ 4,326	\$ 4,326	\$ 4,326	\$ --

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Corridor Improvement
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative)
	Original	Final	Actual	Final to Actual
Revenues				
<i>Total Revenues</i>	--	--	--	--
Expenditures				
<i>Total Expenditures</i>	--	--	--	--
<i>Excess (Deficiency) of Revenues Over Expenditures</i>	--	--	--	--
<i>Net Change in Fund Balance</i>	--	--	--	--
<i>Fund Balance at Beginning of Period</i>	5,899	5,899	5,899	--
<i>Fund Balance at End of Period</i>	<u>\$ 5,899</u>	<u>\$ 5,899</u>	<u>\$ 5,899</u>	<u>\$ --</u>

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Cemetery Perpetual
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
Charges for Services	\$ 9,500	\$ 9,500	\$ 14,400	\$ 4,900
Interest Income	10,000	10,000	9,338	(662)
Total Revenues	19,500	19,500	23,738	4,238
Expenditures				
General Government	500	500	500	--
Total Expenditures	500	500	500	--
Other Financing Uses				
Transfers Out	9,000	9,000	--	9,000
Total Expenditures and Other Financing Uses	9,500	9,500	500	9,000
Excess (Deficiency) of Revenues Over Expenditures and Other Uses	10,000	10,000	23,238	13,238
Net Change in Fund Balance	10,000	10,000	23,238	13,238
Fund Balance at Beginning of Period	548,003	548,003	548,003	--
Fund Balance at End of Period	\$ 558,003	\$ 558,003	\$ 571,241	\$ 13,238

City of Cadillac
Schedule of Revenues, Expenditures, and Changes in Fund Balance-Budget and Actual
Capital Projects Trust
For the Year Ended June 30, 2019

	Budgeted Amounts			Variance Positive (Negative) Final to Actual
	Original	Final	Actual	
Revenues				
Interest Income	\$ 1,500	\$ 1,500	\$ 1,401	\$ (99)
Total Revenues	<u>1,500</u>	<u>1,500</u>	<u>1,401</u>	<u>(99)</u>
Expenditures				
General Government	500	500	500	--
Total Expenditures	<u>500</u>	<u>500</u>	<u>500</u>	<u>--</u>
Excess (Deficiency) of Revenues Over Expenditures	<u>1,000</u>	<u>1,000</u>	<u>901</u>	<u>(99)</u>
Net Change in Fund Balance	1,000	1,000	901	(99)
Fund Balance at Beginning of Period	127,190	127,190	127,190	--
Fund Balance at End of Period	\$ 128,190	\$ 128,190	\$ 128,091	\$ (99)

City of Cadillac

Nonmajor Proprietary Fund Descriptions

NONMAJOR PROPRIETARY FUNDS

Proprietary funds are used to account for the acquisition, operation and maintenance of governmental facilities and services which are entirely or predominantly self-supporting by user charges. The significant characteristic of proprietary funds is the accounting system must make it possible to show whether the activity is operated at a profit or loss, similar to comparable private enterprises. Thus, the reports of proprietary funds are self-contained and creditors, legislators or the general public can evaluate the performance of the municipal enterprise on the same basis as they can evaluate the performance of investor owned enterprises in the same industry.

Automobile Parking System Fund – This fund accounts for operations of the on-street and off-street parking facilities within the City.

Building Authority Fund - This fund accounts for operations of the building.

City of Cadillac
Combining Statement of Net Position
Nonmajor Enterprise Funds
June 30, 2019

	<u>Enterprise</u>		
	<u>Auto Parking</u>	<u>Building Authority</u>	<u>Total Enterprise Funds</u>
ASSETS			
<i>Current Assets</i>			
Cash and Pooled Investments	\$ 196,411	\$ 223,053	\$ 419,464
Receivables	174	244	418
Total Current Assets	196,585	223,297	419,882
<i>Noncurrent Assets</i>			
Capital Assets not being Depreciated	249,221	90,445	339,666
Capital Assets being Depreciated	195,571	1,003,937	1,199,508
Total Noncurrent Assets	444,792	1,094,382	1,539,174
Total Assets	641,377	1,317,679	1,959,056
LIABILITIES			
<i>Current Liabilities</i>			
Accounts Payable	7,632	6,149	13,781
Total Liabilities	7,632	6,149	13,781
NET POSITION			
Net Investment in Capital Assets	444,792	1,094,382	1,539,174
Unrestricted	188,953	217,148	406,101
Total Net Position	\$ 633,745	\$ 1,311,530	\$ 1,945,275

City of Cadillac
Combining Statement of Revenues, Expenses, and Changes in Net Position
Nonmajor Enterprise Funds
For the Year Ended June 30, 2019

	Enterprise		
	Auto Parking	Building Authority	Total Enterprise Funds
Operating Revenues			
Charges for Services	\$ 1,844	\$ 154,440	\$ 156,284
Total Operating Revenues	1,844	154,440	156,284
Operating Expenses			
Salaries and Wages	16,816	--	16,816
Materials and Supplies	17,085	--	17,085
Utilities	--	3,099	3,099
Repair and Maintenance	--	35,234	35,234
Equipment Rental	34,116	--	34,116
Contracted Services	--	37,429	37,429
Professional Fees	500	--	500
Depreciation	15,384	48,942	64,326
Total Operating Expenses	83,901	124,704	208,605
Operating Income (Loss)	(82,057)	29,736	(52,321)
Non-Operating Revenues (Expenses)			
Interest Income	2,286	2,298	4,584
Special Assessment Revenue	54,278	--	54,278
Net Non-Operating Revenues (Expenses)	56,564	2,298	58,862
Change In Net Position	(25,493)	32,034	6,541
Net Position at Beginning of Period	659,238	1,279,496	1,938,734
Net Position at End of Period	\$ 633,745	\$ 1,311,530	\$ 1,945,275

City of Cadillac
Combining Statement of Cash Flows
Nonmajor Enterprise Funds
For the Year Ended June 30, 2019

	Enterprise		
	Auto Parking	Building Authority	Total Enterprise Funds
Cash Flows from Operating Activities			
Cash Received from Customers and Special Assessments	\$ 1,844	\$ 154,238	\$ 156,082
Cash Payments to Employees for Services and Fringe Benefits	(16,895)	-	(16,895)
Cash Payments to Suppliers for Goods and Services	(44,069)	(69,951)	(114,020)
Net Cash Provided by (Used in) Operating Activities	(59,120)	84,287	25,167
Cash Flows from Capital and Related Financing Activities			
Special Assessment Revenue	54,278	-	54,278
Net Cash Provided by Capital and Related Financing Activities	54,278	-	54,278
Cash Flows From Investing Activities			
Interest on Investments	2,286	2,298	4,584
Net Cash Provided by Investing Activities	2,286	2,298	4,584
Net Increase (Decrease) in Cash and Equivalents	(2,556)	86,585	84,029
Cash and Pooled Investments - Beginning of Year	198,967	136,468	335,435
Cash and Pooled Investments - End of Year	\$ 196,411	\$ 223,053	\$ 419,464
Reconciliation of Operating Income (Loss) to			
Net Cash Provided by (Used in) Operating Activities			
Operating Income (Loss)	\$ (82,057)	\$ 29,736	\$ (52,321)
Adjustments to Reconcile Operating Income (Loss) to Net Cash			
Provided by (Used in) Operating Activities			
Depreciation and Amortization Expense	15,384	48,942	64,326
Changes in Assets and Liabilities			
Receivables	(79)	(202)	(281)
Accounts Payable	7,632	5,811	13,443
Net Cash Provided by (Used in) Operating Activities	\$ (59,120)	\$ 84,287	\$ 25,167

City of Cadillac

Internal Service Fund Descriptions

INTERNAL SERVICE FUNDS

Internal service funds are established to finance and account for services and/or commodities furnished by a designated program to other programs within the City. Since the services and commodities are supplied exclusively to programs under the City's jurisdiction, they are distinguishable from those services which are rendered to the public in general and which are accounted for in general, special revenue, or enterprise funds.

The City of Cadillac central stores and municipal garage fund, information technology fund, insurance fund, and safety fund make up the internal service funds category.

Information Technology Fund - Provides computer services to the various other funds that use the City's network.

Central Stores and Municipal Garage Fund - Operates the motor pool for the City.

Insurance Fund - Is an account that provides for hospitalization and life insurance for municipal employees at a limited amount of risk to the City.

Safety Fund - This fund was created to educate and encourage safety throughout the City organization.

City of Cadillac
Combining Statement of Net Position
Internal Service Funds
June 30, 2019

	Internal Service				
	Information Technology	Central Stores and Municipal Garage	Insurance	Safety	Total Internal Service Funds
ASSETS					
<i>Current Assets</i>					
Cash and Pooled Investments	\$ 198,253	\$ 69,473	\$ 230,900	\$ 6,222	\$ 504,848
Receivables	564	13,009	317	--	13,890
Prepays	--	1,372	106,656	--	108,028
Inventory	--	59,788	--	--	59,788
Total Current Assets	198,817	143,642	337,873	6,222	686,554
<i>Noncurrent Assets</i>					
Capital Assets not being Depreciated	--	25,000	--	--	25,000
Capital Assets being Depreciated	156,282	907,725	--	--	1,064,007
Total Noncurrent Assets	156,282	932,725	--	--	1,089,007
Total Assets	355,099	1,076,367	337,873	6,222	1,775,561
DEFERRED OUTFLOWS OF RESOURCES					
OPEB Related	--	9,007	--	--	9,007
Pension Related	--	55,135	--	--	55,135
Total Deferred Outflows of Resources	--	64,142	--	--	64,142
LIABILITIES					
<i>Current Liabilities</i>					
Accounts Payable	9,805	9,174	27,547	11	46,537
Accrued Liabilities	206	4,980	10,120	--	15,306
Current Portion of Compensated Absences	2,437	18,322	--	--	20,759
Total Current Liabilities	12,448	32,476	37,667	11	82,602
<i>Noncurrent Liabilities</i>					
Compensated Absences	2,076	15,608	--	--	17,684
Net OPEB Liability	--	68,051	--	--	68,051
Net Pension Liability	--	230,738	--	--	230,738
Advance from Other Funds	--	150,000	--	--	150,000
Total Noncurrent Liabilities	2,076	464,397	--	--	466,473
Total Liabilities	14,524	496,873	37,667	11	549,075
DEFERRED INFLOWS OF RESOURCES					
OPEB Related	--	33,380	--	--	33,380
Pension Related	--	6,873	--	--	6,873
Total Deferred Inflows of Resources	--	40,253	--	--	40,253
NET POSITION					
Net Investment in Capital Assets	156,282	932,725	--	--	1,089,007
<i>Restricted for:</i>					
Internal Service - Retirees' Life Insurance	--	--	168,866	--	168,866
Internal Service - Employees' Life and Health Insurance	--	--	131,340	--	131,340
<i>Unrestricted</i>	184,293	(329,342)	--	6,211	(138,838)
Total Net Position	\$ 340,575	\$ 603,383	\$ 300,206	\$ 6,211	\$ 1,250,375

City of Cadillac
Combining Statement of Revenues, Expenses, and Changes in Net Position
Internal Service Funds
For the Year Ended June 30, 2019

	Internal Service				
	Information Technology	Central Stores and Municipal Garage	Insurance	Safety	Total Internal Service Funds
Operating Revenues					
Charges for Services	\$ 179,400	\$ 869,406	\$ 1,438,864	\$ --	\$ 2,487,670
Total Operating Revenues	<u>179,400</u>	<u>869,406</u>	<u>1,438,864</u>	<u>--</u>	<u>2,487,670</u>
Operating Expenses					
Salaries and Wages	17,832	238,296	--	5,195	261,323
Materials and Supplies	38,692	122,272	--	1,535	162,499
Utilities	7,437	21,589	--	--	29,026
Repair and Maintenance	--	79,574	--	--	79,574
Equipment Rental	--	28,471	--	--	28,471
Contracted Services	120,037	41,149	26,960	500	188,646
Insurance	--	--	1,450,985	--	1,450,985
Depreciation	30,252	100,599	--	--	130,851
Total Operating Expenses	<u>214,250</u>	<u>631,950</u>	<u>1,477,945</u>	<u>7,230</u>	<u>2,331,375</u>
Operating Income (Loss)	<u>(34,850)</u>	<u>237,456</u>	<u>(39,081)</u>	<u>(7,230)</u>	<u>156,295</u>
Non-Operating Revenues (Expenses)					
Interest Income	2,096	--	7,117	--	9,213
Gain on Sale of Capital Assets	--	419	--	--	419
Net Non-Operating Revenues (Expenses)	<u>2,096</u>	<u>419</u>	<u>7,117</u>	<u>--</u>	<u>9,632</u>
Change In Net Position	<u>(32,754)</u>	<u>237,875</u>	<u>(31,964)</u>	<u>(7,230)</u>	<u>165,927</u>
Net Position at Beginning of Period	373,329	365,508	332,170	13,441	1,084,448
Net Position at End of Period	<u>\$ 340,575</u>	<u>\$ 603,383</u>	<u>\$ 300,206</u>	<u>\$ 6,211</u>	<u>\$ 1,250,375</u>

City of Cadillac
Combining Statement of Cash Flows
Internal Service Funds
For the Year Ended June 30, 2019

	Internal Service				
	Information Technology	Central Stores and Municipal Garage	Insurance	Safety	Total Internal Service Funds
Cash Flows from Operating Activities					
Cash Received from Customers	\$ 180,118	\$ 894,762	\$ 1,438,994	\$ -	\$ 2,513,874
Cash Payments to Employees for Services and Fringe Benefits	(17,648)	(244,100)	-	(5,195)	(266,943)
Cash Payments to Suppliers for Goods and Services	(158,468)	(293,145)	(1,484,477)	(2,039)	(1,938,129)
Net Cash Provided by (Used in) Operating Activities	<u>4,002</u>	<u>357,517</u>	<u>(45,483)</u>	<u>(7,234)</u>	<u>308,802</u>
Cash Flows from Capital and Related Financing Activities					
Gain on Sale of Capital Assets	-	419	-	-	419
Capital Assets Purchased	(28,745)	(402,915)	-	-	(431,660)
Net Cash Used in Capital and Related Financing Activities	<u>(28,745)</u>	<u>(402,496)</u>	<u>-</u>	<u>-</u>	<u>(431,241)</u>
Cash Flows From Investing Activities					
Interest on Investments	2,096	-	7,117	-	9,213
Net Cash Provided by Investing Activities	<u>2,096</u>	<u>-</u>	<u>7,117</u>	<u>-</u>	<u>9,213</u>
Net Decrease in Cash and Equivalents	(22,647)	(44,979)	(38,366)	(7,234)	(113,226)
Cash and Pooled Investments - Beginning of Year	220,900	114,452	269,266	13,456	618,074
Cash and Pooled Investments - End of Year	<u>\$ 198,253</u>	<u>\$ 69,473</u>	<u>\$ 230,900</u>	<u>\$ 6,222</u>	<u>\$ 504,848</u>

City of Cadillac
Combining Statement of Cash Flows
Internal Service Funds
For the Year Ended June 30, 2019

	Internal Service				Total Internal Service Funds
	Information Technology	Central Stores and Municipal Garage	Insurance	Safety	
Reconciliation of Operating Income (Loss) to					
Net Cash Provided by (Used in) Operating Activities					
Operating Income (Loss)	\$ (34,850)	\$ 237,456	\$ (39,081)	\$ (7,230)	\$ 156,295
Adjustments to Reconcile Operating Income (Loss) to Net Cash					
Provided by (Used in) Operating Activities					
Depreciation Expense	30,252	100,599	-	-	130,851
Changes in Assets and Liabilities					
Receivables	718	25,356	130	-	26,204
Inventory	-	1,179	-	-	1,179
Prepaid Expenses	-	(1,372)	(15,506)	-	(16,878)
Accounts Payable	7,698	(140)	1,544	(4)	9,098
Accrued Liabilities	19	243	7,430	-	7,692
Compensated Absences	165	3,909	-	-	4,074
Net OPEB Liability and Related Deferred Items	-	(2,040)	-	-	(2,040)
Net Pension Liability and Related Deferred Items	-	(7,673)	-	-	(7,673)
Net Cash Provided by (Used in) Operating Activities	<u>\$ 4,002</u>	<u>\$ 357,517</u>	<u>\$ (45,483)</u>	<u>\$ (7,234)</u>	<u>\$ 308,802</u>

City of Cadillac

Agency Fund Descriptions

AGENCY FUNDS

Current Tax Fund – This fund is used to record the receipt and transfers of property taxes collected by the City on behalf of the state, county, school districts, and other governments.

Payroll Fund – This fund is used to account for receipts and disbursements of payroll withholdings.

City of Cadillac
Statement of Fiduciary Assets and Liabilities
Fiduciary Funds
June 30, 2019

	<u>Agency</u>	
	<u>Current Tax</u>	<u>Payroll</u>
ASSETS		
Cash and Pooled Investments	\$ 151	\$ --
<i>Total Assets</i>	<u>151</u>	<u>--</u>
LIABILITIES		
Due to Other Governmental Units	151	--
<i>Total Liabilities</i>	<u>\$ 151</u>	<u>\$ --</u>

City of Cadillac
Combining Statement of Changes in Fiduciary Assets and Liabilities
Fiduciary Funds
For the Year Ended June 30, 2019

Current Tax Collection Fund

	June 30, 2018	Additions	Deductions	June 30, 2019
ASSETS				
Cash and Pooled Investments	\$ -	\$ 12,250,710	\$ 12,250,559	\$ 151
<i>Total Assets</i>	-	12,250,710	12,250,559	151
LIABILITIES				
Due to Other Governmental Units	-	12,250,710	12,250,559	151
<i>Total Liabilities</i>	\$ -	\$ 12,250,710	\$ 12,250,559	\$ 151

Payroll

	June 30, 2018	Additions	Deductions	June 30, 2019
ASSETS				
Cash and Pooled Investments	\$ -	\$ 7,825,016	\$ 7,825,016	\$ -
<i>Total Assets</i>	-	7,825,016	7,825,016	-
LIABILITIES				
Due to Others	-	7,825,016	7,825,016	-
<i>Total Liabilities</i>	\$ -	\$ 7,825,016	\$ 7,825,016	\$ -

Total Agency Funds

	June 30, 2018	Additions	Deductions	June 30, 2019
ASSETS				
Cash and Pooled Investments	\$ -	\$ 20,075,726	\$ 20,075,575	\$ 151
<i>Total Assets</i>	-	20,075,726	20,075,575	151
LIABILITIES				
Due to Other Governmental Units	-	20,075,726	20,075,575	151
<i>Total Liabilities</i>	\$ -	\$ 20,075,726	\$ 20,075,575	\$ 151

City of Cadillac

Component Unit Fund Descriptions

COMPONENT UNITS

Brownfield Redevelopment Authority Fund – This fund identifies contaminated sites and remediates them, and provides financing to do so. This fund was established pursuant to Michigan Public Act 381 of 1996.

Downtown Development Authority Fund – This fund is designed to assist in the economic growth of the central business district from parking plans to mall development. A two (2) mill maximum tax levy can be levied by the Board when needed.

DDA Capital Projects Fund – This fund was established to provide a source of revenue for the DDA to undertake various capital and public infrastructure improvements within the DDA district.

LDFA Fund – This fund was established to operate the groundwater cleanup facility located in the industrial park.

LDFA Capital Projects Fund – This fund was established to provide a source of revenue for the LDFA to undertake various capital and public infrastructure improvements within the LDFA district.

LDFA Utilities Fund – This fund was established to provide water utility services to the cogeneration plant located within the boundaries of the LDFA district.

Economic Development Corporation Fund – This fund was established to act as an economic development corporation for the City of Cadillac in accordance with State law.

City of Cadillac
Brownfield Redevelopment Balance Sheet and Statement of Net Position
June 30, 2019

	<u>Brownfield Redevelopment</u>	<u>Adjustments</u>	<u>Statement of Net Position</u>
ASSETS			
Cash and Pooled Investments	\$ 145,711	\$ --	\$ 145,711
Receivables	17,104	--	17,104
<i>Total Assets</i>	<u>\$ 162,815</u>	<u>\$ --</u>	<u>\$ 162,815</u>
LIABILITIES			
<i>Noncurrent Liabilities</i>			
Accounts Payable	\$ 16,656	\$ --	\$ 16,656
Current Portion of Long-term Debt	--	8,702 [1]	8,702
<i>Total Liabilities</i>	<u>16,656</u>	<u>8,702</u>	<u>25,358</u>
<i>Noncurrent Liabilities</i>			
Long-term Debt	--	23,887 [1]	23,887
<i>Total Liabilities</i>	<u>16,656</u>	<u>32,589</u>	<u>49,245</u>
FUND BALANCE			
<i>Restricted for:</i>			
Economic Development	146,159	(146,159)	--
Unassigned	--	--	--
<i>Total Fund Balance</i>	<u>146,159</u>	<u>(146,159)</u>	<u>--</u>
<i>Total Liabilities and Fund Balance</i>	<u>\$ 162,815</u>	<u>\$ (113,570)</u>	<u>\$ 49,245</u>
NET POSITION			
<i>Restricted for:</i>			
Economic Development		\$ 113,570	\$ 113,570
<i>Total Net Position</i>		<u>\$ 113,570</u>	<u>\$ 113,570</u>

[1] Certain liabilities are not due and payable in the current period and therefore are not reported in the funds.

City of Cadillac
Brownfield Redevelopment Statement of Revenues, Expenditures, and
Changes in Fund Balance and Statement of Activities
For the Year Ended June 30, 2019

	Brownfield Redevelopment	Adjustments	Statement of Activities
Revenues			
Property Taxes	\$ 22,133	\$ --	\$ 22,133
State Revenue	19,246	--	19,246
Interest Income	1,413	--	1,413
Total Revenues	42,792	--	42,792
Expenditures			
Economic Development	78,307	(16,883) [1]	61,424
Total Expenditures	78,307	(16,883)	61,424
Excess of Revenues Over (Under) Expenditures	(35,515)	16,883	(18,632)
Net Change in Fund Balance / Net Position	(35,515)	16,883	(18,632)
Fund Balance / Net Position at Beginning of Period	181,674	(49,472)	132,202
Fund Balance / Net Position at End of Period	\$ 146,159	\$ (32,589)	\$ 113,570

[1] Current year long-term debt principal payments on bonds payable are expenditures in the fund financial statements but are reductions in long-term debt in the government-wide financial statements.

City of Cadillac
DDA Combining Balance Sheet and Statement of Net Position
June 30, 2019

	Downtown Development Authority	Downtown Development Capital Projects	Total DDA Funds	Adjustments	Statement of Net Position
ASSETS					
<i>Current Assets</i>					
Cash and Pooled Investments	\$ 11,519	\$ 9,431	\$ 20,950	--	\$ 20,950
Total Current Assets	11,519	9,431	20,950	--	20,950
<i>Noncurrent Assets</i>					
Capital Assets not being Depreciated	--	--	--	529,080 [1]	529,080
Capital Assets being Depreciated	--	--	--	1,477,343 [1]	1,477,343
Total Assets	\$ 11,519	\$ 9,431	\$ 20,950	\$ 2,006,423	\$ 2,027,373
LIABILITIES					
<i>Current Liabilities</i>					
Accounts Payable	\$ 1,450	\$ --	\$ 1,450	\$ --	\$ 1,450
Accrued Liabilities	216	--	216	--	216
Current Portion of Compensated Absences	--	--	--	1,162 [2]	1,162
Current Portion of Long-term Debt	--	--	--	61,667 [3]	61,667
Total Current Liabilities	1,666	--	1,666	62,829	64,495
<i>Noncurrent Liabilities</i>					
Compensated Absences	--	--	--	990 [2]	990
Long-term Debt	--	--	--	818,333 [3]	818,333
Total Liabilities	1,666	--	1,666	882,152	883,818
FUND BALANCE					
Restricted	9,853	9,431	19,284	(19,284)	--
Unassigned	--	--	--	--	--
Total Fund Balance	9,853	9,431	19,284	(19,284)	--
Total Liabilities, Deferred Inflows of Resources and Fund Balance	\$ 11,519	\$ 9,431	\$ 20,950	\$ 862,868	\$ 883,818
NET POSITION					
Net Investment in Capital Assets				\$ 1,126,423	\$ 1,126,423
<i>Restricted for:</i>					
Economic Development				17,132	17,132
Total Net Position				\$ 1,143,555	\$ 1,143,555

[1] Capital assets used in DDA activities are not financial resources and, therefore, are not reported in the funds.

[2] Compensated absences are not due and payable in the current period and, accordingly, are not reported as fund liabilities.

[3] Long-term liabilities are not due and payable in the current period and therefore are not reported in the funds.

City of Cadillac
DDA Combining Statement of Revenues, Expenditures, and Changes in Fund Balance and Statement of Activities
For the Year Ended June 30, 2019

	Downtown Development Authority	Downtown Development Capital Projects	Total DDA Funds	Adjustments	Statement of Activities
Revenues					
Property Tax Captures	\$ 26,838	\$ 57,954	\$ 84,792	\$ -	\$ 84,792
Local Revenue Sharing	--	21,453	21,453	--	21,453
Miscellaneous	4,162	--	4,162	--	4,162
Interest Income	193	--	193	--	193
Total Revenues	31,193	79,407	110,600	-	110,600
Expenditures					
Economic Development	26,601	48,379	74,980	41 [1]	75,021
Debt Service - Principal	--	60,000	60,000	(60,000) [3]	--
Debt Service - Interest	--	20,031	20,031	--	20,031
Depreciation	--	--	--	82,776 [2]	82,776
Total Expenditures	26,601	128,410	155,011	22,817	177,828
Excess of Revenues Over (Under) Expenditures	4,592	(49,003)	(44,411)	(22,817)	(67,228)
Net Change in Fund Balance / Net Position	4,592	(49,003)	(44,411)	(22,817)	(67,228)
<i>Fund Balance / Net Position at Beginning of Period</i>	<i>5,261</i>	<i>58,434</i>	<i>63,695</i>	<i>1,147,088</i>	<i>1,210,783</i>
Fund Balance / Net Position at End of Period	\$ 9,853	\$ 9,431	\$ 19,284	\$ 1,124,271	\$ 1,143,555

[1] Compensated absences that are not payable from current year resources are not reported as expenditures of the current year in the funds. In the Statement of Activities, those costs represent expenses of the current year.

[2] In the funds, capital outlay is recorded as an expenditure in the year paid for, while, in the Statement of Activities, the cost of those assets is allocated over the estimated useful lives as depreciation expense. This is the amount by which depreciation expense of \$82,776 is in excess of capital outlay expenditures of \$0.

[3] Current year long-term debt principal payments on bonds payable are expenditures in the fund financial statements but are reductions in long-term debt in the government-wide financial statements.

City of Cadillac
LDFA Combining Balance Sheet and Statement of Net Position
June 30, 2019

	<u>LDFA</u>	<u>LDFA Capital Projects</u>	<u>LDFA Utilities</u>	<u>Total LDFA Funds</u>	<u>Adjustments</u>	<u>Statement of Net Position</u>
ASSETS						
<i>Current Assets</i>						
Cash and Pooled Investments	\$ 36,143	\$ 1,620,943	\$ 365,208	\$ 2,022,294	\$ --	\$ 2,022,294
Accounts Receivable	--	--	2,701	2,701	--	2,701
Interest Receivable	468	4,842	481	5,791	--	5,791
<i>Total Current Assets</i>	<u>36,611</u>	<u>1,625,785</u>	<u>368,390</u>	<u>2,030,786</u>	<u>--</u>	<u>2,030,786</u>
<i>Noncurrent Assets</i>						
Capital Assets being Depreciated	--	--	--	--	117,565 [1]	117,565
<i>Total Assets</i>	<u>\$ 36,611</u>	<u>\$ 1,625,785</u>	<u>\$ 368,390</u>	<u>\$ 2,030,786</u>	<u>\$ 117,565</u>	<u>\$ 2,148,351</u>
LIABILITIES						
<i>Current Liabilities</i>						
Accounts Payable	\$ 14,948	\$ --	\$ --	\$ 14,948	\$ --	\$ 14,948
Accrued Liabilities	878	--	89	967	--	967
<i>Total Current Liabilities</i>	<u>15,826</u>	<u>--</u>	<u>89</u>	<u>15,915</u>	<u>--</u>	<u>15,915</u>
FUND BALANCE						
<i>Restricted for:</i>						
Ground Water Cleanup	20,785	--	--	20,785	(20,785)	--
Capital Projects	--	1,625,785	--	1,625,785	(1,625,785)	--
Economic Development	--	--	368,301	368,301	(368,301)	--
<i>Total Fund Balance</i>	<u>20,785</u>	<u>1,625,785</u>	<u>368,301</u>	<u>2,014,871</u>	<u>(2,014,871)</u>	<u>--</u>
<i>Total Liabilities and Fund Balance</i>	<u>\$ 36,611</u>	<u>\$ 1,625,785</u>	<u>\$ 368,390</u>	<u>\$ 2,030,786</u>	<u>\$ (2,014,871)</u>	<u>\$ 15,915</u>
NET POSITION						
Net Investment in Capital Assets					\$ 117,565	\$ 117,565
<i>Restricted for:</i>						
Ground Water Cleanup					20,785	20,785
Capital Projects					1,625,785	1,625,785
Economic Development					368,301	368,301
<i>Total Net Position</i>					<u>\$ 2,132,436</u>	<u>\$ 2,132,436</u>

[1] Capital assets used in LDFA activities are not financial resources and, therefore, are not reported in the funds.

City of Cadillac
LDFA Combining Statement of Revenues, Expenditures, and Changes in Fund Balance and Statement of Activities
For the Year Ended June 30, 2019

	LDFA	LDFA Capital Projects	LDFA Utilities	Total LDFA Funds	Adjustments	Statement of Activities
Revenues						
Property Taxes	\$ --	\$ 131,146	\$ --	\$ 131,146	\$ --	\$ 131,146
Charges for Services	--	--	16,538	16,538	--	16,538
Interest Income	4,375	21,523	7,011	32,909	--	32,909
Total Revenues	4,375	152,669	23,549	180,593	--	180,593
Expenditures						
Economic Development	237,748	35,835	--	273,583	--	273,583
Salaries and Wages	--	--	8,463	8,463	--	8,463
Depreciation	--	--	--	--	4,536 [1]	4,536
Total Expenditures	237,748	35,835	8,463	282,046	4,536	286,582
Excess of Revenues Over (Under) Expenditures	(233,373)	116,834	15,086	(101,453)	(4,536)	(105,989)
Net Change in Fund Balance / Net Position	(233,373)	116,834	15,086	(101,453)	(4,536)	(105,989)
Fund Balance / Net Position at Beginning of Period	254,158	1,508,951	353,215	2,116,324	122,101	2,238,425
Fund Balance / Net Position at End of Period	\$ 20,785	\$ 1,625,785	\$ 368,301	\$ 2,014,871	\$ 117,565	\$ 2,132,436

[1] In the funds capital outlay is recorded as an expenditure in the year paid for, while, in the Statement of Activities the asset is expensed over its useful life, this amount represents depreciation expense for the year.

City of Cadillac
EDC Balance Sheet and Statement of Net Position
June 30, 2019

	Economic Development Corporation	Adjustments	Statement of Net Position
ASSETS			
Cash and Pooled Investments	\$ 1,167	\$ --	\$ 1,167
<i>Total Assets</i>	<u>\$ 1,167</u>	<u>\$ --</u>	<u>\$ 1,167</u>
LIABILITIES			
<i>Total Liabilities</i>	<u>\$ --</u>	<u>\$ --</u>	<u>\$ --</u>
FUND BALANCE			
Restricted	1,167	(1,167)	--
Unassigned	--	--	--
<i>Total Fund Balance</i>	<u>1,167</u>	<u>(1,167)</u>	<u>--</u>
<i>Total Liabilities and Fund Balance</i>	<u>\$ 1,167</u>	<u>\$ (1,167)</u>	<u>\$ --</u>
NET POSITION			
Restricted for:			
Economic Development		\$ 1,167	\$ 1,167
<i>Total Net Position</i>		<u>\$ 1,167</u>	<u>\$ 1,167</u>

City of Cadillac
EDC Statement of Revenues, Expenditures, and Changes in Fund Balance and Statement of Activities
For the Year Ended June 30, 2019

	Economic Development Corporation	Adjustments	Statement of Activities
Revenues			
<i>Total Revenues</i>	--	--	--
Expenditures			
<i>Total Expenditures</i>	--	--	--
<i>Excess of Revenues Over (Under) Expenditures</i>	--	--	--
<i>Net Change in Fund Balance / Net Position</i>	--	--	--
Fund Balance / Net Position at Beginning of Period	1,167	--	1,167
Fund Balance / Net Position at End of Period	\$ 1,167	\$ --	\$ 1,167

City of Cadillac
2016 General Obligation Limited Tax Bonds
June 30, 2019

Title of Issue City of Cadillac 2016 General Obligation Limited Tax Bonds

Purpose For the purpose of paying all or part of acquiring and constructing various improvements in the City, including all related appurtenances and attachments pursuant to Act 34, Public Acts of Michigan 2001.

Date of Issue August 3, 2016

Amount of Issue \$ 3,050,000

Amount Redeemed

Prior to Current Period \$ 350,000

During Current Period 180,000

Total Redeemed 530,000

Balance Outstanding \$ 2,520,000

Due Dates	Interest Rates	Requirements		
		Principal	Interest	Total
May 1, 2020	2.19%	\$ 185,000	\$ 51,137	\$ 236,137
May 1, 2021	2.19%	190,000	46,976	236,976
May 1, 2022	2.19%	195,000	42,705	237,705
May 1, 2023	2.19%	200,000	38,325	238,325
May 1, 2024	2.19%	205,000	33,836	238,836
May 1, 2025	2.19%	210,000	29,237	239,237
May 1, 2026	2.19%	210,000	24,638	234,638
May 1, 2027	2.19%	215,000	19,929	234,929
May 1, 2028	2.19%	220,000	15,111	235,111
May 1, 2029	2.19%	225,000	10,184	235,184
May 1, 2030	2.19%	230,000	5,147	235,147
May 1, 2031	2.19%	235,000	-	235,000
		<u>\$ 2,520,000</u>	<u>\$ 317,222</u>	<u>\$ 2,837,222</u>

City of Cadillac
2007 Wastewater System Junior Lien Revenue Bonds
June 30, 2019

Title of Issue 2007 Wastewater System Junior Lien Revenue Bonds

Purpose

To finance the cost of (1) acquiring and constructing additions, extensions, and improvements to the City's wastewater system and (2) paying certain expenses related to the issuance of bonds.

Date of Issue September 20, 2007

Amount of Issue	\$	3,865,205
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Amount Redeemed

Prior to Current Period	\$	1,590,000
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During Current Period	190,000
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<i>Total Redeemed</i>	<u>1,780,000</u>
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Balance Outstanding	\$ 2,085,205
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Due Dates	Interest Rates	Requirements		
		Principal	Interest	Total
October 1, 2019	1.625%	\$ 195,000	\$ 16,942	\$ 211,942
April 1, 2020			15,358	15,358
October 1, 2020	1.625%	195,000	15,358	210,358
April 1, 2021			13,774	13,774
October 1, 2021	1.625%	200,000	13,774	213,774
April 1, 2022			12,149	12,149
October 1, 2022	1.625%	205,000	12,149	217,149
April 1, 2023			10,483	10,483
October 1, 2023	1.625%	205,000	10,483	215,483
April 1, 2024			8,817	8,817
October 1, 2024	1.625%	210,000	8,817	218,817
April 1, 2025			7,111	7,111
October 1, 2025	1.625%	215,000	7,111	222,111
April 1, 2026			5,364	5,364
October 1, 2026	1.625%	220,000	5,364	225,364
April 1, 2027			3,577	3,577
October 1, 2027	1.625%	220,000	3,577	223,577
April 1, 2028			1,789	1,789
October 1, 2028	1.625%	220,205	1,789	221,994
		\$ 2,085,205	\$ 173,786	\$ 2,258,991

City of Cadillac
2011 Drinking Water Revolving Fund Loan
June 30, 2019

Title of Issue 2011 Drinking Water Revolving Fund Loan

Purpose

To finance the cost of (1) acquiring and constructing additions, extensions, and improvements to the City's wastewater system and (2) paying certain expenses related to the issuance of bonds.

Date of Issue September 23, 2011

Amount of Issue \$ 2,324,906

Amount Redeemed

Prior to Current Period \$ 576,050

During Current Period 105,000

Total Redeemed 681,050

Balance Outstanding \$ 1,643,856

Due Dates	Interest Rates	Requirements		
		Principal	Interest	Total
October 1, 2019			\$ 20,548	\$ 20,548
April 1, 2020	2.50%	\$ 110,000	20,548	130,548
October 1, 2020			19,173	19,173
April 1, 2021	2.50%	110,000	19,173	129,173
October 1, 2021			17,798	17,798
April 1, 2022	2.50%	115,000	17,798	132,798
October 1, 2022			16,361	16,361
April 1, 2023	2.50%	115,000	16,361	131,361
October 1, 2023			14,923	14,923
April 1, 2024	2.50%	120,000	14,923	134,923
October 1, 2024			13,423	13,423
April 1, 2025	2.50%	120,000	13,423	133,423
October 1, 2025			11,923	11,923
April 1, 2026	2.50%	125,000	11,923	136,923
October 1, 2026			10,361	10,361
April 1, 2027	2.50%	130,000	10,361	140,361
October 1, 2027			8,736	8,736
April 1, 2028	2.50%	130,000	8,736	138,736
October 1, 2028			7,111	7,111
April 1, 2029	2.50%	135,000	7,111	142,111
October 1, 2029			5,423	5,423
April 1, 2030	2.50%	140,000	5,423	145,423
October 1, 2030			3,673	3,673
April 1, 2031	2.50%	145,000	3,673	148,673
October 1, 2031			1,861	1,861
April 1, 2032	2.50%	148,856	1,861	150,717
		<u>\$ 1,643,856</u>	<u>\$ 302,628</u>	<u>\$ 1,946,484</u>

**City of Cadillac
Primary Government
Statement of 2018 Tax Roll
June 30, 2019**

	<u>Taxable Valuation</u>	<u>Mills Levied</u>	<u>Taxes Assessed</u>	<u>Taxes Collected</u>	<u>Taxes Returned Delinquent</u>
Wexford County	\$ 223,287,278	6.7797	\$ 1,545,014	\$ 1,488,607	56,406
Wexford County - Public Safety	223,287,278	1.4500	330,421	312,165	18,256
Wexford County - Animal Control	223,287,278	0.2000	45,560	43,043	2,517
Wexford County - Veteran's Relief	223,287,278	0.1000	22,770	21,513	1,257
Wexford County - MSUE	223,287,278	0.1700	38,717	36,579	2,138
Cadillac Area Public Schools					-
Operating	223,287,278	18.0000	2,058,406	1,955,825	102,581
Debt Retirement	223,287,278	5.8000	1,321,735	1,261,093	60,642
State Education Tax	223,287,278	6.0000	1,309,782	1,259,862	49,920
Wexford-Missaukee Intermediate School District	223,287,278	6.1604	1,403,881	1,326,312	77,569
Cadillac-Wexford Transit Authority	223,287,278	0.6000	136,717	129,163	7,553
Cadillac-Wexford Public Library	223,287,278	0.7500	170,896	161,454	9,442
Wexford County Council on Aging	223,287,278	1.0000	227,875	215,285	12,590
City of Cadillac					-
General Fund	223,287,278	13.9166	3,171,456	3,055,669	115,787
Policemen and Firemen Retirement System	223,287,278	2.6000	592,500	570,869	21,631
Downtown Development Authority	13,557,085	1.9548	26,907	24,975	1,932
Public Improvement Special Assessments			64,342	58,263	6,078
Water and Sewer Delinquent Accounts			18,567	9,284	9,283
Unpaid Invoices			286	30	256
Administration Fees			124,469	118,915	5,554
			<u>\$ 12,610,301</u>	<u>\$ 12,048,908</u>	<u>\$ 561,393</u>

City of Cadillac
Local Development Finance Authority
Statement of 2018 Tax Roll
June 30, 2019

	Taxable Valuation	Mills Levied	Taxes Assessed	Taxes Collected	Less Taxes Captured by LDFA	Net Collections Returned to Units
Wexford County	\$ 3,184,527	6.7797	\$ 25,328	\$ 25,328	\$ 21,590	\$ 3,738
Wexford County - Public Safety	3,184,527	1.4500	5,417	5,417	4,617	800
Wexford County - Animal Control	3,184,527	0.2000	747	747	637	110
Wexford County - Veteran's Relief	3,184,527	0.1000	374	374	318	55
Wexford County - MSU Extension	3,184,527	0.1700	635	635	541	94
Cadillac Area Public Schools						
Operating	3,184,527	18.0000	63,557	63,557	-	63,557
Debt Retirement	3,184,527	5.8000	21,668	21,668	-	21,668
State Education Tax	3,184,527	6.0000	21,309	21,309	-	21,309
Wexford-Missaukee Intermediate School District	3,184,527	6.1604	23,015	23,015	-	23,015
Cadillac-Wexford Transit Authority	3,184,527	0.6000	2,241	2,241	1,911	331
Cadillac-Wexford Public Library	3,184,527	0.7500	2,802	2,802	2,388	414
Wexford County Council on Aging	3,184,527	1.0000	3,736	3,736	3,184	551
City of Cadillac						
General Fund	3,184,527	13.9166	51,991	51,991	44,318	7,674
Policemen and Firemen Retirement System	3,184,527	2.6000	9,713	9,713	8,280	1,434
Downtown Development Authority	3,184,527	1.9548	-	-	-	-
Local Development Finance Authority Capture					(87,785)	87,785
			<u>\$ 232,533</u>	<u>\$ 232,533</u>	<u>\$ -</u>	<u>\$ 232,533</u>

City of Cadillac
Downtown Development Authority
Statement of 2018 Tax Roll
June 30, 2019

	Taxable Valuation	Mills Levied	Taxes Assessed	Taxes Collected	Less Taxes Captured by DDA	Net Collections Due to Units
Wexford County	\$ 13,803,043	6.7797	\$ 93,323	\$ 93,323	\$ 14,149	\$ 79,173
Wexford County - Public Safety	13,803,043	1.4500	19,959	19,959	3,025	16,933
Wexford County - Animal Control	13,803,043	0.2000	2,752	2,752	417	2,336
Wexford County - Veteran's Relief	13,803,043	0.1000	1,376	1,376	208	1,168
Wexford County - MSU Extension	13,803,043	0.1700	2,339	2,339	353	1,986
Cadillac Area Public Schools						
Operating	13,803,043	18.0000	233,029	232,602	427	232,175
Debt Retirement	13,803,043	5.8000	79,836	79,836	-	79,836
State Education Tax	13,803,043	6.0000	82,424	82,424	-	82,424
Wexford-Missaukee Intermediate School District	13,803,043	6.1604	84,798	84,798	-	84,798
Cadillac-Wexford Transit Authority	13,803,043	0.6000	8,258	8,258	1,251	7,007
Cadillac-Wexford Public Library	13,803,043	0.7500	10,323	10,323	1,564	8,759
Wexford County Council on Aging	13,803,043	1.0000	13,764	13,764	2,086	11,678
City of Cadillac						
General Fund	13,803,043	13.9166	191,563	191,563	29,046	162,518
Policemen and Firemen Retirement System	13,803,043	2.6000	35,789	35,789	5,426	30,363
Downtown Development Authority	13,803,043	1.9548	26,907	26,907	-	26,907
Downtown Development Authority Capture					(57,954)	57,954
			<u>\$ 886,440</u>	<u>\$ 886,012</u>	<u>\$ -</u>	<u>\$ 886,012</u>

City of Cadillac
Brownfield Redevelopment Authority
Statement of 2018 Tax Roll
June 30, 2019

	Taxable Valuation	Mills Levied	Taxes Assessed	Taxes Collected	Less Taxes Captured by Brownfield	Net Collections Due to Units
Wexford County	\$ 745,328	6.7797	\$ 4,096	4,096	\$ 2,000	\$ 2,096
Wexford County - Public Safety	745,328	1.4500	574	574	428	146
Wexford County - Animal Control	745,328	0.2000	121	121	59	62
Wexford County - Veteran's Relief	745,328	0.1000	60	60	29	31
Wexford County - MSU Extension	745,328	0.1700	103	103	50	53
Cadillac Area Public Schools						
Operating	745,328	18.0000	10,876	10,876	8,356	2,520
Debt Retirement	745,328	5.8000	1,752	1,752	-	1,752
State Education Tax	745,328	6.0000	3,625	3,625	2,785	840
Wexford-Missaukee Intermediate School District	745,328	6.1604	3,722	3,722	2,860	862
Cadillac-Wexford Transit Authority	745,328	0.6000	363	363	177	186
Cadillac-Wexford Public Library	745,328	0.7500	453	453	221	232
Wexford County Council on Aging	745,328	1.0000	604	604	295	309
City of Cadillac						
General Fund	745,328	13.9166	8,427	8,427	4,106	4,321
Policemen and Firemen Retirement System	745,328	2.6000	1,571	1,571	767	804
Downtown Development Authority	745,328	1.9548	520	520	-	520
Brownfield Redevelopment Authority Capture					(22,133)	22,133
			<u>\$ 36,867</u>	<u>\$ 36,867</u>	<u>\$ -</u>	<u>\$ 36,867</u>

City of Cadillac
Primary Government
Statement of 2018 Industrial Facilities Tax Roll
June 30, 2019

	Taxable Valuation	Mills Levied	Taxes Assessed	Taxes Collected	Taxes Returned Delinquent
Wexford County	\$ 7,264,083	6.7797	\$ 24,624	\$ 24,624	\$ -
Wexford County - Public Safety	7,264,083	1.4500	5,266	5,266	-
Wexford County - Animal Control	7,264,083	0.2000	726	726	-
Wexford County - Veteran's Relief	7,264,083	0.1000	363	363	-
Wexford County - MSU Extension	7,264,083	0.1700	617	617	-
Cadillac Area Public Schools					
Operating	7,264,083	18.0000	36,014	36,014	-
Debt Retirement	7,264,083	5.8000	21,066	21,066	-
State Education Tax	7,264,083	6.0000	24,009	24,009	-
Wexford-Missaukee Intermediate School District	7,264,083	6.1604	22,375	22,375	-
Cadillac-Wexford Transit Authority	7,264,083	0.6000	2,179	2,179	-
Cadillac-Wexford Public Library	7,264,083	0.7500	2,724	2,724	-
Wexford County Council on Aging	7,264,083	1.0000	3,632	3,632	-
City of Cadillac					
General Fund	7,264,083	13.9166	50,545	50,545	-
Policemen and Firemen Retirement System	7,264,083	2.6000	9,443	9,443	-
Admin			2,035	2,035	-
			<u>\$ 205,619</u>	<u>\$ 205,619</u>	<u>\$ -</u>

City of Cadillac
Local Development Finance Authority
Statement of 2018 Industrial Facilities Tax Roll
June 30, 2019

	Taxable Valuation	Mills Levied	Taxes Assessed	Taxes Collected	Less Taxes Captured by LDFA	Net Collections Returned to Units
Wexford County	\$ 3,145,966	6.7797	\$ 10,664	\$ 10,664	\$ 10,664	\$ -
Wexford County - Public Safety	3,145,966	1.4500	-	-	-	-
Wexford County - Animal Control	3,145,966	0.2000	-	-	-	-
Wexford County - Veteran's Relief	3,145,966	0.1000	-	-	-	-
Wexford County - MSU Extension	3,145,966	0.1700	-	-	-	-
Cadillac Area Public Schools						
Operating	3,145,966	18.0000	11,537	11,537	-	11,537
Debt Retirement	3,145,966	5.8000	4,562	4,562	-	4,562
State Education Tax	3,145,966	6.0000	15,383	15,383	-	15,383
Wexford-Missaukee Intermediate School District	3,145,966	6.1604	-	-	-	-
Cadillac-Wexford Transit Authority	3,145,966	0.6000	-	-	-	-
Cadillac-Wexford Public Library	3,145,966	0.7500	-	-	-	-
Wexford County Council on Aging	3,145,966	1.0000	-	-	-	-
City of Cadillac						
General Fund	3,145,966	13.9166	21,891	21,891	21,891	-
Policemen and Firemen Retirement System	3,145,966	2.6000	4,090	4,090	4,090	-
Downtown Development Authority	3,145,966	1.9548	-	-	-	-
Local Development Finance Authority Capture					(36,644)	36,644
			<u>\$ 68,127</u>	<u>\$ 68,127</u>	<u>\$ -</u>	<u>\$ 68,127</u>

City of Cadillac
Primary Government
Statement of 2018 Obsolete Properties Tax Roll
June 30, 2019

	Taxable Valuation	Mills Levied	Taxes Assessed	Taxes Collected	Taxes Returned Delinquent
Wexford County	\$ 299,205	6.7797	\$ 1,433	\$ 1,433	\$ -
Wexford County - Public Safety	299,205	1.4500	306	306	-
Wexford County - Animal Control	299,205	0.2000	42	42	-
Wexford County - Veteran's Relief	299,205	0.1000	21	21	-
Wexford County - MSU Extension	299,205	0.1700	36	36	-
Cadillac Area Public Schools					
Operating	299,205	18.0000	5,386	5,386	-
Debt Retirement	299,205	5.8000	1,226	1,226	-
State Education Tax	299,205	6.0000	1,795	1,795	-
Wexford-Missaukee Intermediate School District	299,205	6.1604	1,302	1,302	-
Cadillac-Wexford Transit Authority	299,205	0.6000	127	127	-
Cadillac-Wexford Public Library	299,205	0.7500	158	158	-
Wexford County Council on Aging	299,205	1.0000	211	211	-
City of Cadillac					
General Fund	299,205	13.9166	2,941	2,941	-
Policemen and Firemen Retirement System	299,205	2.6000	549	549	-
Downtown Development Authority	299,205	1.9548	-	-	-
Special Assessment			-	-	-
Admin			155	155	-
			<u>\$ 15,688</u>	<u>\$ 15,688</u>	<u>\$ -</u>

City of Cadillac
Primary Government
Statement of 2018 DNR/PILT Tax Roll
June 30, 2019

	Taxable Valuation	Mills Levied	Taxes Assessed	Taxes Collected	Taxes Returned Delinquent
Wexford County	\$ 850,631	6.7797	\$ 5,767	\$ 5,767	\$ -
Wexford County - Public Safety	850,631	1.4500	1,233	1,233	-
Wexford County - Animal Control	850,631	0.2000	170	170	-
Wexford County - Veteran's Relief	850,631	0.1000	85	85	-
Wexford County - MSU Extension	850,631	0.1700	145	145	-
Cadillac Area Public Schools					
Debt Retirement	850,631	5.8000	4,934	4,934	-
Wexford-Missaukee Intermediate School District	850,631	6.1604	5,240	5,240	-
Cadillac-Wexford Transit Authority	850,631	0.6000	510	510	-
Cadillac-Wexford Public Library	850,631	0.7500	638	638	-
Wexford County Council on Aging	850,631	1.0000	851	851	-
City of Cadillac					
General Fund	850,631	13.9166	11,838	11,838	-
Policemen and Firemen Retirement System	850,631	2.6000	2,212	2,212	-
Special Assessments			50	50	-
			<u>\$ 33,672</u>	<u>\$ 33,672</u>	<u>\$ -</u>

STATISTICAL SECTION

This part of the City of Cadillac's comprehensive annual financial report presents detailed information as a context for understanding what the information in the financial statements, note disclosures, and required supplementary information says about the government's overall financial health.

<u>Contents</u>	<u>Page</u>
Financial Trends	149
<i>These schedules contain trend information to help the reader understand how the government's financial performance and well-being have changed over time.</i>	
Revenue Capacity	154
<i>These schedules contain information to help the reader assess the government's most significant local revenue source, the property tax.</i>	
Debt Capacity	158
<i>These schedules present information to help the reader assess the affordability of the government's current levels of outstanding debt and the government's ability to issue additional debt in the future.</i>	
Demographic and Economic Information	163
<i>These schedules offer demographic and economic indicators to help the reader understand the environment within which the government's financial activities take place.</i>	
Operating Information	165
<i>These schedules contain service and infrastructure data to help the reader understand how the information in the government's financial report relates to the services the government provides and the activities it performs.</i>	
Other Schedules	172

Sources: Unless otherwise noted, the information in these schedules is derived from the comprehensive annual financial reports for the relevant year.

City of Cadillac, Michigan
Net Position by Component
Last Ten Fiscal Years
(accrual basis of accounting)
(amounts expressed in thousands)

	<u>2010</u>	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>
Governmental Activities										
Net Investment in Capital Assets	\$ 13,608	\$ 13,114	\$ 12,618	\$ 12,131	\$ 11,469	\$ 11,723	\$ 10,986	\$ 10,955	\$ 10,652	\$ 11,797
Restricted for Specific Purpose	1,398	3,202	2,744	2,688	3,369	3,090	3,420	4,717	3,554	2,537
Restricted for Specific Purpose, Temporarily Restricted	293	366	364	349	-	-	-	-	-	-
Restricted for Specific Purpose, Permanently Restricted	757	757	757	756	-	-	-	-	-	-
Unrestricted	4,802	3,071	3,404	3,498	4,078	(106)	(503)	(3,699)	(1,236)	(865)
Total governmental activities net assets	<u>\$ 20,858</u>	<u>\$ 20,510</u>	<u>\$ 19,887</u>	<u>\$ 19,422</u>	<u>\$ 18,916</u>	<u>\$ 14,707</u>	<u>\$ 13,903</u>	<u>\$ 11,973</u>	<u>\$ 12,970</u>	<u>\$ 13,469</u>
Business-type Activities										
Net Investment in Capital Assets	\$ 12,698	\$ 12,789	\$ 13,558	\$ 13,560	\$ 13,972	\$ 13,999	\$ 14,116	\$ 15,250	\$ 15,861	\$ 16,332
Restricted for Specific Purpose	1,332	1,350	1,363	671	626	626	643	643	644	654
Unrestricted	2,422	2,447	2,661	3,457	3,069	2,747	2,405	1,777	1,509	1,358
Total business-type activities net assets	<u>\$ 16,452</u>	<u>\$ 16,586</u>	<u>\$ 17,582</u>	<u>\$ 17,688</u>	<u>\$ 17,667</u>	<u>\$ 17,372</u>	<u>\$ 17,164</u>	<u>\$ 17,670</u>	<u>\$ 18,014</u>	<u>\$ 18,344</u>
Primary Government										
Net Investment in Capital Assets	\$ 26,306	\$ 25,903	\$ 26,176	\$ 25,691	\$ 25,441	\$ 25,722	\$ 25,102	\$ 26,205	\$ 26,513	\$ 28,129
Restricted for Specific Purpose	2,730	4,552	4,107	3,359	3,995	3,716	4,063	\$ 5,360	\$ 4,198	\$ 3,191
Restricted for Specific Purpose, Temporarily Restricted	293	366	364	349	-	-	-	-	-	-
Restricted for Specific Purpose, Permanently Restricted	757	757	757	756	-	-	-	-	-	-
Unrestricted	7,224	5,518	6,065	6,955	7,147	2,641	1,902	(1,922)	273	493
Total primary government net assets	<u>\$ 37,310</u>	<u>\$ 37,096</u>	<u>\$ 37,469</u>	<u>\$ 37,110</u>	<u>\$ 36,583</u>	<u>\$ 32,079</u>	<u>\$ 31,067</u>	<u>\$ 29,643</u>	<u>\$ 30,984</u>	<u>\$ 31,813</u>

City of Cadillac, Michigan
Changes in Net Position
Last Ten Fiscal Years
(accrual basis of accounting)
(amounts expressed in thousands)

	<u>2010</u>	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>
Expenses										
Governmental Activities:										
General Government	\$ 1,888	\$ 1,746	\$ 1,796	\$ 1,862	\$ 1,987	\$ 1,988	\$ 1,918	\$ 1,998	\$ 1,841	\$ 2,095
Public Safety	3,305	3,427	3,236	3,224	3,199	3,757	3,858	4,130	2,815	3,542
Public Works	2,667	2,634	2,513	2,456	2,570	2,516	3,988	2,957	2,603	2,916
Recreation and Culture	453	421	538	520	421	452	462	492	506	527
Redevelopment and Housing	-	-	-	-	-	-	-	-	-	-
Economic Development/Assistance	237	255	244	198	257	235	287	280	234	1,020
Intergovernmental	-	-	-	-	-	-	-	-	-	-
Interest on Long-Term Debt	65	55	47	39	21	17	15	105	45	39
Total Governmental Activities Expenses	\$ 8,615	\$ 8,538	\$ 8,374	\$ 8,299	\$ 8,455	\$ 8,965	\$ 10,528	\$ 9,962	\$ 8,044	\$ 10,139
Business-Type Activities:										
Water and Sewer	\$ 3,857	\$ 3,823	\$ 3,767	\$ 4,025	\$ 4,138	\$ 4,275	\$ 4,136	\$ 3,982	\$ 4,276	\$ 4,479
Building Authority Operating	113	107	114	95	88	92	101	118	123	124
Automobile Parking System	46	56	45	57	63	62	56	50	62	84
Total Business-Type Activities Expenses	\$ 4,016	\$ 3,986	\$ 3,926	\$ 4,177	\$ 4,289	\$ 4,429	\$ 4,293	\$ 4,150	\$ 4,461	\$ 4,687
Total Primary Government Expenses	\$ 12,631	\$ 12,524	\$ 12,300	\$ 12,476	\$ 12,744	\$ 13,394	\$ 14,821	\$ 14,112	\$ 12,505	\$ 14,826
Program Revenues										
Governmental Activities:										
Charges For Services:										
General Government	\$ 441	\$ 377	\$ 482	\$ 472	\$ 509	\$ 520	\$ 562	\$ 628	\$ 265	\$ 594
Public Safety	295	282	266	258	106	99	114	227	196	216
Public Works	585	579	547	527	733	726	748	661	1,044	847
Recreation and Culture	-	1	2	1	25	-	15	-	-	-
Economic Development	-	-	-	-	2	2	2	3	3	3
Operating Grants and Contributions	983	1,059	1,119	1,193	1,148	1,090	2,512	1,573	1,180	1,985
Capital Grants and Contributions	332	104	269	47	0	520	306	69	47	990
Total Governmental Activities Program Revenues	\$ 2,636	\$ 2,402	\$ 2,685	\$ 2,498	\$ 2,523	\$ 2,957	\$ 4,259	\$ 3,161	\$ 2,735	\$ 4,635
Business-Type Activities:										
Charges for Services:										
Water and Sewer System	\$ 3,882	\$ 3,823	\$ 3,995	\$ 4,073	\$ 4,032	\$ 4,060	\$ 4,197	\$ 4,573	\$ 4,509	\$ 4,754
Building Authority Operating	196	196	194	196	196	196	149	113	196	154
Automobile Parking System	47	36	1	37	42	51	49	50	56	56
Operating Grants and Contributions	-	-	-	-	-	10	-	-	-	-
Capital Grants and Contributions	-	-	509	-	-	-	-	-	-	-
Total Business-Type Activities Program Revenues	\$ 4,125	\$ 4,055	\$ 4,699	\$ 4,306	\$ 4,270	\$ 4,317	\$ 4,395	\$ 4,736	\$ 4,761	\$ 4,964
Total Primary Government Program Revenues	\$ 6,761	\$ 6,457	\$ 7,384	\$ 6,804	\$ 6,793	\$ 7,274	\$ 8,654	\$ 7,897	\$ 7,496	\$ 9,599

City of Cadillac, Michigan
Changes in Net Position
Last Ten Fiscal Years
(accrual basis of accounting)
(amounts expressed in thousands)

	<u>2010</u>	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>
General Revenues and Other Changes in Net Assets										
Governmental Activities:										
Property Taxes	\$ 4,753	\$ 4,681	\$ 4,443	\$ 4,339	\$ 4,338	\$ 4,213	\$ 4,207	\$ 3,814	\$ 3,872	\$ 3,830
State Shared Revenue - Unrestricted	873	896	896	924	988	1,027	1,133	1,922	2,138	2,027
Investment Earnings - Unrestricted	146	203	103	62	67	68	55	68	101	145
Gain (Loss) on Sale of Capital Assets	8	2	3	7	-	65	-	-	-	-
Other	19	5	16	4	10	93	2	115	195	-
Transfers	-	-	-	-	-	(9)	-	-	-	-
Special Items	-	-	-	-	-	-	-	-	-	-
Total Governmental Activities	<u>\$ 5,799</u>	<u>\$ 5,787</u>	<u>\$ 5,461</u>	<u>\$ 5,336</u>	<u>\$ 5,403</u>	<u>\$ 5,457</u>	<u>\$ 5,397</u>	<u>\$ 5,919</u>	<u>\$ 6,306</u>	<u>\$ 6,002</u>
Business-Type Activities										
Investment Earnings - Unrestricted	66	65	15	13	19	20	22	31	44	53
Gain (Loss) on Sale of Capital Assets	-	-	-	-	-	-	-	-	-	-
Other	-	-	209	-	-	76	-	-	-	-
Transfers	-	-	-	-	-	9	-	-	-	-
Total Business-Type Activities	<u>\$ 66</u>	<u>\$ 65</u>	<u>\$ 224</u>	<u>\$ 13</u>	<u>\$ 19</u>	<u>\$ 105</u>	<u>\$ 22</u>	<u>\$ 31</u>	<u>\$ 44</u>	<u>\$ 53</u>
Total Primary Government	<u><u>\$ 5,865</u></u>	<u><u>\$ 5,852</u></u>	<u><u>\$ 5,685</u></u>	<u><u>\$ 5,349</u></u>	<u><u>\$ 5,422</u></u>	<u><u>\$ 5,562</u></u>	<u><u>\$ 5,419</u></u>	<u><u>\$ 5,950</u></u>	<u><u>\$ 6,350</u></u>	<u><u>\$ 6,055</u></u>
Change in Net Assets										
Governmental Activities	\$ (180)	\$ (348)	\$ (228)	\$ (465)	\$ (527)	\$ (550)	\$ (873)	\$ (882)	\$ 997	\$ 498
Business-Type Activities	175	134	996	142	(1)	(7)	125	617	344	330
Total Primary Government	<u><u>\$ (5)</u></u>	<u><u>\$ (214)</u></u>	<u><u>\$ 768</u></u>	<u><u>\$ (323)</u></u>	<u><u>\$ (528)</u></u>	<u><u>\$ (557)</u></u>	<u><u>\$ (748)</u></u>	<u><u>\$ (265)</u></u>	<u><u>\$ 1,341</u></u>	<u><u>\$ 828</u></u>

City of Cadillac, Michigan
Fund Balances of Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)

	<u>2010</u>	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>
General Fund										
Reserved	\$ 205,112									
Unreserved	-									
Unreserved, Designated, reported in General Fund	1,885,301									
Unreserved, Undesignated, reported in General Fund	526,092									
Nonspendable		\$ 91,453	\$ 36,033	\$ -	\$ 37,127	\$ 106,085	\$ 9,641	\$ 54,583	\$ 10,415	\$ 9,071
Restricted		58,273	42,884	56,855	54,076	56,970	61,116	38,423	38,421	41,772
Committed		1,574,414	-	-	-	-	-	-	-	-
Assigned		201,647	1,782,955	1,622,467	1,579,291	1,552,612	1,551,812	1,463,890	1,426,129	2,047,888
Unassigned		509,256	320,880	480,251	371,323	221,245	486,455	1,118,374	1,445,491	1,332,597
Total General Fund	<u>\$ 2,616,505</u>	<u>\$ 2,435,043</u>	<u>\$ 2,182,752</u>	<u>\$ 2,159,573</u>	<u>\$ 2,041,817</u>	<u>\$ 1,936,912</u>	<u>\$ 2,109,024</u>	<u>\$ 2,675,270</u>	<u>\$ 2,920,456</u>	<u>\$ 3,431,328</u>
All Other Governmental Funds										
Reserved	2,543,844									
Unreserved, reported in Special Revenue Funds	-									
Unreserved, Designated, reported in Special Rev. Funds	289,601									
Unreserved, Undesignated, reported in Special Rev. Funds	1,074,744									
Nonspendable		\$ 1,195,312	\$ 759,938	\$ 1,111,293	\$ 1,030,200	\$ 973,345	\$ 906,666	\$ 848,688	\$ 372,190	\$ 373,091
Restricted		1,188,188	1,314,116	1,358,831	1,478,859	1,209,298	1,678,116	3,325,714	2,811,751	1,822,249
Committed		-	-	-	-	-	-	-	-	-
Assigned		1,555,880	1,958,609	1,576,316	1,620,764	1,623,918	1,606,108	1,537,971	1,620,926	1,489,178
Unassigned		(8,072.00)	(10,734.00)	-	-	-	-	-	-	-
Total All Other Governmental Funds	<u>\$ 3,908,189</u>	<u>\$ 3,931,308</u>	<u>\$ 4,021,929</u>	<u>\$ 4,046,440</u>	<u>\$ 4,129,823</u>	<u>\$ 3,806,561</u>	<u>\$ 4,190,890</u>	<u>\$ 5,712,373</u>	<u>\$ 4,804,867</u>	<u>\$ 3,684,518</u>
Total Fund Balance	<u>\$ 6,524,694</u>	<u>\$ 6,366,351</u>	<u>\$ 6,204,681</u>	<u>\$ 6,206,013</u>	<u>\$ 6,171,640</u>	<u>\$ 5,743,473</u>	<u>\$ 6,299,914</u>	<u>\$ 8,387,643</u>	<u>\$ 7,725,323</u>	<u>\$ 7,115,846</u>

Note: GASB Statement Number 54 redefined how the components of fund balance are reported. Under GASB Statement 54, the total amount reported as fund balance remains unchanged; the components, or categories, of fund balance have been redefined to further reflect the purpose for which fund balance can be spent. The information presented on this chart is derived from data reported in accordance with the prior reporting model and data reported following GASB Statement Number 54, which took effect for statements for periods beginning after June 15, 2010. Upon redefinition of Committed Fund Balance, items reported as Committed in fiscal 2011 were redefined as Assigned in fiscal year 2012.

City of Cadillac, Michigan
Changes of Fund Balances in Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)

	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
Revenues										
Taxes and Special Assessments	\$ 4,856,424	\$ 4,756,554	\$ 4,616,673	\$ 4,496,524	\$ 4,338,224	\$ 4,212,996	\$ 4,209,449	\$ 3,829,896	\$ 3,872,306	\$ 3,829,539
Licenses and Permits	1,275	765	109,775	122,102	129,179	139,623	190,504	264,019	230,572	238,257
Federal Grants	268,668	111,133	72,656	42,314	4,779	44,800	65,168	121,569	-	741,980
State Grants	1,745,491	1,833,017	2,003,498	1,883,928	2,015,816	2,501,558	3,603,240	3,432,181	3,364,315	3,985,598
Contributions from Local Units	212,273	206,991	205,615	227,103	215,823	160,595	244,845	195,607	195,039	295,637
Charges for Services	1,068,709	1,013,530	979,459	943,558	939,858	984,807	986,860	921,127	1,033,777	1,120,793
Fines and Forfeits	41,874	37,966	20,001	14,887	13,582	13,621	17,018	14,857	12,320	10,721
Interest and Rents	196,738	173,363	128,240	108,040	67,443	60,115	55,452	67,677	94,157	135,851
Gain (Loss) on Investments	65,613	37,501	(17,101)	(45,257)	-	-	-	-	-	-
Note Proceeds	-	-	-	-	-	-	-	2,050,000	-	-
Other Revenue	366,995	351,383	349,441	90,447	135,930	178,837	300,491	248,948	48,803	41,042
Total Revenues	\$ 8,824,060	\$ 8,522,203	\$ 8,468,257	\$ 7,883,646	\$ 7,860,634	\$ 8,296,952	\$ 9,673,027	\$ 11,145,881	\$ 8,851,289	\$ 10,399,418
Expenditures										
General Government	\$ 1,859,669	\$ 1,640,771	\$ 1,672,482	\$ 1,734,475	\$ 1,819,501	\$ 1,791,790	\$ 1,720,714	\$ 1,670,025	\$ 1,784,670	\$ 1,848,736
Public Safety	3,433,573	3,709,362	3,196,361	3,256,156	3,152,675	3,191,801	3,177,094	3,307,809	3,359,134	3,379,298
Public Works	2,105,374	2,049,646	2,175,179	1,903,925	1,914,351	1,867,467	3,276,524	2,295,445	1,947,792	2,165,166
Community & Economic Development	219,194	234,664	226,141	184,069	248,307	238,222	250,708	233,669	226,027	992,104
Capital Outlay	3,761	3,815	4,114	138,359	209,926	1,200,423	277,327	872,476	1,781,414	2,092,986
Culture and Recreation	278,232	389,069	343,517	340,874	295,547	320,267	311,265	327,380	358,168	370,543
Debt Service										
Principal	287,832	272,729	218,832	188,832	229,943	87,721	87,721	253,862	365,000	120,000
Interest	62,104	51,326	43,904	32,631	24,757	17,895	15,233	54,835	49,906	40,062
Other Charges	4,200	4,200	3,300	2,235	-	-	-	42,650	-	-
Intergovernmental	327,227	324,964	351,006	100,758	-	-	-	-	-	-
Total Expenditures	\$ 8,581,166	\$ 8,680,546	\$ 8,234,836	\$ 7,882,314	\$ 7,895,007	\$ 8,715,586	\$ 9,116,586	\$ 9,058,151	\$ 9,872,111	\$ 11,008,895
Other Financing Sources (Uses)										
Sale of Property	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 394,504	\$ -
Transfers In	906,181	839,922	819,768	649,500	806,035	492,404	407,750	769,650	1,618,316	625,323
Transfers Out	(906,181)	(839,922)	(819,768)	(649,500)	(806,035)	(501,937)	(407,750)	(769,650)	(1,654,319)	(625,323)
Bond Proceeds	-	-	-	-	-	-	-	-	-	-
Loan Proceeds	-	-	-	-	-	-	-	-	-	-
Total Other Financing Sources (Uses)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ (9,533)	\$ -	\$ -	\$ 358,501	\$ -
Net Change in Fund Balances	\$ 242,894	\$ (158,343)	\$ 233,421	\$ 1,332	\$ (34,373)	\$ (428,167)	\$ 556,441	\$ 2,087,730	\$ (662,321)	\$ (609,477)
Debt Service as a percentage of non-capital expenditures	4.33%	3.92%	3.40%	2.96%	3.31%	1.41%	1.16%	3.77%	5.13%	1.80%

City of Cadillac, Michigan
Taxable Value and Estimated Actual Value of Taxable Property
Last Ten Fiscal Years

Fiscal Year Ended June 30,	Real Property Valuation	Personal Property Valuation	Total Taxable Valuation	Estimated Actual Value	Ratio of Total Assessed to Total Estimated Actual Value	Total Direct Tax Rate
2010	220,244,714	41,262,800	261,507,514	608,556,400	42.97%	16.5473
2011	214,108,421	42,873,550	256,981,971	565,558,400	45.44%	16.5473
2012	202,455,519	50,840,200	253,295,719	537,969,400	47.08%	17.0473
2013	196,431,899	50,777,800	247,209,699	516,593,200	47.85%	17.0473
2014	191,926,234	52,972,480	244,898,714	506,343,018	48.37%	17.0473
2015	190,071,183	52,897,700	242,968,883	510,726,600	47.57%	16.5473
2016	190,288,151	53,285,900	243,574,051	525,383,000	46.36%	16.5473
2017	190,631,321	31,243,800	221,875,121	493,984,600	44.92%	16.5473
2018	192,217,626	31,297,400	223,515,026	508,651,200	43.94%	16.5473
2019	198,547,361	24,640,400	223,187,761	514,587,200	43.37%	16.5166

Source: City of Cadillac Treasurer's Office

Note: Property in the City is reassessed each year. Property is assessed at 50% of estimated actual value. Due to State legislation, however, annual increases in taxable value are limited to 5% or a state-determined rate of inflation, whichever is less. When homes are sold, taxable values are then "uncapped" and brought up to their assessed value. Tax rates are per \$1,000 of taxable value. Valuations based on Ad Valorem Parcels.

City of Cadillac, Michigan
Property Tax Rates
Direct and Overlapping Governments
Last Ten Fiscal Years

Fiscal Year	Direct Tax Rates				Overlapping Tax Rates ^a							
	City of Cadillac				Wexford County				Cadillac Area Public Schools ^d	Wexford Missaukee Intermediate Schools	State Education Tax	Total Direct & Overlapping Rates
	General ^b	Police & Fire Retirement	Lake Cadillac Treatment	Total City	Wexford County ^c	Cadillac- Wexford Transit Authority	Council on Aging	Wexford County Library				
2010	13.9473	2.6000	N/A	16.5473	8.2797	0.6000	1.0000	0.7500	20.9000	5.9419	6.0000	60.0189
2011	13.9473	2.6000	N/A	16.5473	8.2297	0.6000	1.0000	0.7500	20.9000	5.9419	6.0000	59.9689
2012	13.9473	2.6000	0.5000	17.0473	8.2297	0.6000	1.0000	0.7500	20.9000	5.9419	6.0000	60.4689
2013	13.9473	2.6000	0.5000	17.0473	7.7297	0.6000	1.0000	0.7500	20.9000	5.9419	6.0000	59.9689
2014	13.9473	2.6000	0.5000	17.0473	7.7297	0.6000	1.0000	0.7500	20.9000	5.9419	6.0000	59.9689
2015	13.9473	2.6000	N/A	16.5473	8.1297	0.6000	1.0000	0.7500	20.9000	5.9419	6.0000	59.8689
2016	13.9473	2.6000	N/A	16.5473	8.0297	0.6000	1.0000	0.7500	20.9000	6.1604	6.0000	59.9874
2017	13.9473	2.6000	N/A	16.5473	8.1997	0.6000	1.0000	0.7500	20.9000	6.1604	6.0000	60.1574
2018	13.9473	2.6000	N/A	16.5473	8.1997	0.6000	1.0000	0.7500	20.9000	6.1604	6.0000	60.1574
2019	13.9166	2.6000	N/A	16.5166	8.6997	0.6000	1.0000	0.7500	23.8000	6.1604	6.0000	63.5267

Source: City of Cadillac Treasurer's Office

^a Overlapping rates are those of local and county governments that apply to property owners within the City of Cadillac.

^b City general operating tax rate is limited to 15.0 mills per the city charter.

^c Current year includes allocated mills of 6.7797 and extra voted mills of 0.10 for Veterans Relief, 1.45 mills for Road Patrol, 0.20 mills for Animal Control and 0.17 mills for MSU-Extension.

^d Current year includes Cadillac Area Public Schools operating rate of 18 mills and school debt rate of 5.8 mills.

City of Cadillac, Michigan
Property Tax Levies and Collections
Last Ten Fiscal Years

Fiscal Year Ended June 30,	Taxes Levied for the Fiscal Year	Collected within the Fiscal year of Levy		Collections in Subsequent Years	Total Collections to Date ^a	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2010	4,500,222	4,267,823	94.84%	232,400	4,500,222	100.00%
2011	4,408,769	4,167,763	94.53%	241,006	4,408,769	100.00%
2012	4,487,315	4,273,383	95.23%	213,931	4,487,315	100.00%
2013	4,409,413	4,190,778	95.04%	218,635	4,409,413	100.00%
2014	4,300,632	4,128,524	96.00%	172,108	4,300,632	100.00%
2015	4,148,351	3,992,785	96.25%	155,566	4,148,351	100.00%
2016	4,165,174	4,015,955	96.42%	149,219	4,165,174	100.00%
2017	3,739,341	3,615,423	96.69%	123,918	3,739,341	100.00%
2018	3,782,234	3,643,714	96.34%	138,521	3,782,234	100.00%
2019	3,749,906	3,612,489	96.34%	137,418	3,749,906	100.00%

Source: City of Cadillac Treasurer's Office

^a In 1977 the Wexford County Treasurer began pooling all delinquent taxes together and financing delinquencies through bond sales. The proceeds from the bond sale are paid to the City giving the effect of 100% tax collection in a given year. The responsibility for the collection of the delinquent tax is shifted to the county treasurer.

City of Cadillac, Michigan
Principal Property Tax Payers
Current Year and Nine Years Ago

Taxpayer	2019			2010		
	Taxable Value	Rank	Percentage of Total City Taxable Value ^a	Taxable Value	Rank	Percentage of Total City Taxable Value ^b
Cadillac Renewable Energy ^c	\$ 12,623,388	1	5.66%	\$ 13,010,800	1	4.98%
Consumers Energy	8,228,971	2	3.69%	6,026,913	3	2.30%
AAR Cadillac Manufacturing	4,311,927	3	1.93%	5,527,800	4	2.11%
927 Frisbie Street LLC ^c	3,171,600	4	1.42%	3,537,444	9	1.35%
Avon Protection	3,036,700	5	1.36%			0.00%
Cadillac Casting ^d	2,891,039	6	1.30%	9,133,900	2	3.49%
Hutchinson Antivibration System	2,620,901	7	1.17%			0.00%
Piranha Hose Products Inc.	2,189,550	8	0.98%			0.00%
Rexair, Inc.	1,985,991	9	0.89%	5,217,275	5	2.00%
FHC ONE LDHA	1,427,323	10	0.64%			0.00%
Avon Automotive				4,713,800	6	1.80%
FIAMM Technologies, Inc.				4,327,409	7	1.65%
Paulstra CRC Corporation				3,930,374	8	1.50%
Zhongding Sealing Parts (USA) ^f				3,225,500	10	1.23%
Totals	<u>\$ 42,487,390</u>		<u>19.04%</u>	<u>\$ 58,651,215</u>		<u>22.43%</u>

Source: City of Cadillac Treasurer's Office

^a Based on total taxable value of \$223,187,761

^b Based on total taxable value of \$261,507,514

^c Formerly Beaver MI Associates LTD Partnership.

^d Formerly CMI Cast Parts.

^e Formerly Four Winn's Boats, LLC.

^f Formerly Michigan Rubber Products

City of Cadillac, Michigan
Ratios of Outstanding Debt by Type
Last Ten Fiscal Years
(amounts expressed in thousands, except per capita amount)

Fiscal Year	<u>Governmental Activities</u>			<u>Business-Type Activities</u>		Total Primary Government	Percentage of Personal Income¹	Per Capita¹
	General Obligation Bonds	Special Assessment Bonds	Other Debt²	Water & Sewer Revenue Bonds	Building Authority Revenue Bonds			
2010	980	170	265	9,400	760	11,575	4.39%	1,158
2011	840	100	202	8,775	645	10,562	3.72%	1,020
2012	720	45	158	10,145	530	11,598	3.86%	1,120
2013	595	25	114	9,633	405	10,772	3.57%	1,040
2014	460	-	44	9,224	275	10,003	3.23%	966
2015	390	-	26	8,694	140	9,250	2.84%	893
2016	320	-	8	8,144	-	8,472	2.48%	818
2017	2,125	-	-	7,584	-	9,709	2.75%	938
2018	1,760	-	-	7,014	-	8,774	2.35%	847
2019	1,640	-	-	6,434	-	8,074	N/A	780

Note: Details regarding the City's outstanding debt can be found in the Notes to the financial statements.

¹ See the Schedule of Demographic and Economic Statistics in this section for personal income and population data.

² Other Debt includes City obligations to the State of Michigan for one community development loan.

City of Cadillac, Michigan
Ratios of General Bonded Debt Outstanding
Last Ten Fiscal Years
(amounts expressed in thousands, except per capita amount)

<u>Fiscal Year</u>	<u>General Obligation Bonds</u>	<u>Less: Amount Available in Debt Service Funds</u>	<u>Total</u>	<u>Percentage of Estimated Actual Taxable Value¹ of Property</u>	<u>Per Capita²</u>
2010	980	3	977	0.374%	97.70
2011	840	3	837	0.326%	80.83
2012	720	2	718	0.283%	69.34
2013	595	2	593	0.240%	57.27
2014	460	2	458	0.187%	44.23
2015	390	2	388	0.160%	37.47
2016	320	2	318	0.131%	30.71
2017	2,125	7	2,118	0.955%	204.54
2018	1,760	-	1,760	0.787%	169.97
2019	1,640	-	1,640	0.735%	158.38

Note: Details regarding the City's outstanding debt can be found in the Notes to the financial statements.

¹ See the Schedule of Taxable Value and Estimated Actual Value of Taxable Property in this section for property value data.

² See the Schedule of Demographic and Economic Statistics in this section for personal income and population data.

City of Cadillac, Michigan
Direct and Overlapping Governmental Activities Debt
As of June 30, 2019
(dollars in thousands)

<u>Governmental Unit</u>	<u>Debt Outstanding</u>	<u>Estimated Percentage Applicable¹</u>	<u>Estimated Share of Overlapping Debt</u>
Debt repaid with property taxes:			
Wexford County	\$ 14,348	23.31%	\$ 3,345
Cadillac Area Public Schools	39,680	33.59%	13,328
Subtotal Overlapping Debt			16,673
City of Cadillac Direct Debt			<u>1,640</u>
Total Direct and Overlapping Debt			<u><u>\$ 18,313</u></u>

***Sources:** Taxable value data used to estimate applicable percentages provided by the Wexford County Equalization Department. Debt outstanding data provided by each governmental unit.*

Note: Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the City. This schedule estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the City of Cadillac. This process recognizes that, when considering the government's ability to issue and repay long-term debt, the entire debt burden borne by the residents and businesses should be taken into account. However, this does not imply that every taxpayer is a resident, and therefore responsible for repaying the debt, of each overlapping government.

¹ The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of each government's taxable value that is within the City of Cadillac's boundaries and then dividing it by the unit's total taxable value. Total taxable values of each unit are:

<i>City of Cadillac Taxable Value:</i>	<i>\$223,187,761</i>
<i>Wexford County Taxable Value:</i>	<i>\$957,383,814</i>
<i>CAPS Taxable Value:</i>	<i>\$664,464,178</i>

City of Cadillac, Michigan
Legal Debt Margin Information
Last Ten Fiscal Years
(amounts expressed in thousands)

	<i>Fiscal Year</i>									
	<u>2010</u>	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>
Debt Limit	\$ 26,151	\$ 25,698	\$ 25,330	\$ 24,721	\$ 24,490	\$ 24,297	\$ 24,357	\$ 22,188	\$ 22,352	\$ 22,319
Total net debt applicable to limit	977	837	718	593	458	529	326	2,118	1,760	1,640
Legal debt margin	<u>\$ 25,174</u>	<u>\$ 24,861</u>	<u>\$ 24,612</u>	<u>\$ 24,128</u>	<u>\$ 24,032</u>	<u>\$ 23,768</u>	<u>\$ 24,031</u>	<u>\$ 20,070</u>	<u>\$ 20,592</u>	<u>\$ 20,679</u>
Total net debt applicable to the limit as a percentage of debt limit	3.74%	3.26%	2.83%	2.40%	1.87%	2.18%	1.34%	9.55%	7.87%	7.35%

Legal Debt Margin Calculation for Fiscal Year 2018

Taxable Value	<u><u>\$ 223,187</u></u>
Statutory Debt Limit (10%) of total taxable value)	\$ 22,319
Debt Applicable to Limit:	
Gross Bonded Debt and Other Long-Term Debt	8,074
Less:	
Assets Available for Debt Service	-
Bond Debt not Subject to Limit:	
Special Assessment Bonds	-
Revenue Bonds	6,434
Other Debt	<u>- 6,434</u>
Total Amount of Debt Applicable to Debt Limit	<u>1,640</u>
Legal Debt Margin	<u><u>\$ 20,679</u></u>

Note: Under State finance law, the City of Cadillac's outstanding general obligation debt should not exceed 10 percent of total taxable property value. By law, the general obligation debt subject to the limitation may be offset by amounts set aside for repaying general obligation bonds.

City of Cadillac, Michigan
Pledged-Revenue Coverage
Last Ten Fiscal Years
(amounts expressed in thousands)

Fiscal Year	<i>Water & Sewer Revenue Bonds</i>						<i>Special Assessment Bonds</i>			
	<u>Water & Sewer Revenue</u>	<u>Less: Operating Expenses</u>	<u>Net Available Revenue</u>	<u>Debt Service</u>		<u>Coverage</u>	<u>Special Assessment Collections</u>	<u>Debt Service</u>		<u>Coverage</u>
				<u>Principal</u>	<u>Interest</u>			<u>Principal</u>	<u>Interest</u>	
2010	3,945	2,627	1,318	595	350	1.39	121	90	12	1.19
2011	3,887	2,570	1,317	625	330	1.38	88	70	8	1.13
2012	4,218	2,546	1,672	655	308	1.74	60	55	7	0.97
2013	4,084	2,807	1,277	781	329	1.15	39	20	2	1.77
2014	4,049	2,898	1,151	392	358	1.53	31	25	1	1.19
2015	4,077	3,140	937	530	208	1.27	All S.A. bond issues paid in full as of 6/30/14)			
2016	4,217	3,037	1,180	550	195	1.58				
2017	4,602	2,971	1,631	560	182	2.20				
2018	4,549	3,251	1,298	570	169	1.76				
2019	4,778	3,439	1,339	580	156	1.82				

Note: Details regarding the City's outstanding debt can be found in the Notes to the financial statements. Water and Sewer revenues includes investment earnings. Operating expenses do not include interest, depreciation, or amortization expenses. Because many of the Special Assessment Bonds pay off in advance, the Coverage Ratio may fall below one.

City of Cadillac, Michigan
Demographic and Economic Statistics
Last Ten Calendar Years

Fiscal		Personal	Per		Local	State	Civilian
Year	Population¹	Income (amounts expressed	Capita Personal	School	Unemployment	Unemployment	Labor
		in thousands)	Income²	Enrollment³	Percentage Rate⁴	Percentage Rate⁴	Force⁴
2010	10,000	263,540	26,354	3,334	15.3	13.0	19,161
2011	10,355	283,862	27,413	3,267	12.0	11.1	18,540
2012	10,355	300,647	29,034	3,262	9.8	9.3	18,960
2013	10,355	301,652	29,131	3,378	11.7	9.0	19,399
2014	10,355	310,018	29,939	3,371	7.6	7.2	19,491
2015	10,355	325,903	31,473	3,388	5.1	5.0	21,481
2016	10,355	341,228	32,953	3,616	4.4	4.6	21,206
2017	10,355	352,981	34,088	3,459	5.1	4.3	21,605
2018	10,355	372,708	35,993	3,414	3.9	4.0	21,622
2019	10,355	N/A	N/A	3,533	4.2	4.2	22,513

Data Sources:

¹ Bureau of the Census

² Bureau of Economic Analysis

³ School Districts

⁴ Michigan Department of Technology, Management & Budget (Local unemployment and civilian labor force based on Wexford-Missaukee Labor Market Area; Personal and Per Capita income based on Cadillac Micropolitan Statistical Area)

Note: Personal income information is a total for the year. Unemployment rate is a seasonally adjusted yearly average, when available. School enrollment is based on the school census at the start of the school year and includes public and private schools.

City of Cadillac, Michigan
Principal Employers
Current Year and Nine Years Ago

<u>Employer</u>	<u>Industry Description</u>	<u>2019</u>	<u>2010</u>
		<u>Employees</u>	<u>Employees</u>
Avon Automotive	Other Motor Vehicle Parts Manufacturing	500-999	250-499
Cadillac Area Public Schools	Elementary and Secondary Schools	500-999	250-500
Four Winn's/Glastron/Wellcraft/Rec Boat	Ship and Boat Building	500-999	250-500
Avon Protection Systems Inc	Coating, Engraving & Heat Treating Metal	250-499	250-500
Cadillac Casting Inc	Ferrous Metal Foundries	250-499	250-500
Munson Healthcare Cadillac Hospital ¹	General Medical and Surgical Hospitals	250-499	500-999
Rexair	Electronics and Appliance Stores	250-499	100-249
AAR Mobility Systems	Rapid deployment mobile equipment mfg	100-249	500-999
Michigan Rubber Products Inc	Other Rubber Prodcut Manufacturing	100-249	100-249
Fiamm Technologies	Wiring & Equipment Merchant Wholesalers	100-249	100-249
BorgWarner Cadillac	Other Motor Vehicle Parts Manufacturing	100-249	
Hutchinson Antivibration Systems Inc ³	Other Rubber Product Manufacturing	100-249	
Piranha Hose Products Inc	Rubber and Plastic Hoses and Belting	100-249	
Samaritas Senior Care ²	Homes for the elderly	100-249	

Note: Data is representative of the City of Cadillac.

¹ Formerly Mercy Hospital Cadillac

² Formerly Lakeview Lutheran Manor

³ Formerly Paulstra CRC

Sources: Michigan Department of Technology, Management & Budget, Labor Market Information; Cadillac Area Chamber of Commerce

City of Cadillac, Michigan
Full-Time Equivalent City Employees by Function
Last Ten Fiscal Years

Function	<i>Full-Time Equivalent Employees as of June 30,</i>									
	<u>2010</u>	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>
General Government										
City Manager	1.50	1.50	2.37	2.20	2.20	2.20	2.20	2.20	2.75	2.75
Administrative Services	0.98	1.22	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Financial Services	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.15	2.15
Clerk/Treasurer	4.00	3.88	3.80	3.80	3.80	3.80	3.80	3.80	3.75	3.75
City Hall	1.28	1.28	1.32	1.00	1.00	1.00	1.00	1.00	1.50	1.50
City Engineer	2.51	1.79	1.80	1.80	1.80	1.80	1.80	1.80	0.80	0.80
Public Safety										
Police	16.41	16.91	16.91	17.36	16.86	16.95	16.95	16.95	16.45	16.95
Fire	11.85	11.85	11.85	11.50	11.00	11.00	11.00	11.00	11.50	11.50
Code Enforcement	0.40	0.50	0.50	0.50	0.50	0.50	0.50	0.50	0.50	0.00
Building Inspector	0.88	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Planning/Zoning	1.21	1.21	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Other										
Public Works	13.03	13.03	12.70	12.10	12.10	12.10	12.10	12.00	12.10	12.10
Data Processing	0.30	0.30	0.30	0.30	0.30	0.30	0.30	0.30	0.30	0.30
Auto Parking	0.09	0.09	0.09	0.09	0.09	0.00	0.00	0.00	0.00	0.00
Water/Sewer	19.00	19.87	20.00	20.00	20.00	20.00	20.00	20.00	20.00	20.00
Community Development	0.40	0.40	2.21	2.20	2.20	2.20	2.20	2.20	2.20	2.20
Cemetery	0.92	0.92	0.90	0.90	0.90	0.90	0.90	0.00	0.00	0.00
Total FTE	77.00	77.00	77.00	76.00	75.00	75.00	75.00	74.00	74.00	74.00

Source: City of Cadillac Financial Services Department

City of Cadillac, Michigan
Operating Indicators by Function
Last Ten Fiscal Years

<u>Function</u>	<u>Fiscal Year</u>									
	<u>2010</u>	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>
Police										
Traffic Citations	815	640	688	586	536	538	344	583	650	N/A ¹
Fire										
Number of Fire Inspections	301	50	50	98	86	55	80	51	35	N/A ¹
Number of Rental Inspections				332	455	285	586	412	302	N/A ¹
Number of Fires Reported	38	51	38	30	34	39	52	42	51	N/A ¹
Number of EMT Runs	1,353	1,358	1,341	1,059	1,545	1,788	1,792	1,760	1,983	N/A ¹
Building Inspection										
Number of Permits Issued	108 ²	0 ²	0 ²	0 ²	0 ²	0 ²	276 ²	438 ²	438 ²	416 ²
Water										
Total Customers	3,474	3,497	3,551	3,553	3,578	3,554	3,549	3,567	3,589	3,574
Average Daily Consumption (thousands of gallons)	2,150	2,102	1,896	2,040	1,942	2,265	2,183	2,021	2,018	1,576
Wastewater										
Total Customers	3,527	3,542	3,582	3,581	3,604	3,575	3,569	3,608	3,623	3,610
Average Daily Treatment (thousands of gallons)	1,860	2,118	1,561	2,625	2,323	1,904	1,766	1,989	1,939	1,284

¹ Public Safety statistics are kept on a calendar year basis and are therefore not yet available for 2019.

² Building Inspection Services were legally removed from the City and transferred to Wexford County during calendar year 2010. In July 2015, the City resumed responsibility for permitting activities.

Note: Indicators are not available for the general government function.

Source: Various government departments

City of Cadillac, Michigan
Capital Assets Statistics by Function
Last Ten Fiscal Years

<u>Function</u>	<u>Fiscal Year</u>									
	<u>2010</u>	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>
Police										
Stations	1	1	1	1	1	1	1	1	1	1
Mobile Units	10	11	11	11	11	9	9	9	9	9
Fire										
Stations	1	1	1	1	1	1	1	1	1	1
Mobile Units	7	7	7	7	6	6	6	6	6	6
Culture and Recreation										
Parks Acreage	117	117	117	117	117	117	117	117	117	117
Parks	4	4	4	4	4	4	4	4	4	4
Streets										
Streets (Miles)	68	68	68	68	68	63	63	63	63	63
Street Lights	578	578	578	591	591	591	592	592	593	593
Water										
Fire Hydrants	482	482	483	483	483	483	483	484	503	503
Miles of Water Mains	74	74	75	75	75	75	75	76	76	76
Water Mains Replaced (Feet)	1,070	1,500	2,110	1,000	100	2,400	1,000	1,800	4,220	100
Wastewater										
Miles of Sewer Mains	62	62	62	62	62	62	62	63	63	63
Feet of Sanitary Sewers										
Inspected with TV Cameras	690	600	1,084	1,000	1,491	322	106,716	62,000	10,000	1,100
Cleaned with Vacon			9,382	8,942	28,673	22,991	111,101	60,000	41,567	35,773

(1) Feet of Sanitary Sewer Inspected with TV Cameras and Cleaned with Vacon were significantly higher in 2016. Funds received from a Stormwater, Asset Management, and Wastewater (SAW) Program Grant through the State of Michigan, Department of Environmental Quality, were specifically targeted for this purpose.

Note: Capital asset statistics are not available for the general government function.

Source: Various City government departments

City of Cadillac, Michigan
Municipal Employees Retirement System - Comparative Schedule
Last Ten Fiscal Years

Fiscal Years	Actuarial Accrued Liability	Assets Allocated to Funding	Percent Funded	Unfunded Actuarial Accrued Liability	Employer Contributions % of Payroll (1)	Valuation Payroll	Active Members	Retirants and Beneficiaries	Active Members Average		
									Annual Pay	Age	Service
2010	11,896,112	11,570,167	97.3	325,945	7.43% - 10.40%	2,494,489	59	63	41,575	47.8	12.5
2011	12,411,116	11,622,971	93.6	788,145	0.00% - 26.58%	2,601,489	60	63	41,837	46.2	12.7
2012	12,815,528	11,554,072	90.2	1,261,456	0.00% - 22.55%	2,459,166	59	60	41,958	47.1	12.1
2013	13,097,078	11,667,590	89.1	1,429,488	0.00% - 23.25%	2,568,174	61	67	42,376	48.3	12.3
2014	13,683,183	11,828,362	86.4	1,854,821	0.00% - 23.74%	2,649,762	61	68	43,747	49.3	12.2
2015	14,869,776	12,095,154	81.3	2,774,622	0.00% - 20.59%	2,713,353	62	70	43,764	49.7	12.8
2016	15,013,109	12,257,453	81.6	2,755,656	0.00% - 21.50%	2,746,059	61	67	45,017	51.0	13.9
2017	15,475,178	12,519,865	80.9	2,955,313	0.00% - 30.15%	2,529,521	57	70	44,378	50.8	13.3
2018	15,997,369	12,403,252	77.5	3,594,117	0.00% - 34.12%	2,715,874	58	73	46,825	50.4	12.9
2019	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Notes:

1) Employer Contributions as Percent of Payroll are broken down as follows:

Employee Group:	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
Non-Union	8.46%	8.43%	9.17%	9.83%	11.00%	12.54%	14.08%	15.67%	17.35%	
Steelworkers	8.14%	11.06%	12.73%	13.64%	14.43%	16.17%	15.03%	15.34%	15.81%	
Housing Commission	7.43%	11.22%	10.40%	10.19%	10.23%	10.55%	10.11%	10.19%	12.04%	
Library	7.96%	11.73%	13.56%	9.51%	10.69%	10.02%	0.00%	0.00%	0.00%	
City Manager	10.40%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	
Department Heads	8.89%	26.58%	22.55%	23.25%	23.74%	20.59%	21.50%	30.15%	34.12%	

Source: Prior to 2011, data from Gabriel, Roeder, Smith & Company, Actuaries.
For 2011, data from actuaries employed by MERS.

City of Cadillac, Michigan
Policemen and Firemen Retirement System - Comparative Schedule
Last Ten Fiscal Years

Fiscal Years	Actuarial Accrued Liability	Assets Allocated to Funding	Percent Funded	Unfunded Actuarial Liability	Employer Contributions % of Payroll	Valuation Payroll	Active Members	Retirants and Beneficiaries	Active Members Average		
									Annual Pay	Age	Service
2010	10,326,784	7,188,395	69.6	3,138,389	Note (3)	1,585,519	27	32	58,723	39.7	12.2
2011	10,852,937	7,989,372	73.6	2,863,565	Note (3)	1,544,766	26	33	59,414	39.3	12.4
2012	11,246,821	8,200,264	72.9	3,046,557	Note (3)	1,600,665	26	31	61,564	40.5	13.3
2013	11,624,354	8,565,010	73.7	3,059,344	Note (3)	1,513,913	25	34	60,557	39.2	11.8
2014	12,220,792	9,304,981	76.1	2,915,811	Note (3)	1,568,160	25	35	62,726	39.3	11.7
2015	12,681,727	9,937,183	78.4	2,744,544	Note (3)	1,595,473	26	36	61,364	38.6	10.7
2016	12,882,578	10,310,333	80.0	2,572,245	Note (3)	1,607,792	26	35	61,838	38.8	10.9
2017	13,300,486	10,888,703	81.9	2,411,783	Note (3)	1,528,849	25	36	61,154	38.4	10.9
2018	13,806,343	11,414,620	82.7	2,391,723	Note (3)	1,498,704	24	37	62,446	37.0	9.0
2019	14,035,425	11,705,358	83.4	2,330,067	Note (3)	1,522,152	25	40	60,886	33.8	6.5

Notes:

- 1) Program began in fiscal year 1978. A vote to add needed millage in addition to the charter maximum was approved November 10, 1977. Act 345 limits eligibility only to police officers and firefighters. The fund is managed by a local board of directors.
- 2) Prior to 2009, data from Gabriel, Roeder, Smith and Co., Actuaries. From 2009 forward, data from Rodwan Consulting Co., Actuarial Consultants.
- 3) Employer Contributions as a Percent of Payroll are broken down as follows*:

Member Type:	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
Police	42.06%	37.10%	38.18%	38.00%	38.15%	37.24%	33.68%	31.94%	32.93%	34.76%
Fire	39.58%	33.41%	28.03%	29.98%	34.59%	32.76%	34.69%	34.76%	33.56%	30.14%

* - Prior to 7/6/2010, each group contributed 3% of salary to cover benefit enhancements. Fire members hired after 7/6/2010 no longer contribute.

City of Cadillac, Michigan
Labor Agreements
Last Ten Fiscal Years

	DATE EFFECTIVE JULY 1,	EXPIRATION DATE JUNE 30,
<u>POLICE</u>		
Police Officers Association of Michigan (POAM) Local - Cadillac Police Officers Association (CPOA)	2017	2020
Command Officers Association of Michigan (COAM) Local - Cadillac Command Officers Association (CCOA)	2017	2020
<u>FIRE</u>		
International Association of Fire Fighters Local 704	2018	2021
<u>STREET DIVISION - DPW AND PUBLIC UTILITIES DEPARTMENT</u>		
United Steelworkers of America Local Union No. 14317	2019	2022

Source: City of Cadillac Human Resources Department

City of Cadillac, Michigan
Tax Information
As of June 30, 2019

TAXES DUE AND PAYABLE: City, School, and County taxes are due and payable July 1, and County and School taxes are due and payable December 1, at the office of the City Treasurer.

PENALTIES FOR DELINQUENCY: Beginning August 15, a 4% penalty is added to unpaid City and School taxes. Beginning September 1, an additional 1% per month is added through February. Beginning February 15, a 3% penalty is added to unpaid County and School taxes. Beginning March 1, the Wexford County Treasurer assumes collection of real and personal property taxes. All delinquent industrial and commercial facilities taxes remain with the City Treasurer for collection.

LEIN ON PROPERTY: Unpaid real property taxes, together with all charges thereon, become a continuing lien on the property assessed. The General Tax Law provides for disposition at public sale of real estate delinquent for taxes as follows:

Date of Sale May,	Delinquent Tax Properties to be Sold Year,
2010	2008
2011	2009
2012	2010
2013	2011
2014	2012
2015	2013
2016	2014
2017	2015
2018	2016
2019	2017

City of Cadillac, Michigan

Number of Water Supply and Wastewater Treatment Customers
Last Ten Fiscal Years

FISCAL YEAR	WATER SUPPLY CUSTOMERS		WASTEWATER TREATMENT CUSTOMERS	
	NUMBER	PERCENTAGE OF CHANGE	NUMBER	PERCENTAGE OF CHANGE
2010	3,474	(0.63)	3,527	(0.40)
2011	3,497	0.66	3,542	0.43
2012	3,551	1.54	3,582	1.13
2013	3,553	0.06	3,581	(0.03)
2014	3,578	0.70	3,604	0.64
2015	3,554	(0.67)	3,576	(0.78)
2016	3,549	(0.14)	3,569	(0.20)
2017	3,567	0.51	3,608	1.09
2018	3,589	0.62	3,623	0.42
2019	3,574	(0.42)	3,610	(0.36)

Average Number of Water Supply and Wastewater Treatment Customers
By Meter Classification
Fiscal Year Ended June 30, 2019

METER CLASSIFICATION	AVERAGE CUSTOMERS	
	WATER SUPPLY	WASTEWATER TREATMENT
Unmetered	2	142
5/8"	3251	3190
3/4"	8	8
1"	125	104
1 1/2"	83	74
2"	78	69
3"	10	10
4"	12	10
6"	4	3
8"	1	
TOTAL	<u>3,574</u>	<u>3,610</u>

Data furnished in compliance with Securities and Exchange Commission rule 15c2-12 which requires the City to annually provide updated information filed for revenue bond issues. **Source:** Cadillac Utilities Department

City of Cadillac, Michigan

Monthly Ready-To-Serve Change for Fire Protection
Through Fiscal Year June 30, 2019

LINE SIZE	MONTHLY READY-TO-SERVE CHARGE
3/4"	2.35
1"	4.03
1 1/2"	8.00
2"	12.91
3"	28.04
4"	48.22
6"	100.63
8"	145.00
10"	233.54
12"	346.16

Monthly Water Supply Ready-To-Serve Charge by Meter Classification
Fiscal Years Ended June 30, 2010 through 2019

YEAR ENDING JUNE 30,	METER CLASSIFICATION								
	5/8"	3/4"	1"	1 1/2"	2"	3"	4"	6"	8"
2010	5.54	8.15	13.59	27.22	43.42	95.10	163.02	339.68	489.11
2011	5.79	8.52	14.20	28.45	45.37	99.37	170.36	354.96	511.12
2012	6.05	8.90	14.84	29.73	47.42	103.85	178.02	370.94	534.12
2013	6.05	8.90	14.84	29.73	47.42	103.85	178.02	370.94	534.12
2014	6.05	8.90	14.84	29.73	47.42	103.85	178.02	370.94	534.12
2015	6.05	8.90	14.84	29.73	47.42	103.85	178.02	370.94	534.12
2016	6.23	9.17	15.29	30.62	48.84	106.97	183.36	382.06	550.15
2017	6.39	9.40	15.66	31.38	50.06	109.64	187.95	391.62	563.90
2018	6.39	9.40	15.66	31.38	50.06	109.64	187.95	391.62	563.90
2019	6.58	9.68	16.13	32.33	51.56	112.92	193.59	403.36	580.82

City of Cadillac, Michigan

Fifteen Largest Water and Sewer Users
January 1, 2018 through December 31, 2018

	CUBIC FEET		GALLONS		DOLLARS	
	WATER	SEWER	WATER	SEWER	WATER AND SEWER	
1) Avon Rubber & Plastics	16,477,100	12,080,600	123,248,708	90,362,888	\$	526,786
2) Cadillac Castings	14,187,400	6,518,200	106,121,752	48,756,136	\$	400,975
3) AAR Cadillac Manufacturing	8,340,100	5,861,600	62,383,948	43,844,768	\$	231,741
4) Piranha Hose	2,596,000	2,596,000	19,418,080	19,418,080	\$	86,145
5) Munson Healthcare	1,223,500	1,223,500	9,151,780	9,151,780	\$	60,808
6) Country Acres	1,219,900	1,219,900	9,124,852	9,124,852	\$	44,520
7) Cadillac Renewable Energy	300	1,288,900	2,244	9,640,972	\$	43,776
8) Pheasant Ridge	795,000	795,000	5,946,600	5,946,600	\$	35,419
9) Borg-Warner	897,300	897,300	6,711,804	6,711,804	\$	34,713
10) Four Winns	448,800	448,800	3,357,024	3,357,024	\$	23,513
11) Michigan Rubber Products	571,800	571,800	4,277,064	4,277,064	\$	23,209
12) Hutchinson Antivibration	385,500	385,500	2,883,540	2,883,540	\$	19,498
13) Leisure Park	335,400	335,400	2,508,792	2,508,792	\$	12,703
14) SUPERCLEAN CAR Wash	276,200	276,200	2,065,976	2,065,976	\$	11,254
15) Lakeside Auto Wash	260,000	260,000	1,944,800	1,944,800	\$	10,718
TOTAL					\$	1,565,778

Monthly Water Supply Commodity Charge
Fiscal Years Ended or Ending June 30, 2010 through 2019

FISCAL YEAR ENDED OR ENDING JUNE 30,	0 TO 600 CF	600 TO 10,000 CF	10,000 TO 100,000 CF	100,000 TO 250,000 CF	OVER 250,000 CF
2010	1.16	0.99	0.88	0.76	0.67
2011	1.21	1.03	0.92	0.79	0.70
2012	1.26	1.08	0.96	0.83	0.73
2013	1.26	1.08	0.96	0.83	0.73
2014	1.26	1.08	0.96	0.83	0.73
2015	1.26	1.08	0.96	0.83	0.73
2016	1.30	1.11	0.99	0.85	0.75
2017	1.34	1.14	1.01	0.88	0.77
2018	1.34	1.14	1.01	0.88	0.77
2019	1.38	1.17	1.04	0.91	0.79

City of Cadillac, Michigan

Monthly Wastewater Treatment Commodity Charge
Last Ten Fiscal Years

FISCAL YEAR ENDED OR ENDING JUNE 30,	CHARGE PER 100 CF	PERCENT CHANGE
2010	2.07	4.5
2011	2.16	4.3
2012	2.26	4.6
2013	2.26	0.0
2014	2.26	0.0
2015	2.26	0.0
2016	2.33	3.1
2017	2.39	2.6
2018	2.39	0.0
2019	2.46	2.9

Data furnished in compliance with securities and exchange commission rule 15c2-12 which requires the City to annually provide updated information filed for revenue bond issues. *Source: Cadillac Utilities Department*

City of Cadillac, Michigan

Water Supply and Wastewater Treatment Volume as Pumped
Last Ten Fiscal Years

FISCAL YEAR	WATER SUPPLY VOLUME AS PUMPED			WASTEWATER TREATMENT VOLUME AS PUMPED			WASTEWATER TREATMENT AS A PERCENT OF WATER SUPPLY
	CUBIC FEET	GALLONS	CHANGE	CUBIC FEET	GALLONS	CHANGE	
			IN PERCENT			IN PERCENT	
2010	99,835,900	746,770,000	4.04	87,712,300	656,088,000	(15.24)	87.86
2011	102,593,850	767,402,000	2.76	103,347,594	773,040,000	17.83	100.73
2012	92,542,200	692,215,656	(9.80)	76,188,700	569,891,476	(26.28)	82.34
2013	99,548,074	744,619,590	7.57	128,070,856	957,970,000	68.10	128.65
2014	94,771,123	708,888,000	(4.80)	113,340,909	847,790,000	(11.50)	119.59
2015	110,512,032	826,630,000	16.61	92,928,609	695,106,000	(18.01)	84.09
2016	112,178,342	839,094,000	1.51	94,115,374	703,983,000	1.28	83.90
2017	98,630,882	737,759,000	(12.08)	97,055,749	725,977,000	3.12	98.40
2018	98,481,818	736,644,000	(0.15)	94,632,353	707,850,000	(2.50)	96.09
2019	75,324,300	563,425,764	(0.24)	61,973,282	463,560,149	(0.35)	82.28

Water Supply and Wastewater Treatment Volume by Meter Classification
Fiscal Year Ended June 30, 2019

METER CLASSIFICATION	WATER SUPPLY VOLUME AS BILLED		WASTEWATER TREATMENT VOLUME AS BILLED	
	CUBIC FEET	PERCENT	CUBIC FEET	PERCENT
		OF TOTAL		OF TOTAL
Unmetered	0	0.00	0	0.00
5/8"	22,787,300	30.25%	18,299,282	29.53%
3/4"	118,700	0.16%	87,700	0.14%
1"	3,286,600	4.36%	2,392,700	3.86%
1 1/2"	3,883,600	5.16%	2,973,100	4.80%
2"	13,034,400	17.30%	15,820,300	25.53%
3"	2,745,300	3.64%	2,517,800	4.06%
4"	17,387,200	23.08%	11,293,300	18.22%
6"	11,255,200	14.94%	8,589,100	13.86%
8"	826,000	1.10%		
TOTAL	75,324,300	100%	61,973,282	100%

City of Cadillac, Michigan
Water Supply and Wastewater Treatment Revenue
As Billed by Meter Classification
Fiscal Year Ended June 30, 2019

METER CLASSIFICATION	WATER SUPPLY		WASTEWATER TREATMENT	
	REVENUE	PERCENT OF TOTAL	REVENUE	PERCENT OF TOTAL
Unmetered	\$174	0.01%	\$49,382	2.17%
5/8"	\$554,825	43.41%	\$848,548	37.33%
3/4"	\$2,344	0.18%	\$3,614	0.16%
1"	\$63,045	4.93%	\$90,944	4.00%
1 1/2"	\$77,494	6.06%	\$119,069	5.24%
2"	\$217,114	16.99%	\$531,321	23.38%
3"	\$43,006	3.37%	\$83,637	3.68%
4"	\$183,107	14.33%	\$312,492	13.75%
6"	\$121,185	9.48%	\$234,002	10.29%
8"	\$15,726	1.23%		0.00%
TOTAL	<u>\$ 1,278,018</u>	<u>100%</u>	<u>\$ 2,273,008</u>	<u>100%</u>

Data furnished in compliance with Securities and Exchange Commission rule 15c2-12 which requires the City to annually provide updated information filed for revenue bond issues. **Source:** Cadillac Utilities Department

December 16, 2019

To the Mayor and City Council
City of Cadillac, Michigan

We have audited the financial statements of the governmental activities, the business-type activities, the aggregate discretely presented component units, each major fund, and the aggregate remaining fund information of the City of Cadillac for the year ended June 30, 2019. Professional standards require that we provide you with information about our responsibilities under generally accepted auditing standards and *Government Auditing Standards*, as well as certain information related to the planned scope and timing of our audit. We have communicated such information in our letter to you dated September 3, 2019. Professional standards also require that we communicate to you the following information related to our audit.

Significant Audit Findings

Qualitative Aspects of Accounting Practices

Management is responsible for the selection and use of appropriate accounting policies. The significant accounting policies used by the City of Cadillac are described in Note 1 to the financial statements. There were no new accounting policies implemented during 2019. We noted no transactions entered into by the governmental unit during the year for which there is a lack of authoritative guidance or consensus. All significant transactions have been recognized in the financial statements in the proper period.

Accounting estimates are an integral part of the financial statements prepared by management and are based on management's knowledge and experience about past and current events and assumptions about future events. Certain accounting estimates are particularly sensitive because of their significance to the financial statements and because of the possibility that future events affecting them may differ significantly from those expected. The most sensitive estimates affecting the City of Cadillac's financial statements were:

- Management's estimate of the useful lives of depreciable capital assets is based on the length of time it is believed that those assets will provide some economic benefit in the future.
- Management's estimate of the accrued compensated absences is based on current hourly rates and policies regarding payment of sick and vacation banks.
- The assumptions used in the actuarial valuations of the pension and other post-employment benefit plans are based on historical trends and industry standards.

We evaluated key factors and assumptions used to develop these estimates and determined that they are reasonable in relation to the basic financial statements taken as a whole and in relation to the applicable opinion units.

Difficulties Encountered in Performing the Audit

We encountered no significant difficulties in dealing with management in performing and completing our audit.

Corrected and Uncorrected Misstatements

Professional standards require us to accumulate all known and likely misstatements identified during the audit, other than those that are trivial, and communicate them to the appropriate level of management. Management has corrected all such misstatements. In addition, none of the misstatements detected as a result of audit procedures and corrected by management were material, either individually or in the aggregate, to each opinion unit's financial statements taken as a whole.

Disagreements with Management

For purposes of this letter, professional standards define a disagreement with management as a financial accounting, reporting, or auditing matter, whether or not resolved to our satisfaction, that could be significant to the financial statements or the auditor's report. We are pleased to report that no such disagreements arose during the course of our audit.

Management Representations

We have requested certain representations from management that are included in the management representation letter dated December 16, 2019.

Management Consultations with Other Independent Accountants

In some cases, management may decide to consult with other accountants about auditing and accounting matters, similar to obtaining a "second opinion" on certain situations. If a consultation involves application of an accounting principle to the governmental unit's financial statements or a determination of the type of auditor's opinion that may be expressed on those statements, our professional standards require the consulting accountant to check with us to determine that the consultant has all the relevant facts. To our knowledge, there were no such consultations with other accountants.

Other Audit Findings or Issues

We generally discuss a variety of matters, including the application of accounting principles and auditing standards, with management each year prior to retention as the governmental unit's auditors. However, these discussions occurred in the normal course of our professional relationship and our responses were not a condition to our retention.

Other Matters

We applied certain limited procedures to the management's discussion and analysis, the pension and OPEB schedules, and the budgetary comparison schedules, which are required supplementary information (RSI) that supplements the basic financial statements. Our procedures consisted of inquiries of management regarding the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We did not audit the RSI and do not express an opinion or provide any assurance on the RSI.

We were engaged to report on the combining and individual fund financial statements and schedules, which accompany the financial statements but are not RSI. With respect to this supplementary information, we made certain inquiries of management and evaluated the form, content, and methods of preparing the information to determine that the information complies with accounting principles generally accepted in the United States of America, the method of preparing it has not changed from the prior period, and the information is appropriate and complete in relation to our audit of the financial statements. We compared and reconciled the supplementary information to the underlying accounting records used to prepare the financial statements or to the financial statements themselves.

We were not engaged to report on the introductory or statistical sections, which accompany the financial statements but are not RSI. We did not audit or perform other procedures on this other information and we do not express an opinion or provide any assurance on it.

Restrictions on Use

This information is intended solely for the use of management, the City Council, and others within the organization and is not intended to be and should not be used by anyone other than these specified parties.

A handwritten signature in dark ink that reads "Gabridge & Company". The script is cursive and fluid, with the ampersand being a simple loop.

Gabridge & Company, PLC
Grand Rapids, MI

INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER FINANCIAL
REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT
OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT
AUDITING STANDARDS*

December 16, 2019

To the Mayor and City Council
City of Cadillac, Michigan

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, the aggregate discretely presented component units, each major fund, and the aggregate remaining fund information of the City of Cadillac, Michigan (The "City"), as of and for the year ended June 30, 2019, and the related notes to the financial statements, which collectively comprise the City's basic financial statements, and have issued our report thereon dated December 16, 2019.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or, significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Best regards,

A handwritten signature in dark ink that reads "Gabridge & Company". The script is cursive and fluid, with the ampersand clearly visible.

Gabridge & Company, PLC
Grand Rapids, MI